STOCKS TO STUDY: Church & Dwight Co., Inc. — Helping Investors Clean Up? (p. 20)

October 2022 VOL. 72, NO. 2

www.betterinvesting.org

BETTERINVESTING MAGAZINE

Is the Wool Pulled Over Your Eyes?

Be Wary of These Investor Biases (p. 38)

An Uninvited Friend

Maybe Market Volatility Will Do You a Favor (p. 28)

The More the Merrier?

What You Need to Know About Stock Splits (p. 34)

Claim Your Spot

SmallCap Informer is open to new subscribers for a limited time.

Discover the superior small-cap stocks profiled in the market-beating SmallCap Informer (SCI) newsletter. To maintain exclusivity, SCI is now limited to only 1500 subscribers. The cap should ensure that subscribers do not have to worry about the market already reacting to the news published in SCI before subscribers have a chance to act. Subscribe today before it's too late.

www.smallcapinformer.com/get/bi

Start someone on their journey to becoming a successful lifelong investor

"Give a man a fish, and he will be hungry again tomorrow; teach him to catch a fish, and he will be richer all his life."

Give the gift of a BetterInvesting membership at **www.BetterInvesting.org/gift**

BetterInvesting's mission is to provide a program of sound investment information, education and support that helps create successful lifetime investors.

OUR PRINCIPLES

- Invest a set amount regularly.
- Reinvest earnings, dividends and profits.
- Invest in quality growth stocks and equity mutual funds.
- Diversify your investments.

FEATURES

Cover Story **38**

Ruminations on Investor Biases

Biases keep many investors from making the best choices about their portfolios. Habits such as following the herd may not pay off in the long run. Understanding your own biases could give you an edge and lead you to graze where the grass is greener than ever.

OTHER STORIES

Repair Shop **14**

Securities Sisters Investment Club

Based in Houston, the Securities Sisters Investment Club was founded in 1996 and out of eight members, three are original. They have a 39-stock portfolio — writer Scott Horsburgh suggests it's time to trim.

STOCK TO STUDY

Featured Company

Church & Dwight Co., Inc. **20**

In business since 1847, Church & Dwight, makers of the Arm & Hammer brand, has been on an acquisitions binge since 2001, most recently in 2020 buying Matrixx Initiatives, makers of Zicam, and this year TheraBreath, producers of mouthwash and dental products.

UNDERVALUED STOCK

Featured Company

Ford Motor Company **25**

Ford is driving ahead with its emphasis on electric vehicle production, while continuing production of SUVs and pickups with internal combustion engines. The company plans to make EVs up to half of its output by 2030, though selling just 27,140 of the vehicles in 2021.

PERFORMANCE REVIEW

Assessing Stock to Study and Undervalued Picks **52**

Costco Wholesale Corporation, Akamai Technologies, Inc.

Stock to Study: Costco Wholesale — A great buy for stock shoppers.

Undervalued: Akamai Technologies — Stalled like many tech stocks.

BetterInvesting Magazine Advertising Policy

BetterInvesting Magazine accepts advertisements from companies promoting ownership of their stock or use of their products and services. Advertisements in the magazine do not constitute or imply endorsement of these companies or their products and services by the association. Investors should conduct their own review and analysis of any company seen in an advertisement before making an investment decision. The association has posted its Sponsorship and Advertising Policy on its website. On both the public and member homepage, click 'Reports & Policies' (or 'About Us', then 'Reports & Policies') at the bottom of the page. On the page which follows is a link to the Policy. If you have questions, please email **bi@betterinvesting.org**

CONTENTS | Inside | Upcoming Events | Online

EDITORIAL 4

PERFORMANCE PERSPECTIVE 5

PERSONAL FINANCE

Cash Flow	Saving on Home Renovation Supplies	6
Due Diligence	It's Not 'Yesterday Once More' — Yet	7
Book Value	The Budget Mom on Financial Mastery	8
Millennial Finance	Make the Most of Tax-Loss Harvesting	9
Financial Planner	529 Plans: Updated Education Choices	10
Think Tank	Do You Need Umbrella Insurance?	12

INVESTMENT CLUBS

Repair Shop	Securities Sisters Investment Club	14
The Clubhouse	Get Acquainted With myICLUB Reports	19

BEGINNERS

Fundamentals of Investing	Take a Lesson From Warren Buffett And Make the Most of Market Volatility	28

MUTUAL FUNDS

Mutual Fund Matters	Active or Passive? The Choice Is Yours	32

DISCUSSION & ANALYSIS

Between the Lines	Google Does It, Apple Does It, Even Tesla Does It: What's Up With Stock Splits?	34

MEMBERSHIP

Home Office	From 1975: George Nicholson on Inflation	41
Corporate Partners	Supporting the BetterInvesting Mission	45
BI Family	Bowlers for Dollars in Ohio	46
From Our Members	Mistakes Became Club's 'Running Jokes'	47

Upcoming Events

Chapter Contacts *see page* 48

Annual Meetings *include:*

Portland (Sept. 17) *see page* 51

Upcoming Investors Fairs & Events *include:*

Philadelphia (Sept. 21) *see page* 51

Channel Islands (Sept. 22) *see page* 51

South Florida (Sept. 22) *see page* 51

D.C. Regional (Sept. 24) *see page* 51

D.C. Regional and Maryland (Oct. 3) *see page* 51

Facebook and LinkedIn

Engage with our community of investors:
Facebook: www.facebook.com/betterinvesting
LinkedIn: www.linkedin.com/company/betterinvesting

BetterInvesting *Online*

BetterInvesting members have the opportunity to expand their learning through online classes. Below is a selection of videos from the Video Learning Library on the BetterInvesting website that provide excellent learning opportunities. Be sure to visit the Video Learning Library to access over 100 webinar recordings on a variety of topics at **www.betterinvesting.org/vll**. To see a list of upcoming live webinars, like TickerTalk and StockUp, please visit our Events page at **www.betterinvesting.org/webinars**.

What's New in BetterInvesting's Online Tools

From the Aug. 18, 2022 Webinar
OnDemand Recording

This fast-paced class provides an overview of the most recent changes to the CoreSSG, SSGPlus, Stock Comparison Guide and Portfolio Tools. New features include: Historical Data and Forecast Audit, Import shared studies directly into a portfolio and Display Projected Average Return (PAR) on the Portfolio Summary Report. If time allows, we will cover frequently asked questions received by our support staff and take questions from the audience regarding the operation of the tools. Join us to stay informed and learn how to get the most out of the Online Tools! Suzi Artzberger, BetterInvesting's director of online stock tools, technology and data, leads this tutorial.

StockUp: Use PERT to Perk Up Your Portfolio

From the June 16, 2022 Webinar
OnDemand Recording

To be a successful investor, you must watch the companies you own for early warning signals that problems are developing. The Portfolio Evaluation Review Technique (PERT) allows you to quickly assess the performance of all of your stocks and determine which ones need additional study. Join us for an overview of the PERT report and learn how to read and interpret the data presented in this helpful portfolio tool. Instructors: Suzi Artzberger, director of online stock tools, technology and data, BetterInvesting; and Ann Cuneaz, senior manager of education programs, BetterInvesting.

TickerTalk

From the May 26, 2022 Webinar
OnDemand Recording

Investing education in bite-size pieces is offered in every TickerTalk session to help you become a more confident, better investor. This month is all about the Stock Selection Guide® (SSG®). Topics include: Keeping the P/E in Perspective, presented by Ionnie McNeill, director, NAIC/Betterinvesting Board of Directors. Choosing a low price, presented by Ken Kavula, director, BetterInvesting's Mid-Michigan Chapter. The Visual Analysis Graph — Reading Between the Lines, presented by Ann Cuneaz, senior manager of education, BetterInvesting. In addition, we offer a few stock ideas that merit a closer look in **Five in Five.**

TickerTalk

From the February 24, 2022 Webinar
OnDemand Recording

Investing education in bite-size pieces is offered in every TickerTalk session to help you become a more confident, better investor. Topics: Historical data for nearly 8,000 companies is available in BetterInvesting's Online Stock Tools. But occasionally when you try to open a Stock Selection Guide (SSG) on a valid company the tool reports an "invalid ticker." As always, we offer a few stock ideas that merit a closer look in **Five in Five**. Panelists: Suzi Artzberger, director of Online Stock Tools Suite, information technology and data, BetterInvesting; Ken Kavula, director, BetterInvesting's Mid-Michigan Chapter; and Ann Cuneaz, senior manager of education, BetterInvesting.

Tweaking Your Portfolio May Make Sense to Reflect Today's Reality

Adjusting to New Economic Conditions

While some daydream about how great it would be to own a crystal ball or a time machine, others — the savviest investors — are inspecting their portfolios and soberly evaluating likely performance in the context of shifting economic conditions.

For investors with a long-term bias, which overwhelmingly defines *BetterInvesting Magazine* readers, regular portfolio maintenance should be as routine as a regular medical check-up or changing the oil in your car. At least once annually, it's a good idea to check whether a portfolio's assets align with the level of risk and projected returns you're trying to achieve. Prudent investors with a feel for market and economic cycles usually keep a certain percentage of assets in cash, useful for fresh share purchases when the market takes a fall. Rebalancing a portfolio during good times ensures that sufficient cash will be available for emergencies or bargains. Likewise, if you've decided in principle that 60% equity is the right proportion for your portfolio's assets, why not reallocate when a strong stock market has raised that proportion to, say, 85%?

Particularly during periods of economic change, such as a recession or the current global credit tightening, decisions whether to buy, hold or sell become more critical. Since last November, when the Federal Reserve began signaling an intention to raise rates, the tech-heavy Nasdaq Composite Index has lost nearly 20% (as of this writing), a move that can be linked directly to the reliance of tech on low interest rates.

While tech stocks were getting battered, consumer staple Procter & Gamble held its share price — reflecting a basic tenet of market wisdom: Consumers will continue to buy detergent and toilet paper even when high interest rates pinch their household budgets. Replacing a laptop might have to wait, other activities like the laundry will carry on.

Selling favorite stocks that have gained massively takes fortitude, as does buying new names that represent value because their share price is low — often for obvious reasons. An investment that has done well might do even better, though the decision to sell means the chance to lock in a gain that previously only existed as potential. Likewise, getting a stock at a bargain price offers, perhaps, a golden opportunity for future gain.

Worth noting is that rebalancing and adjusting a portfolio need not be triggered by economic events or a deviation from asset allocation targets. Life happens as well. The divorce becomes final, the kids are educated and leaving the nest, someone close to you has, heaven forbid, become disabled or seriously ill. Such events usually call for reflection, rethinking and a portfolio overhaul.

Inflation Prompts Some Upcoming Fee Increases

Alas, this year, NAIC/BetterInvesting, like all of you, is facing inflation. Postage rates are up. Paper costs are up substantially. These challenges and more have all added up to an increase in our basic expenses. And that is why, for the first time in three years, the Board of Directors has reluctantly decided fees must be increased effective Oct. 3, 2022. With the understanding your personal expenses are rising as well, fees will not rise across the board. Club dues will remain the same as will club membership. Membership fees for CoreSSG™ and SSGPlus™ will increase to help cover our costs. We greatly appreciate the loyalty of our existing members and consequently have structured the increase in a manner which supports our current members with some significant discounts. Thank you for your membership which allows the organization to further our nonprofit mission.

NATIONAL ASSOCIATION OF INVESTORS
BETTERINVESTING™
Educating Investors Since 1951

Vol. 72, No. 2

Official Publication of the
National Association of Investors Corporation
US ISSN 0006-016X
Phone: 248/583-NAIC (6242)
BetterInvesting website: www.betterinvesting.org
Editorial email: bi@betterinvesting.org

NAIC/BETTERINVESTING BOARD OF DIRECTORS
Lindsey Bell; Michael M. Calbert; Patrick Donnelly; John Gannon; Jackie Cummings Koski; Eve Lewis; Cy Lynch; Ionnie McNeill; Carol Theine.

NAIC OFFICERS
Cy Lynch, Chair; Eve Lewis, Vice Chair; Ken Zendel, CEO; Jackie Cummings Koski, Treasurer; John Gannon, Secretary.

BETTERINVESTING VOLUNTEER ADVISORY BOARD
Directors: Bobbie Kincaid, Chair; Cynthia McCrary, President; Kaye Clingan, Secretary; Joe Farrell, Treasurer; Jane Chatterjee; Marty Eckerle; Carolyn Fox; Bob Houle; Deane Jaeger; Howard Johnson; Irene Jondahl; Denise Kimberlin; Gloria Mankonen; Suzanne McNealy; Jerry Pillans; Mary Ann Rentsch; Anita Widmayer.

BETTERINVESTING MAGAZINE
Editor: Doron Levin
Managing Editor: Jan Jeffres
Graphic Designer: Jack Downs
Editorial Staff: Cindy Kelley, Brenda Gayle
Contributing Editor: Kevin J. Lamiman
Editorial Advisory & Securities Review Committee: Robert M. Bilkie, Jr., CFA; Dan Boyle, CFA; Marisa Bradbury, CFA; Philip J. Keating, CFA; Walter J. Kirchberger, CFA; Anne Nichols, CFA

BetterInvesting Magazine is published 10 times per year (January/February and June/July issues are combined) by NAIC's BetterInvesting, 570 Kirts Blvd., Suite 237, Troy, MI 48084.

Subscriptions: Individual subscriptions are $35 a year or less; go to the store at the BetterInvesting website: https://www.betterinvesting.org/store/magazine

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer, contributor, or advertiser in their personal portfolio or those of their clients.

Copyright © 2022 National Association of Investors Corporation. All rights reserved.

Postmaster: Send change of address notices to National Association of Investors Corporation, 570 Kirts Blvd., Suite 237, Troy, MI 48084.

Canada Subscriptions: Canada Post Agreement Number 1736450. Send change of address info. and blocks of undelivered copies to P.O. Box 1051, Fort Erie, ON L2A 6C7.

PRINTED IN THE USA

Performance Parameter	At 7/29/2022	5-Year Change Annualized
BetterInvesting 100 Index (BIXX)	505.53	10.55%
BetterInvesting 100 Index (BIXR — Total Return)	712.75	12.07
S&P 500 Equal-Weight Index (Total Return)	11,240.41	11.36
Vanguard Total Stock Market (CRSP U.S. Total Market)	100.37	11.99
Dow Jones Industrial Average (DJIA)	32,845.13	10.86
S&P MidCap 400 Index	2,512.73	9.06
Russell 2000 (Small-Cap Index)	1,885.23	7.06
Nasdaq Composite	12,390.69	15.37
MSCI EAFE (Europe, Australasia, Far East) Index	1,849.48	0.26
MSCI Emerging Markets Index	993.78	1.40
Value Line Arithmetic Composite	8,416.14	8.31
Consumer Price Index (July)	296.28	8.50

Sources: Yahoo Finance, Value Line, Bureau of Labor Statistics, MSCI, Standard & Poor's, Solactive, Google, FTSE Russell

Most Active List

Here are the companies attracting the interest of the BetterInvesting community, according to about 2,030 transactions by users of myICLUB club accounting for the trailing eight weeks ended Aug 9.

Company (Ticker)	Buys-Sells
1. Amazon (AMZN)	320-31
2. Alphabet (GOOG)	186-22
3. Apple (AAPL)	66-50
4. Microsoft (MSFT)	85-23
5. Nvidia (NVDA)	82-20
6. Visa (V)	64-10
7. Disney (DIS)	30-41
8. Costco (COST)	47-17
9. Ford (F)	41-16
10. Tesla (TSLA)	41-12
11. PayPal (PYPL)	27-19
12. Adv. Micro Devices (AMD)	40-5

This list is presented as a source of stock study ideas. No investment recommendation is intended.

Our thanks to ICLUBcentral for this information.

We maintain a Most Active List at BetterInvesting website's homepage, and a monthly list is published at: **www.myiclub.com**

Most Active List: Bubbling Under

Nos. 13-40 With Buy-Sell Ratio Over 2:1
Transactions for trailing eight weeks ended Aug. 9.

Company	Ticker	Buys	Sells	Total
Home Depot	HD	37	7	44
Intel	INTC	31	12	43
Verizon	VZ	29	13	42
Devon Energy	DVN	27	11	38
Shopify	SHOP	27	10	37
Berkshire Hathaway	BRK.B	31	5	36
Target	TGT	24	10	34
Qualcomm	QCOM	24	3	27
AbbVie	ABBV	19	8	27
3M	MMM	18	9	27
CVX	CVX	18	7	25
T. Rowe Price	TROW	21	3	24
Walmart	WMT	20	4	24
Adobe	ADBE	19	5	24
Taiwan Semiconductor	TSM	18	5	23
Micron Technology	MU	16	7	23
Rio Tinto	RIO	17	5	22
Procter & Gamble	PG	17	4	21
JPMorgan Chase	JPM	15	6	21
Lowe's Companies	LOW	17	3	20
PepsiCo	PEP	15	5	20
Comcast	CMCSA	15	4	19
UnitedHealth Group	UNH	15	4	19
McDonald's	MCD	15	3	18
Meta Platforms	META	15	3	18
Merck & Co.	MRK	14	4	18
FedEx	FDX	16	1	17
Nike	NKE	14	3	17

Source: myICLUB

Amazon and Disney dominated the attention of myIClub accounting software users during the eight weeks ending Aug. 9 for different reasons. Amazon tops the list of buys, despite recent weakness in the tech sector, with strong revenue growth in the second quarter, powered by its high-margin advertising and AWS cloud businesses. Among the Most Active stocks, Disney was prominent due to sellers outnumbering buyers of its shares. Do investors worry that economic weakness and rising rates will hurt discretionary spending?

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer in his personal portfolio.

Working With Contractors? Cut Costs by Providing Your Own Supplies

Material Savings

by Natasha Gural

Renovating your home can add value, whether you want to transform your living space or make your house more appealing to buyers. If you embrace flexibility, invest some time and are willing to look for the unexpected, you can save money on any type or size of project.

Do-it-yourself projects can save money, but require time, patience and often skills that can't easily be acquired by watching YouTube videos or relying on hardware store clerks' advice. Contractors can command staggering prices, but one way to tame those costs while letting the experts do the work goes beyond DIY.

The BIY (buy-it-yourself) trend is quickly emerging, and you can save thousands on home renovations by avoiding hourly charges a contractor adds for picking up and delivering the materials.

More people are opting to negotiate directly with suppliers for the best price on home renovation materials and consumers often find bargains a contractor may avoid or overlook. Rather than comparison shopping, most contractors stick with the same suppliers and just pass on the extra charges to the homeowner. More wholesalers are offering supplies and materials online to the general public.

> "Consumers often find bargains a contractor may avoid or overlook."

Bring Your Own Materials

Make it clear before you hire a contractor that you plan to provide BIY materials, as you will have to work together to ensure that you fully understand the scope and specs of your project so that you can select the right materials. Be prepared to comparative shop online and on foot, hunting for reclaimed or used materials to save even more. Keep close track of due dates and delivery schedules to ensure the materials arrive on time, or your contractor may charge extra for the delays.

It's standard practice in a narrow-margin industry for a contractor to mark up prices on wholesale materials by 50% or more. Make sure the contract clearly states what materials, appliances, hardware and furnishings you will supply, along with expected delivery dates. Create and sign documents for any changes throughout the process to avoid a costly contractor dispute. Depending on the scope of your project, you can save hundreds to tens of thousands of dollars.

Let the contractor provide lumber, concrete, wiring and insulation, heating and ventilation supplies. BIY when it comes to cabinets, flooring, countertops, doors and other visible materials that guide your aesthetic vision. If you're willing to do extra research and legwork, you can also consider BIY for paving, masonry gutters and windows.

The 'Oops' Factor

If you're not picky about finding an exact shade of paint, you can find so-called "oops" paint for less than a quarter of retail price. When choosy folks dislike the color once it's on their walls, they return the paint and stores resell it at steep discounts. Valspar Signature Ultra White Tintable Interior Paint + Primer, a popular choice at Lowe's, sells for $43.98 a gallon. Recently, one location was offering four gallons tinted with "filtered shade" at $5 each. That's enough paint to cover up to 1,600 square feet, or several average rooms. You'll save $155.92 over buying the custom-tinted paint for $175.92. You'll have to make a trip to the hardware store, as retailers don't generally list "oops" paint online as it sells quickly.

Most appliance retailers and furniture stores have "scratch-and-dent" sections where they offer merchandise that's been damaged during shipping or handling, or was returned to the store in less-than-perfect condition. An informal phone survey of big box and independent retailers found that savings can range anywhere between 10% and 60%.

In most cases, the less obvious the damage, the lower the discount. In some cases, you can easily restore the original quality with minimal work and investment. If your store doesn't have a special bargain room, ask about floor models, which generally sell at a discount of about 10% to 15%. The less fuss over scratches, dents, scuffs or the color of an item, the more you can save.

Home renovations are more popular than ever. HomeAdvisor's latest State of the Home survey found that average household spending on home services rose to $13,138 in 2020, up from $9,081 on average in 2019. Whether you're a DIY superstar or always rely on a professional, do your research, shop around, ask questions and make compromises where it's prudent while investing when it's necessary. Home renovation should improve your quality of life without draining money better invested in your portfolio.

Due Diligence

While Bell Bottoms Are Back, Our Economy May Not Parrot the Era

'That '70s Show' Rerun: the Stagflation Playbook

by Thomas D. Saler

By my calculations, only about one-fifth of the U.S. population was old enough in the 1970s to remember much about what was — to put it gently — a very rough economic decade. Similarly, with an average age below 60, most CEOs probably don't recall a lot about that bell-bottomed period either, much less have learned useful lessons about running a business amid the turmoil.

In other words, the vast majority of investors and business leaders could be ill-prepared to navigate what increasingly looks like a looming stretch of stagflation, or the painful combination of persistently weak economic growth amid chronically high inflation. *(For more, see Websites of Interest and Random Walk on page 36.)*

The rationale for expecting a period of stagflation is straightforward: It will be difficult if not impossible to bring inflation down without taking unemployment up, a prospect that almost certainly will restrain economic growth.

And as long as COVID-19 related lockdowns snarl global supply chains and the war in Ukraine pushes energy and food costs higher, it is hard to imagine consumer prices responding quickly to a weakening labor market and rising borrowing costs.

A June 2022 report from the World Bank spelled out the problem in sobering detail. "Compounding the damage from the COVID-19 pandemic, the Russian invasion of Ukraine has magnified the slowdown in the global economy, which is entering what could become a protracted period of feeble growth and elevated inflation…" Even as inflation has soared worldwide, "global growth has been moving in the opposite direction: it has declined sharply since the beginning of the year and, for the remainder of the decade, is expected to remain below the average of the 2010's. In light of these developments, the risk of stagflation…has risen."

In the United States, rental costs have spiked and could keep rising if higher mortgage rates make homeownership less affordable. As for another key stagflation input — energy — much will depend on the workability of a never-before-tried plan hatched by the U.S. Treasury to cap the price of Russian oil exports, thus depriving the Kremlin of revenue without unduly impairing Western economies.

At the company level, non-labor intensive businesses with pricing power and high productivity growth are generally best-positioned to absorb rising costs.

More broadly, high dividend-paying stocks outperformed in the stagflationary 1970s, probably due to their heavier exposure to commodities (especially energy), consumer staples and utilities.

I would be cautious, however, about extrapolating too much from the 1970s experience. While there are similarities with that bygone era, there also are important differences. A study from the Brookings Institution, for example, cited four such dissimilarities: "smaller shocks… more credible monetary frameworks…more flexible economies…(and) less fiscal accommodation."

The monetary aspect could prove critical in shortening the period of economic pain this time around. For most of the 1970s, the Federal Reserve was asleep at the switch, thus allowing inflationary expectations to take deep root.

It was not until the legendary inflation slayer Paul Volcker pushed short-term rates to nearly 20% in 1980 that the inflationary tide began to turn, and then only slowly. The current Fed also was late to respond, but not 10 years late.

In a worst-case scenario, the Jerome Powell-led Fed would raise rates by enough in coming months to tip the economy into recession, but not by enough to bring inflation down to its 2% target. That's not the most likely outcome, but it remains a possibility.

Hunker down for a bumpy finish to 2022.

Websites of Interest

"Stagflation." Investopedia; updated July 7, 2022
www.investopedia.com/terms/s/stagflation.asp

"Stagflation Risk Rises Amid Sharp Slowdown in Growth," The World Bank; June 7, 2022
https://bit.ly/3d6UD1p

"Surviving in a moment of rental hikes and inflation," NPR; July 4, 2022
www.npr.org/2022/07/04/1109737472/surviving-in-a-moment-of-rental-hikes-and-inflation

"The story behind the proposed price cap on Russian oil," David Wessel, Brookings; July 5, 2022
www.brookings.edu/blog/up-front/2022/07/05/the-story-behind-the-proposed-price-cap-on-russian-oil/

"High Dividends for Stagflation," Matt Wagner, WisdomTree; April 28, 2022
www.wisdomtree.com/blog/2022-04-28/high-dividends-for-stagflation

"Today's global economy is eerily similar to the 1970s, but governments can still escape a stagflation episode," Jongrim Ha, M. Ayhan Kose, Franziska Ohnsorge, Brookings; July 1, 2022
https://brook.gs/3p3B4tj

Book Value

Author Sees Money Management as a Way to Honor Yourself

Not Your Typical Numbers Game

by Angele McQuade

Kumiko Love is a single mom, financial counselor, founder of The Budget Mom website and online community, creator of the Budget by Paycheck method, and now, the author of "My Money My Way: Taking Back Control of Your Financial Life." The key to taking back that control, she says, is a better understanding of not just your numbers, but your personal priorities and motivations. Budgets shouldn't be focused on discipline, rigid rules or deprivation, but on desire.

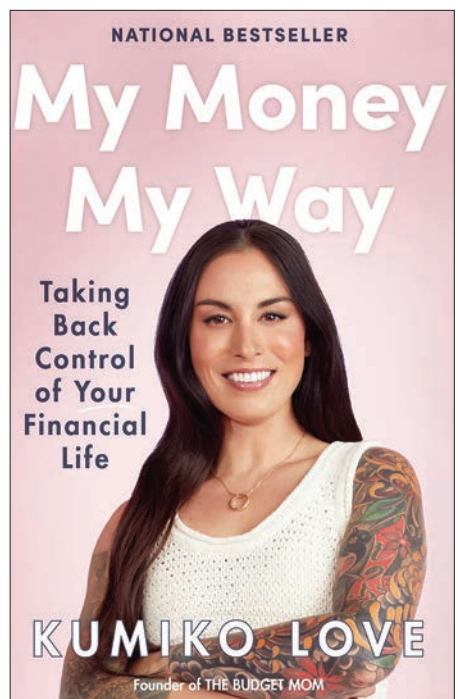
This was a lesson hard learned by Love herself. When married, she tried all kinds of budgeting strategies. After finally paying off her debt, however, she got divorced and ended up in $78,00 of new credit card and vehicle debt due to emotional spending as she tried to create a perfect life for her young child. The crisis point that changed everything?

Charging a $1.09 McDonald's ice cream cone to her credit card because she wasn't sure she had enough in the bank to use debit. "Sometimes the truth will anger you," she says, "but it'll always be what saves you."

That particular harsh truth is what eventually led Love to not only mastery over her own financial life, but the creation of her Budget by Paycheck method and other tools, a financial counseling business, and an online community serving millions that together are so successful she bought her latest home in cash.

What I liked: Love's judgment-free approach to budgeting. "You are not the problem," she reassures us, "shame is." Instead of depriving yourself of joy because someone says you can't buy certain things while you still have debt, she instead recommends asking how the act of budgeting can honor rather than deny yourself. For anyone struggling with motivation, she shares stories of personal transformation pulled from members of the online Budget Mom community she's created for education and encouragement.

What I loved: the focus on figuring out your personal why, the thing that tells you what "more money" or "less debt" would actually mean in your life. "Don't eliminate emotions as you create your budget," she says. "Until you know who you are, what you want, and how you desire to live your life, how could you possibly know how to manage your money?"



"My Money My Way: Taking Back Control of Your Financial Life," *Kumiko Love, Portfolio/Penguin (2022), hardcover ($26) and ebook, 240 pages.*

What makes "My Money My Way" worth buying: Love's Budget by Paycheck method, which is created not month by month, but paycheck to paycheck, allowing for maximum personal customization whether you're paid monthly, weekly, biweekly or on the less predictable schedules of freelancers and tip-based employees. (Her Budget Calendar is another innovative and easy to implement tool described in the book.)

Read "My Money My Way" if: The very thought of having to live on a deprivation budget causes you more anxiety than the actual debt you're carrying. By figuring out what you truly value, Love says, then creating a life (and spending plan) centered on what matters most, you'll soon be on your way to a happier financial future, with shame and stress left far behind. B

Websites of Interest

Find more online about Kumiko Love

the budgetmom.com

Twitter: @TheBudgetMom

Facebook: facebook.com/TheBudgetMom

Instagram: @TheBudgetMom

Pinterest: @TheBudgetMom

YouTube: www.youtube.com/c/TheBudgetMom

Angele McQuade has been *BetterInvesting*'s Book Value columnist for over 20 years. She is the author of three books, including "Investment Clubs for Dummies" and BI's upcoming new youth investing handbook. She lives near Bethesda, Maryland, where she also writes picture books and novels for children. You can send her your own book recommendations through her website (angelemcquade.com).

2022 in Particular Highlights This Savings Strategy for Many Investors

The Benefits of Tax-Loss Harvesting

by Matt Mondoux, CFA®, CFP®, CMT ®

If you have positions at an unrealized loss in a nonqualified account, the fourth quarter is not a time to get complacent with your investment portfolio.

In fact, as the calendar gets closer to turning to a new tax year, there are important steps to be taken up until the last trading day of the year.

I'm referring to tax-loss harvesting and if you're not actively tax-loss harvesting your portfolio you either:

- **A. Hold no positions at a loss** in your nonqualified portfolio or
- **B. Are missing an opportunity** to reduce your current and/or future tax burden.

Tax-loss harvesting refers to selling investments held at a loss in a nonqualified (e.g., non-retirement) portfolio to offset realized capital gains or create a capital loss carryforward. Tax-loss harvesting is almost as simple as it sounds; there are, however, a few details to understand.

What are the potential benefits? Capital losses can be used to offset capital gains dollar for dollar. For example: You have long-term gains of $20,000. Assuming you're taxed 15% on long-term capital gains at a federal level, you would owe $3,000 in tax. If you're able to recognize $18,000 in losses before year-end, you can net your realized gains and losses. In this example, the $20,000 long-term gain is offset by the $18,000 capital loss and you're left with a $2,000 long-term gain at year-end. At the same long-term gains tax rate, taxes owed are now $300 instead of $3,000, which means $2,700 extra in your pocket come April!

Do understand the nature of your unrealized/realized gains and losses. When the time comes to offset gains and losses, short-term gains are offset against short-term losses and then long-term gains are offset against long-term losses. Finally, the net effect of the short-term gain/loss is offset against the net effect of the long-term gain/loss to derive your total gain/loss for the year.

If you end the year with a capital loss, which in 2022 could be very likely, you're allowed to offset income by the lesser of $3,000 if you file a joint tax return, $1,500 if filing single/separately, or the net loss. Any net loss beyond $3,000 can be a carryforward into future years to offset capitals gains. Capital loss carryforwards do not expire.

One potential pitfall to be aware of is the wash-sale rule. Per Internal Revenue Service rules, a wash sale is triggered if you wait less than 30 days from the day the loss was realized before repurchasing the investment (or a substantially similar investment). This goes beyond the account where the investment was sold. If you recognize a loss in your trust account but repurchase the same investment within 30 days in your spouse's individual retirement account (IRA), a wash sale would be triggered.

Avoiding a wash sale does not mean you need to sit in cash for 30 days. You could even maintain subsector exposure by selling an individual stock and buying an exchange-traded fund. For example: You could recognize a loss in The Boeing Company (ticker: BA) and purchase an ETF that tracks the aerospace and defense subsector. Then after 30 days you can sell the ETF and repurchase BA. Do be mindful of any potential short-term gains you would recognize with the trade.

> **"You should consider tax-loss harvesting your portfolio all year and not just wait for December."**

I like to think of tax-loss harvesting as "making lemonade out of lemons." No investor likes to see losses in a portfolio, however, appreciating the value that tax-loss harvesting can have is necessary to optimal portfolio management. You should consider tax-loss harvesting your portfolio all year and not just wait for December. Tax-efficiency in a portfolio is a critical way to improve your overall after-tax return.

As always, your individual tax situation is important in any decision surrounding tax-loss harvesting. You should consult with your adviser or tax professional if you want to understand your specific tax impact.

■ ■ ■

Matt Mondoux, CFA®, CFP®, CMT®, sits on the investment committee and is an adviser at Blue Chip Partners, Inc., a privately owned, registered investment advisory firm based in Farmington Hills, Michigan.

Visit www.bluechippartners.com

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer in his personal portfolio or those of his clients.

Savings Plans Expanded to Include Apprenticeships, Private K-12 Schools

529 Plans: New and Improved

by Alexandra Armstrong, CFP®, CRPC®, and Christopher Rivers, CFP®, CRPC®

Following our discussion of financial aid last month, we thought it was time to take a fresh look at Section 529 plans. In addition, recent regulatory changes have expanded how these plans may be used, opening up new opportunities for families planning for higher education expenses.

529 Savings Plans Provide a Tool For Funding Education

A 529 plan is a trust account that allows you to fund future educational expenses for a designated beneficiary. Typically, the account owner is the parent or grandparent, and the beneficiary is a child or grandchild, but these accounts may be set up for anyone.

Each state offers its own state-sponsored plan and contributions are invested into a menu of options provided by the plan. The primary benefit of the 529 savings plan is that the these investments grow in the plan tax-free, as long as the distributions are used for qualified education expenses. In addition, in some states you obtain a tax deduction for your investment when you invest in a 529 plan.

Historically, 529 plans were focused on post-secondary education. Recent changes have expanded the use of these accounts considerably. Before we address these changes, we'll focus on the benefits and mechanics of 529 savings plans.

Do I Have to Invest in a 529 Plan Sponsored by My State of Residence?

While each state sponsors its own 529 plan, you don't have to invest in your home state plan. Regardless of the plan you choose, you can use the money to fund expenses at any eligible school. You're not limited to using the money at schools within your state or the state of the plan. The fees, expenses, investments and tax benefits of 529 plans vary from state to state.

What Can Distributions From 529 College Savings Plans Be Used for?

Money withdrawn from these plans is fully tax-free if used for qualified education expenses. These are defined as: tuition, room and board costs, student activity fees, as well as computers, internet access and related equipment at an eligible educational institution. An eligible educational institution is any college, university, vocational school or other postsecondary educational institution eligible to participate in a student aid program administered by the U.S. Department of Education.

Eligibility includes virtually all accredited public, private and for-profit postsecondary institutions. In addition, certain schools outside the United States are eligible.

Expenses for course-related books, supplies and equipment are also included in qualified education expenses, if the expenses must be paid as a condition of enrollment or attendance. Students living off-campus can include expenses in lieu of "room and board," up to a FAFSA (Free Application for Federal Student Aid) limit on room and board published by each school.

You can check online with the FAFSA to see whether your institution qualifies, using their "Federal School Code Search."

But Wait, There's More …

In recent years regulatory changes have expanded what expenses 529 plans can be used for, tax-free. Distributions from 529 plans now can be made for up to $10,000 per year to pay for kindergarten through 12th grade private school tuition.

In addition, up to $10,000 per student can be withdrawn tax-free to pay down student loans. It's important to note that in this case $10,000 is a lifetime limit. However, an additional $10,000 can be drawn down to pay student loans held by the beneficiary's sibling.

> **"Students living off-campus can include expenses in lieu of 'room and board' up to a FAFSA limit on room and board published by each school."**

Finally, a recent change added apprenticeships to the list of qualified education expenses.

Will Investing in a 529 Plan Negatively Impact Eligibility for Financial Aid?

We covered this issue in depth in last month's article, as the rules are changing next year.

FAFSA rules determine how the assets in 529 plans are counted when calculating aid and the calculation changes depending on who owns the 529 plan.

If a parent owns the 529 plan, it's counted similar to other parental investment accounts, with 5.64% of the value included in the aid calculation. If the student owns the 529 plan, the asset is counted as a student asset at 20% of the assets in the 529 plan and the payment to the school is counted as student income as well.

In the past, grandparent-owned 529 plans had a significant negative effect on need-based aid, but the rules are changing. In 2023 and beyond, grandparent assets are no longer part of the financial aid calculation. Thus, there is a clear incentive to have the grandparents own the 529 plan, whenever possible.

Do I Get a Tax Deduction for Investing in a 529 Plan?

Although the amount of your contribution in these plans isn't federally tax-deductible, it's often partially tax-deductible on your state income tax, up to certain limits. This state tax break is typically only available if you use your home state's plan. However, seven states (Arizona, Arkansas, Kansas, Minnesota, Missouri, Montana and Pennsylvania) offer tax deductions for contributions to any 529 plan.

What Is the Maximum I Can Invest in a 529 Plan?

Currently each individual may contribute as much as $80,000 at one time into a 529 plan for a particular beneficiary without exceeding the annual gift tax exclusion ($16,000 in 2022), using a technique called five-year forward gifting.

$ Growth in 529 Plan Based on Start Date, 5% Return, Adding $5K Contribution Annually

5 Years	10 Years	18 Years
$27,932	$63,277	$141,234

But be aware that "front-loading" the 529 plan with $80,000 means you're using five years of your annual gift tax exclusion at one time, and this requires the filing of an Internal Revenue Service Form 709 gift tax return. Any further contributions you make to the plan within five years would then be subject to the gift tax. Gifts by others to the plan would not be subject to this limit.

A husband and wife can contribute twice that amount per child for a total of $160,000 in a lump sum. This also requires filing a Form 709 gift tax return to acknowledge that the gift is being split.

Under federal law contributions to a 529 plan cannot exceed the expected cost of qualified higher education expenses. This limit varies by state, from a low of $235,000 (Georgia, Mississippi) to a high of $550,000 (Missouri). Once you reach that limit no further funds may be added.

When Should I Start Contributing to a 529 Plan?

As with most investments, the earlier you start the better. If you're able to start when the child is born and contribute annually the benefits can mount up. For example, let's assume you contribute $5,000 each year to the 529 fund and that you earn a relatively modest 5% annual return. If you started five years before college, you would have $27,932 available at the time of enrollment. But if you started contributing at the child's birth, you would have $141,234 available at enrollment (*see chart*).

How Are Distributions Made?

Withdrawals from a 529 savings plan can be paid to the account holder, the beneficiary or directly to the educational institution. The paid education costs and the matching reimbursement withdrawal must take place in the same calendar year.

What Are the Penalties if I Withdraw Money and Don't Use It for Qualified Higher Education Expenses?

In this case, the gains will be taxable at the account holder's tax bracket and will be subject to a 10% federal surcharge, with exceptions for the beneficiary's death, disability or receipt of a scholarship.

What Happens if I Set Up a Fund for Someone Who Doesn't Go to College?

In most states these plans can remain in existence indefinitely. There's no age limit for distributions. Further, the unused benefit can be transferred to another member of the designated beneficiary's family:

- **spouse;**
- **son or daughter or descendant** of the beneficiary's son or daughter;
- **stepson or stepdaughter**
- **brother, sister, stepbrother** or stepsister;
- **father or mother or** ancestor of either parent;
- **stepfather or stepmother;**
- **niece or nephew;**
- **aunt or uncle;**
- **the spouse of any individual** listed above;
- **first cousin;**
- **anyone for whom the home of the beneficiary** is his or her primary home for the entire tax year.

The beneficiary may be changed only once every 12 months.

Continued on page 29

Policy Safeguards Assets Beyond Coverage Given by Auto, Home Policies

Umbrella Insurance: Why It Matters

by Malik S. Lee, CFP, CAP, APMA

Constructing and following a financial plan isn't easy, especially when taking a comprehensive approach. Most individuals focus more on investing but fail to address other key areas, like tax and estate planning. One crucial component that people often overlook is insurance — more specifically, property and casualty insurance.

Within the property and casualty insurance category lies a small but impactful protection tool: umbrella insurance, also called excess liability insurance. As your financial situation becomes more complex and your net worth grows, so does your need for umbrella insurance.

Umbrella insurance is essential in comprehensive financial planning. Here's why you should discuss it with your financial planner or insurance expert. Umbrella insurance covers potential gaps left by other insurance policies you may already have in place. If you accrue expenses related to claims that exceed the coverage limits of an existing policy, umbrella insurance could help cover those excessive costs.

Umbrella insurance also acts as an extra layer of protection against financial hardship should a significant accident or unexpected event occur. If put in place properly, this insurance can act as an emergency brake to protect your personal savings and assets.

If you're sued for damages beyond the liability limits of your car insurance, homeowners insurance or other coverages, an umbrella policy can cover the remaining balance. These situations are more common than you might think. For example, imagine you own a trampoline in your backyard. You get home from a long workday and see all of the neighborhood kids bouncing on your trampoline — and several of them become severely injured. The total cost to treat all the injuries is $300,000. But you only carry $100,000 in liability coverage through your homeowners insurance.

The remaining $200,000 would have to come out of your pocket. That's a significant hit — and an excellent reason to think carefully about purchasing umbrella coverage. In this scenario, umbrella insurance could cover what your homeowners insurance does not.

Coverage limits on umbrella policies typically start at $1 million and, in most cases, go as high as $5 million. Basic policies at the lower end of that coverage range can cost between $150 and $400 per year. An important caveat: For you to get approved for umbrella insurance, you first need to maintain the minimum coverage amounts required by your underlying insurance companies (for policies like home and auto).

This requirement protects the insurance carrier from individuals trying to carry minimum state liability coverages and supplement those coverages with the meager cost of an umbrella policy.

While it's easy to understand why someone needs to obtain an auto or homeowners insurance policy, the average consumer is often perplexed about why they need to add another insurance. Though umbrella insurance is optional in every state, many higher-net-worth individuals might benefit from obtaining the coverage.

One of the biggest reasons to obtain umbrella insurance is to safeguard your savings or assets. You should also consider coverage if a guest can potentially injure themselves on your property. Owning, renting or borrowing things such as a pool, treehouse, ATV, trampoline or even a dog can make you liable for major expenses if somebody gets hurt.

Being responsible for other individuals can also place you at risk of being sued. If you're a landlord, coach a kids' sport team or serve on the board of a nonprofit, your responsibilities might put you in a vulnerable position. Umbrella coverage can offset any major expenses you might incur through this work. Participating in sports where you can easily injure others, such as skiing, surfing, hunting or mixed martial arts, also opens you up to risk. In fact, any activity — work or pleasure — in which you might accidentally injure someone could make an umbrella insurance policy worth the cost.

Finally, consider umbrella coverage if you need to protect yourself from defamation lawsuits, like libel and slander. Those proceedings can get costly quickly.

While it might be tough to justify purchasing another insurance policy, protecting the assets that you've worked so hard to grow is important. Unfortunately, American culture spends a lot of time on litigation. With an estimated 15 million annual lawsuits filed in the U.S., obtaining the peace of mind from an umbrella policy for less than $400 a year is a no-brainer.

Malik S. Lee, CFP®, CAP®, APMA®, is managing principal of Felton & Peel Wealth Management in Atlanta and New York. Visit www.FeltonandPeel.com.

Bonds mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of bonds of interest before making an investment decision. Bonds discussed may be held by the writer in his personal portfolio or those of his clients.

Buy Now, Get Paid Later, Provided You're Still Around

Deferred Income Annuities

by Gerri Walsh, President, FINRA Foundation and Senior Vice President, Investor Education

Longevity is generally considered a blessing. But what if you live so long that you run out of money?

While Americans as a whole are living longer than in past decades, many can no longer count on the steady flow of a pension that provides lifetime income. Instead, individuals are increasingly shouldering the responsibility of crafting their own retirement income streams to supplement their Social Security benefits.

Enter deferred income annuities (DIAs). Sometimes called longevity insurance, DIAs often are purchased as an alternative to a pension by those seeking a set amount of guaranteed income in their later years. These products are typically sold by investment professionals or insurance agents. DIAs should not be confused with deferred fixed income annuities.

Think of DIAs as immediate annuities with a delayed payout phase. In both cases, you hand over a sum of money to an insurance company in exchange for a fixed payout for the rest of your life.

But unlike immediate annuities, the payout from deferred income annuities comes at a predetermined future date. DIA purchasers can also make additional contributions along the way, though insurance companies might impose limitations on additional contributions.

Patience Can Pay Off for Winners in the Longevity Game

The upside of waiting: Payouts from deferred income annuities are generally larger than what one would get with an immediate annuity, albeit generally for a shorter length of time. One reason for these larger payouts is that some people who purchase these types of annuities will pass away sooner than expected.

In the absence of a rider providing otherwise, the excess premiums that individual paid don't go to the individual's heirs.

Rather, the leftover payments, called "mortality credits," remain in the "mortality pool" and increase the pot for individuals with longer life spans. At the same time, the deferral period allows insurance companies to invest the premiums at a higher rate of return.

Another avenue for purchasing deferred income annuities is through 401(k) and IRA accounts (individual retirement accounts). An individual is allowed to take a portion of a 401(k) or traditional IRA and use it to buy a Qualified Longevity Annuity Contract (QLAC). The value of the QLAC is excluded from the retirement account balance used to determine required minimum distributions (RMDs) that must be taken when a person reaches age 72.

Internal Revenue Service rules allow investors to use a portion of funds from qualified retirement accounts (up to a limit adjusted by the IRS each year) to purchase a QLAC without it counting as a currently taxable withdrawal. You can delay RMDs for funds used to purchase a QLAC up to age 85, and you won't start paying taxes on the money until you start receiving payments from your annuity. Here are some other things to consider if you're thinking about buying a DIA:

- **Once you hand over the money, you can't get it back.** Purchasing a DIA is generally an irrevocable decision. A person is trading liquidity — easy access to their cash — for the promise of a payout in the future. As a result, the decision requires careful consideration. Think about whether you will need this money at some point and what the consequences will be if you don't have access to it.
- **Your heirs could be out of luck.** Most DIAs don't pay your heirs if you pass away before you reach the age when you would have received benefits. You can purchase a rider that allows your heirs to receive a death benefit. But the trade-off is lower payments.
- **Don't forget inflation.** Generally speaking, payments from DIAs are not adjusted for inflation, meaning the value of your payout could be eroded over time. You can purchase an inflation protection rider but, once again, this guarantee will reduce your payments.
- **The guarantee of future payments is only as good as the insurance company backing them.** Though investors in annuities are protected by state guaranty funds if the issuer of the annuity fails, but the guaranty may not cover the full loss. You should look into the guarantee in your state, and investigate the financial stability of the insurance company backing the contract before making this irrevocable purchase. Companies such as Standard & Poor's provide ratings of insurance companies.

As is the case with any type of annuity, you're depending on the insurance company's ability to make good on its promises.

FINRA is the largest independent regulator for all securities firms doing business in the U.S. Its chief role is to protect investors by maintaining the fairness of the U.S. capital market.

Securities Sisters of Houston Was Founded in 1996

39-Stock Portfolio Put on Weight Loss Plan

by Scott D. Horsburgh, CFA®

OK, prepare to buckle in for a wild ride! Occasionally I select a portfolio for review that is in need of an extensive overhaul rather than just a tuneup. The reason for doing so is that I spot an issue that might be of interest to a range of clubs.

Last year, Securities Sisters Investment Club, of Houston, celebrated its 25th anniversary. The club began in a fairly typical fashion when a founding member wanted to learn about stocks and thought gathering like-minded friends would be a good way to learn, earn and stay in contact. After 25 years, with three of the six founders remaining in the club and a $400,000 portfolio, I would say they are achieving the founder's vision.

The clear challenge is that the club has eight members, but an unwieldy 39 stocks! The club recognizes this and has already reduced its number from 45 holdings. Most clubs assign each member to watch one or two stocks. This club has five stocks per member and it is simply too much.

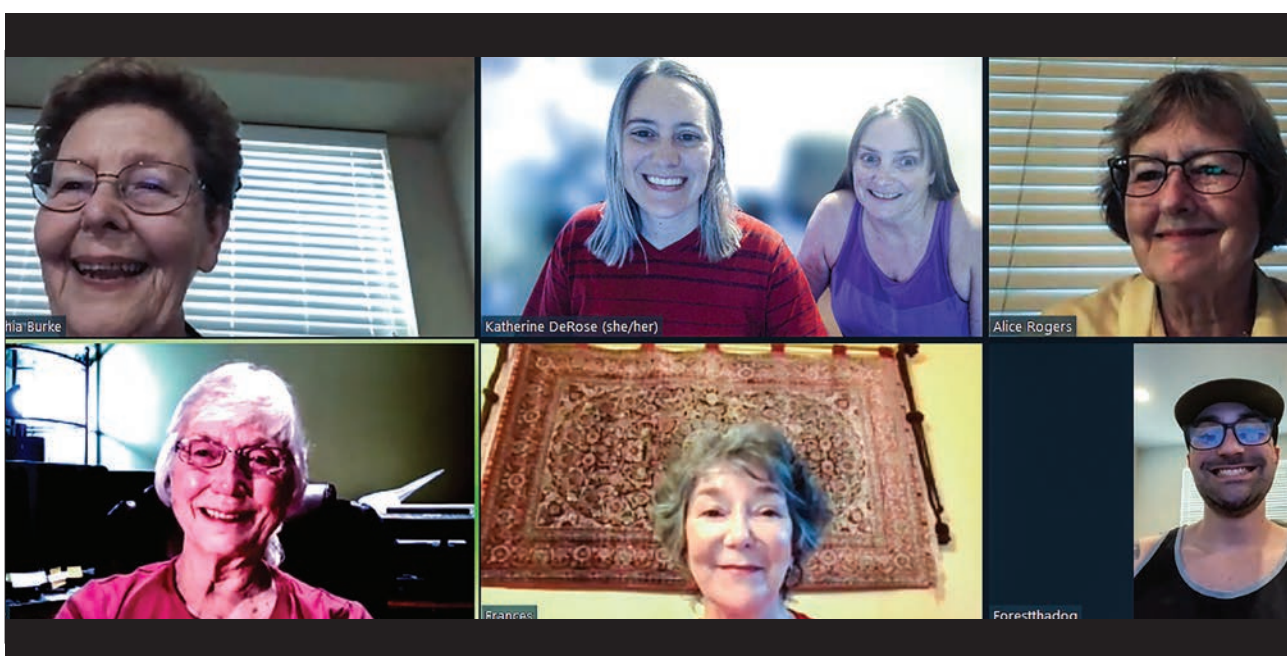
I suspect this challenge is not unique to Securities Sisters, so I will go through a process to help winnow down a bloated portfolio. Enough stocks need to be cut that each Security Sister has about two stocks to follow. That means cutting half the number of current holdings.

There are three variables to focus on: growth, sector, gains and weight. I'll take them out of order so as to minimize the number of holdings that require individual scrutiny. The winnowing process will likely result in capital gains so it is helpful to first focus on generating offsetting losses. But don't be indiscriminate so that we automatically sell off all money-losing stocks. Of the 11 money-losing stocks in Securities Sisters' portfolio, only four of them — **Amazon, Netflix, Scotts Miracle-Gro and Skyworks Solutions** — are worth a closer look. How do I know the answer is just five? I ran quick stock studies and looked at the Visual Analysis. If there isn't a pattern of long-term growth, I consider the stock expendable.

Many of the holdings represent such a small part of the portfolio that they have no impact on results. Those holdings should be built up if they are worthy or sold off entirely. I looked at all holdings that comprised less than 2% of the portfolio.

There were fewer clear sell candidates under this criterion as I jettisoned only **EOG Resources, Organon** and **Union Pacific**. Some investors are fond of EOG and Union Pacific, but both have exhibited very low long-term revenue growth.

Looking at sector weights is similarly of little help as only consumer stocks appear to be significantly overindexed in the club portfolio. But we've made some quick



Securities Sisters Investment Club. Top row, left to right: Cindy Burke, founding member; Katherine (Katie) DeRose; Karen DeRose, vice president; and Norma (Alice) Rogers, secretary. Bottom row, left to right: Sally Parker, founding member and president; Frances Mayberry, founding member and treasurer; and Dominick J. (Joey) DeRose. Not pictured: Regina Darlng, past secretary, who will be traveling and touring the world for one year.

progress in eliminating about half the number of stocks needing to be broomed out.

Now I'll go through my customary review process to see which holdings are keepers, which should be built up to bigger positions, and which should be sold off.

WD-40, Home Depot, Amazon, Disney, Netflix, Starbucks, Scotts Miracle-Gro, Constellation Brands, iRobot

WD-40 is the club's largest holding in the consumer sector. The company makes its namesake lubricant, 3-in-1 Oil, LAVA soap and other niche products. Rising costs have put a dent in recent profits, and its share price. Over

Securities Sisters Investment Club

Company	Ticker	No. shares	Cost	July 21, 2022 Price	July 21, 2022 Value	Gain/ (loss)	%Gain/ (loss)	Quality rating*	% Growth estimate**	% of portfolio	Trailing P/E	Trailing EPS
Alphabet	GOOGL	80	$ 4,606	$ 114.34	$ 9,147	$ 4,541	98.6	1	15	2.4	21	5.53
Amazon	AMZN	100	15,869	124.63	12,463	(3,406)	(21.5)	2	20	3.3	60	2.07
American Express	AXP	90	6,792	150.18	13,538	6,746	99.3	2	6	3.6	15	9.98
Amgen	AMGN	58	9,354	245.78	14,178	4,824	51.6	1	9	3.7	20	12.45
Apple	AAPL	278	7,989	155.35	43,212	35,223	440.9	1	12	11.3	25	6.16
Berkshire Hathaway	BRK.B	55	11,126	286.85	15,777	4,651	41.8	1	8	4.1	8	37.00
Carrier Global	CARR	137	1,634	38.27	5,233	3,599	220.2	3	6	1.4	16	2.32
Constellation Brands	STZ	10	2,001	242.28	2,524	523	26.1	3	6	0.7	37	6.62
Crown Castle International	CCI	10	1,733	173.01	1,796	64	3.7	3	7	0.5	24	7.11
Cummins	CMI	49	5,810	206.13	10,149	4,339	74.7	2	10	2.7	15	13.46
CVS Health	CVS	127	4,675	93.19	11,831	7,157	153.1	2	9	3.1	15	6.02
Disney	DIS	102	8,688	104.18	10,589	1,903	21.9	2	12	2.8	70	1.48
EOG Resources	EOG	57	5,035	103.56	5,881	846	16.8	3	5	1.5	14	7.49
ExxonMobil	XOM	206	13,117	87.75	18,094	4,977	37.9	3	0	4.8	15	6.00
Home Depot	HD	88	4,996	305.00	26,877	21,881	438.0	1	12	7.1	19	15.75
Honeywell International	HON	58	5,607	180.03	10,406	4,801	85.6	1	5	2.7	24	7.53
IBM	IBM	22	2,891	127.15	2,813	(78)	(2.7)	2	5	0.7	20	6.31
International Paper	IP	24	1,286	43.27	1,029	(256)	(20.0)	3	3	0.3	10	4.54
iRobot	IRBT	25	816	44.88	1,122	306	37.4	3	5	0.3	N/A	(0.33)
Kinder Morgan	KMI	199	6,255	17.66	3,516	(2,740)	(43.8)	3	1	0.9	17	1.07
Kyndryl Holdings	KD	4	125	10.66	47	(78)	(62.6)	4	0	0.0	N/A	(6.89)
Merck	MRK	68	3,056	90.14	6,157	3,101	101.5	1	8	1.6	16	5.49
Microsoft	MSFT	10	1,893	264.84	2,691	799	42.2	1	16	0.7	28	9.58
Netflix	NFLX	40	11,082	223.88	8,955	(2,127)	(19.2)	2	10	2.4	20	11.25
Nexstar Media Group	NXST	15	1,880	182.89	2,671	791	42.0	3	10	0.7	10	19.02
Nucor	NUE	28	1,721	128.52	3,645	1,924	111.8	3	6	1.0	4	32.59
OrganiGram Holdings	OGI	200	1,445	1.11	222	(1,223)	(84.6)	4	10	0.1	N/A	(0.10)
Organon & Co.	OGN	7	139	31.76	215	76	54.5	3	5	0.1	6	5.12
Raytheon Technologies	RTX	141	5,038	94.89	13,377	8,340	165.5	1	7	3.5	34	2.82
Schlumberger	SLB	102	3,987	33.63	3,426	(561)	(14.1)	3	1	0.9	18	1.84
Scotts Miracle-Gro	SMG	81	10,887	87.19	7,047	(3,840)	(35.3)	4	8	1.9	12	7.17
Skyworks Solutions	SWKS	58	7,113	106.15	6,269	(843)	(11.9)	3	12	1.6	13	8.23
Starbucks	SBUX	93	3,130	83.54	7,769	4,640	148.3	1	12	2.0	22	3.73
Stryker	SYK	36	1,996	200.24	7,282	5,286	264.8	1	12	1.9	38	5.26
Tesla	TSLA	15	2,689	815.12	12,227	9,538	354.7	3	30	3.2	111	7.37
Union Pacific	UNP	27	4,149	211.90	5,644	1,496	36.1	1	6	1.5	20	10.52
Waste Management	WM	143	5,743	155.25	22,140	16,397	285.5	3	8	5.8	34	4.54
WD-40 Co.	WDFC	175	7,867	181.39	31,735	23,868	303.4	1	8	8.3	41	4.43
Zoom Video Commmunicatios	ZMZ	6	1,572	110.85	665	(907)	(57.5)	4	20	0.2	27	4.12
Cash & Other			18,366		18,366			1		4.8		
Average									9		25	
TOTAL			**$214,155**		**$380,727**	**$166,572**	**77.8**			**100**		

* Based largely on rankings published by Value Line.
** As estimated by the author, with data from Thomson Reuters.
Note: Numbers in the table have been rounded.

the long run, revenue growth has averaged 3% and earnings per share about 9%. The price-earnings ratio is 41x trailing profits and 31x peak EPS.

It's hard to get enthusiastic about such modest long-term growth with that kind of valuation. One thing holding back growth is its lofty dividend payout ratio averaging 55%-60% of EPS. While I don't think WD-40 is part of the winnowing process, the club should still challenge it with other worthwhile holdings.

The next largest consumer holding is **Home Depot**. Like many other beneficiaries of the COVID-19 period, Home Depot is starting to experience "growover issues." This means growth is slowing against previous results that were aided by some aspect of the pandemic. Still, the P/E of 19 seems reasonable for its steady growth and high quality.

Amazon is another company that benefited from COVID-19, as the trend toward online shopping accelerated. It has recently indicated it has too much capacity in warehousing and delivery, suggesting that it thought the acceleration in online shopping would continue forever. Revenue growth has slowed markedly over the past three quarters. Depending on the growth rate and reasonable P/E ratios one might use, Amazon might come close to a buy. I'd be reluctant to do so with short-term business trends appearing so poor, but the case can be made for holding on to the stock.

Disney was also hammered by the coronavirus as its parks were forced to close worldwide and movie theaters shut down. Partially offsetting these negatives were its fledgling streaming service, Disney+. Streaming makes a mess of its financials, however, as Disney+ continues to lose money. But now at least parks and theaters have reopened. Between its eponymous studio, Star Wars, Marvel and Pixar, Disney has an unrivaled array of filmed entertainment to feed into its streaming service. Follow Disney in the coming quarters to be sure the core business is recovering and that there is a path to eventual profitability for Disney+.

The club also has streaming leader Netflix, which has struggled to retain subscribers in recent quarters as its monthly subscription price continues to rise. Netflix is down more than two-thirds from its all-time high and is looking like a reasonable investment. In a 15-20 stock portfolio, there is only room for either Disney or Netflix. The traditional growth investor would lean toward Disney, but Netflix is currently making money in streaming while Disney is not. Pick either one.

Most **Starbucks** cafes were closed during the height of COVID-19, but the company has mostly recovered. Sales and profits have gone on to new highs, but the company hasn't reached its previous growth trends. Still, with a trailing P/E of 22 times somewhat depressed earnings potential and a strong brand that continues to grow, Starbucks is a survivor in the Securities Sisters portfolio and warrants more investment than its paltry 2% weight.

Scotts Miracle-Gro owns iconic yard care brands like its namesakes as well as Turf Builder and Ortho. Its business and share price got a boost from broadening legalization of cannabis in recent years as its Hawthorne subsidiary is a leading supplier of hydroponics to that market. Demand for hydroponics has softened lately. Also, the company has doubled its long-term debt over the past two years with much of the proceeds being used to finance inventory and accounts receivable. Scotts' pre-cannabis growth was uninspiring so an investment in the company should reflect a belief that the hydroponics market will recover. At a P/E of 12, one is being paid to wait.

Constellation Brands is the alcoholic beverage business — beer, wine and distilled spirits. It appears to have been struggling against niche brands in recent years as growth has slowed markedly. Its P/E of 37 is on a GAAP (generally accepted accounting principles) basis, but most investors value the company excluding non-cash items like amortization of acquired intangibles. The P/E is still over 20 on this generous basis, making it a good candidate to be winnowed from the portfolio.

iRobot sells the legendary Roomba robotic vacuum cleaner. It began to weaken a couple of years ago when faced with heavy tariffs to import its products from China while new products like robotic lawnmowers have struggled to gain traction. It has diversified manufacturing to Malaysia. At just 0.3% of the portfolio, it's either up or out for iRobot and considering that it is currently operating at a loss I'd say "out."

Editor's note: On Aug. 5 Amazon announced that it will buy iRobot for $61 a share in an all-cash deal valued at $1.7 billion. The deal's completion is subject to both regulatory approval and approval by shareholders.

Waste Management, Raytheon Technologies, Carrier Global, Tesla, Honeywell, Cummins, Nucor

Manufacturing stocks take up a sizable 22% of the portfolio, spread over seven companies. The largest holding in this space is **Waste Management**. The P/E of 34 appears ridiculous for a garbage hauler. On a cash flow basis, it trades at an enterprise value to EBITDA basis (earnings before interest, taxes, depreciation and amor-

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer in his personal portfolio or those of his clients.

tization) of about 16. This is somewhat high, particularly considering its debt load and heavy capital spending requirements. The club has made quite a bit of money on its Waste Management holding, but I would challenge it against better growth candidates after narrowing the portfolio to fewer holdings.

Raytheon Technologies acquired United Technologies and then spun off its Otis elevator business and Carrier heating and cooling unit. What remains is a defense and aerospace company just like pre-merger Raytheon. Growth isn't spectacular there, but clearly defense stocks are hot given the volatile world situation. Its earnings are affected by merger accounting, but that is somewhat unfair to Raytheon.

On a GAAP basis, its P/E is an expensive 34. On a non-GAAP basis, it would be 21. That is still somewhat high and this is another stock that could be ripe for a challenge from a better growth company in the future.

The club retained the shares of **Carrier Global** after it was spun off from United Technologies. Over the five years of data on my stock study, annualized revenue growth is about 4%. It's hard to project EPS growth much faster than that, maybe 6%. The P/E of 16 doesn't look bad, but its modest growth suggest it can be sold.

The Securities Sisters have clearly experimented with New Age companies in addition to tried-and-true holdings. **Tesla** is one of these and the club has made quite a bit of money on it. There is no way, however, to justify paying a P/E over 100 for a car stock, not even a cool one with a clear winner as CEO.

Diversified manufacturer **Honeywell** has registered little long-term growth. It does have the speculative appeal of its quantum computing investment, which has elevated its valuation to a P/E of 24, but there is no way of knowing what this might become. We're looking for reasons to trim back the number of holdings and you can pick no growth or lofty valuation as the rationale.

Portfolio Tuneups

Would your club like a review of its portfolio? Send your valuation statement and a description of your club's history and challenges to "Repair Shop," in care of Jan Jeffres at janj@betterinvesting.org. You may also email your club's photos to janj@betterinvesting.org.

Cummins manufactures engines and components for heavy trucks, construction equipment and backup power generation. Sales growth isn't terrific, trending toward the mid- to high-single digits but with some sensitivity to overall economic conditions. This is what you get with industrial companies. The P/E is reasonable at 15. Cummins is probably a keeper until the club finds a better growth candidate.

After remaining flat for a decade, steelmaker **Nucor's** stock price has roughly tripled in less than two years as earnings have multiplied in the past 12-18 months. With a P/E of 4, the market doesn't believe that this level of earnings is sustainable.

The price of steel has come down as the economic outlook has cooled. I'd be reluctant to chase the stock at these levels, but it's also hard to sell a company doing this well. Either the club is an investor in Nucor or it's not — at 1% of the portfolio, it has to be either up or out, and I think it should be out.

Apple, Skyworks Solutions, Alphabet, Microsoft

Tech stocks are 17% of the Securities Sisters portfolio almost two-thirds of which is Apple. Apple is highly likely to continue growing so it is a keeper. The P/E is a bit high at 25 for growth that we project at about 12% a year. The club also owns **Skyworks Solutions**, which counts on Apple for about half its sales. Skyworks is a lot cheaper at a P/E of 13, but holding Skyworks just adds to the club's Apple exposure. The way to deal with that risk is to sell Skyworks rather than Apple, which has quintupled in price while in this portfolio.

The club also owns **Alphabet (Google)** and **Microsoft**, both of which have better growth outlooks than Apple. One is a bit cheaper (Alphabet) and the other slightly more expensive than Apple. But the club's exposure to these two is just 4% combined. Slimming down the club's portfolio frees up cash to be redeployed and I suggest the club evaluate Alphabet and Microsoft for additional investment.

Amgen, Merck, Stryker, CVS Health

About 13% of the portfolio is dedicated to the medical sector including **Amgen**, **Merck, Stryker** and **CVS Health**. Amgen makes all its money on a fairly narrow set of medicines that were discovered a long time ago. Revenue growth has crept along at a low single-digit pace over the past five years. Almost all EPS growth has come from buying back its own stock.

Through this lens, it is misleading to consider this a 9%-10% growth company. One can get away with paying a P/E of 20 for a slow-growing health care company, but why not try to do better?

Merck suffered from the same difficulties as Amgen — slow revenue growth with much of its EPS growth coming from share buybacks. One difference is the P/E, lower at 16 in the case of Merck. Recent results have improved thanks to an acquisition. Merck might be a candidate to upgrade to a full position.

Another of the club's medical holdings, Stryker, features better growth but much of that comes from acquisitions. These deals also make it hard to assess its valuation. On a GAAP basis, Stryker trades for 38x earnings.

On a non-GAAP basis that overlooks the amortization of intangible assets from acquisitions, the P/E is a much more palatable 22. I'd open up Stryker to challengers even though

it might be good enough to keep during this purge process.

CVS exhibits moderate, but steady, growth. Its P/E is reasonable at 15 and it pays an above-average 2.4% dividend yield. It's not exciting but is a reasonable stock to hold.

Berkshire Hathaway, American Express

The club has two stocks in the financial sector, **Berkshire Hathaway** and **American Express**. Warren Buffett is 92 and Berkshire is past its prime. Its P/E is 25, quite high for an insurance company. But these earnings exclude capital gains which are a normal part of its business. Including them, the P/E is 8. The truth is likely somewhere in between, the mid-teens. One could certainly do worse.

My stock study shows American Express growing revenue by 3% and EPS by 6% per year. There are better financial companies out there with better growth profiles and comparable P/E ratios. **First Republic** and **FleetCor** would be reasonable challengers. In the meantime, I'd leave home without AMEX in my portfolio.

Exxon Mobil, Nexstar Media, Crown Castle International

Exxon Mobil has bounced around as energy prices have gyrated over the past several years. If I knew with confidence where energy prices are headed over the next five years, that would tell me whether to keep Exxon or jettison it. I prefer companies that depend on their smarts rather than on commodity prices that are beyond their control. It is impossible to justify holding Exxon when looking at a stock study and perhaps that's all you need to know.

Left at the end of the list are two small holdings that either need to be built up or sold off. **Nexstar Media** trades for just 10x EPS. It has a lot of debt from acquisitions and advertising is economically sensitive. That said, it should benefit from what is likely to be an expensive election year and is continuing to raise prices for cable and streaming services wanting to carry its local channels. Nexstar would be a good candidate for more dollars.

Crown Castle International is a real estate investment trust (REIT) that owns cell towers and fiber networks. It trades at a multiple of 24x adjusted funds from operations (AFFO), the REIT version of EPS. It pays a 3.4% yield and should continue growing at a respectable rate. It doesn't seem quite cheap enough to make me enthusiastic, but it is an acceptable holding. But at just 0.5% of the portfolio it is either up or out.

The Streamlined Version

With some work, I was able to guide the club down from 39 stocks to a more reasonable 16-18, freeing up about 29% of the portfolio. Some were at losses, but my suggestions would generate net capital gains of $33,000, less than 10% of the entire portfolio despite the extensive restructuring. Focus on growth and be especially ruthless with small holdings.

If you can't get excited enough about a company to increase a 1%-2% position, then just sell and free up the money for better opportunities. Even some of the "survivors" of this process can still be up for a challenge if they are good enough to keep but not good enough to get excited about.

Perform regular reviews of holdings to make sure they still pass muster. If something takes a wrong turn and the stock watcher can't articulate a reason why the company can come back in no more than a year, it is time to either sell or vigorously challenge the stock with a better opportunity. Just don't collect random stocks as if they are pieces of gold — focus your time and dollars on the best opportunities.

Scott D. Horsburgh, CFA®, president of Provident Investment Management of Novi, Mich., co-authors the Investor Advisory Service newsletter.

Visit www.investprovident.com

Club Accounting

Clubs Might Devote Educational Time to ICLUBcentral's Website

Learn Your Way Around the Reports in myICLUB

by Russell Malley, Club Accounting Adviser, ICLUBcentral

In my article that appeared in the December 2021 issue of *BetterInvesting Magazine,* I recommended club members get familiar with the large selection of reports available in myICLUB. Judging from a minor surge of support questions regarding myICLUB reports, my recommendation seems to have been ignored or missed. Most of the recent questions have been requests to add a report. Fortunately for our development team, new reports have not been needed because the type of information requested was covered by an existing report.

The myICLUB club operations platform includes 47 different reports. All but two of these reports are available to every member of the club. The remaining reports include personal information on members and are restricted to treasurers and administrators for privacy protection. Such a large selection of reports does make getting each member familiar with all the reports a big task.

This is why I suggested making an educational section of club meetings devoted to myICLUB report information. Members can volunteer or be assigned a report or reports to describe to the club. Such a report should take 5 to 10 minutes. The member presenting the educational material need not initially be familiar with the myICLUB report. For most reports the needed information is available on the myICLUB site.

To access a description of a specific report, go to the Reports landing page and click the link for the desired report. Once the report appears, click the Help link at the right edge of the horizontal menu bar at the top of the page, under where your name appears.

This opens a new web page with a description of the report. For most reports this information should be enough for a quick presentation to the club. ICLUBcentral is also going to devote some webinars to the reports available in myICLUB.

The current schedule of webinars, links to register for the webinars, and access to past webinars are available at **www.iclub.com/clubs/webinar_information.asp**. This same information is available through the Videos menu on your club's myICLUB website.

The Reports landing page is organized with two navigation areas. A column on the left edge of the page lists links to individual reports. The large central section of this page has a list of individual reports with a very brief description of the report. Both navigation areas are organized chiefly by how frequently a report might be used. The left navigation column does not show every report. To view the links to reports used less frequently, click the more link at the bottom of a category.

The central page navigation area lists all reports immediately upon the Reports landing page being displayed. The reports are organized into the same categories in both navigation areas.

A recent comment of a club member (my wife) was that the Reports landing page was "intimidating." If this applies to your members, it's worth getting over any intimidation. The reports offered in myICLUB are there to help the club track the performance of its portfolio, manage the portfolio, encourage member participation (StockWatcher reports), help reconcile club records with statements from financial institutions and aid in finding possible accounting entry errors. This is just a partial list of how the reports in myICLUB can contribute to the smooth operation of a profitable investment club. It's well worth members knowing what is available in the reports and how the reports can be used.

Investment Club Operations Digital Handbook

This manual will help you start a club, operate orderly meetings, understand club accounting concepts and start investing as a club.

www.BetterInvesting.org/club-operations

In Tough Environment, Supply Chain Challenges Continue

Church & Dwight Co., Inc.

Church & Dwight Co., Inc. (ticker: CHD), provider of a broad range of household goods and other consumer products, has plenty going for it. For one thing, the company's product mix includes items that consumers generally don't care to do without: toothpaste, deodorant and cleansers, to name a few.

Demand for such household and personal care products understandably tends to remain relatively stable throughout economic cycles. Revenues of the consumer staples company have historically tended to display smooth, upward trend lines (*see accompanying Stock Selection Guide*); its shares typically display less volatility than the overall market and stocks of companies experiencing choppier results. Steady organic revenue growth this century has been complemented by periodic acquisitions.

Cleaning Up. Church & Dwight is best known for its Arm & Hammer baking soda branded products, such as these laundry detergents.

Nevertheless, the company faces significant challenges going forward. Inflation has stretched household budgets, leading consumers to opt for lower-priced merchandise. Management has hedged its bets by offering both premium products and low-cost lines; value brands account for about 40% of net sales.

Rising energy, labor, transportation, packaging and other costs have squeezed operating margins over the past eight quarters or more. Management has projected that inflationary pressures might add about $135 million to 2022 costs.

Ongoing supply chain disruptions have constrained output, although late last year management projected that those problems might ease by mid-2022. During the worst of the disruptions, bottlenecks meant the company was able to fulfill only about 90% of orders. That contributed to management's decision to cut back on advertising and other marketing rather than fuel demand for products the company was struggling to supply.

Corporate management has taken countermeasures. For example, the company has raised prices on much of its merchandise. For some products such as laundry detergent it has slightly reduced package size while maintaining prices.

A chronic difficulty is obtaining adequate shelf display space in stores. Although Church & Dwight is a large-cap stock, it's dwarfed by giant competitors such as Proctor & Gamble (PG) that have greater market clout and command more shelf space. In that light, some analysts have criticized the company for trimming its marketing efforts.

Members of the Editorial Advisory and Securities Review Committee acknowledged that the shares tend to remain richly valued. Despite that, they suggested the stock's positive attributes and growth potential make it worth studying as a long-term investment possibility.

The stock's $94.22 close reported July 26 was 10.5% below the 52-week high of $105.28 recorded on April 27. The stock outperformed the S&P 500, which over the same time frame decreased 18.6% to 3,921.05 from a Jan. 4 high of 4,818.62.

The stock's trailing 12-month price-earnings ratio was 28.9 (*see table*); the ratio for the S&P 500 was 19.8.

CSIMarket, a financial data service, reported a TTM P/E ratio average for the personal and household products industry of 25.4. Based on figures Yahoo Finance reported, the P/E average was 31.1 for Church & Dwight and two competitors named by Morningstar. (A third competitor, showing a loss, was omitted from the calculation.)

For P/E to projected growth, or PEG, Yahoo Finance reported a ratio of 4.4 for the company, based on an average five-year expected earnings growth rate. A range of no more than 1.0 to 1.5 is generally considered desirable.

Marketing Popular Brands

The business began in 1847 when Dr. Austin Church and his brother-in-law John E. Dwight produced powdered bicarbonate of soda — baking soda —in New York City for retail distribution. The pair had started making the compound the previous year in Dwight's kitchen, according to company histories.

In 1867 the company acquired Vulcan Spice Mills, a business owned by a family member. Vulcan, the Roman god of fire, was the inspiration for the acquired firm's Arm & Hammer trademark that still appears on many company products.

Today Church & Dwight markets well-known brands of household cleaning, hygiene, health care and pet care products. In addition to Arm & Hammer, the brand lineup includes OxiClean, Nair, Orajel, Waterpik and Trojan. About 40% of its products are sold under the Arm & Hammer name.

Combined U.S. revenues represented about 82% of net sales in fiscal 2021 (ended Dec. 31, 2021). Consumer

Church & Dwight Co., Inc.

	2021 (ended 12/3/21)	2020 (ended 12/31/20)	% change	FY 2022 Q1	FY 2021 Q1	% change	FY 2022 year to date	FY 2021 year to date	% change
Net sales	$5.2 billion	$4.9 billion	6.0%	$1.3 billion	$1.2 billion	4.7%	—	—	—
Net income*	$828.7 million	$786.9 million	5.3%	$204.4 million	$220.7 million	(7.4%)	—	—	—
Diluted EPS*	$3.32	$3.12	6.4%	$0.83	$0.88	(5.7%)	—	—	—
Declared dividends	$1.01	$0.96	5.2%	$0.26	$0.25	4.0%	—	—	—

Stock exchange	NYSE	Value Line long-term earnings growth estimate	6.0%
Ticker symbol	CHD	Consensus long-term earnings growth estimate (20 analysts)	7.2%
Price at time of selection	$94.14	Consensus EPS growth rate for FY ended Dec. 2022	4.3%
Past year's price range	$80.34 – $105.28	Consensus EPS growth rate for FY ended Dec. 2023	7.9%
Recent market price	$94.22	Recent price-earnings ratio**	28.9x
Market capitalization	$22.9 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of $3.26 for the four quarters ended March 31.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

Domestic, the company's largest segment, produced $3.8 billion — 76% of net sales. The unit's revenues were up 4.6% year over year.

The segment's household lines — baking soda, room and carpet deodorizers, laundry detergent, and cat litter and other pet products — generated $2.1 billion. Personal care products — condoms, pregnancy kits, gummy dietary supplements, and oral care, skin care and hair care products — accounted for $1.8 billion. In oral care the segment markets Arm & Hammer toothpaste, Spinbrush battery-operated toothbrushes, Orajel oral analgesics and Waterpik water flossers. The unit also markets Nair and Flawless hair removal products.

Consumer International generated $912.2 million — 17.6% of the total. Net sales of its personal care and household products were up 10.1% year over year. Chief foreign markets are Australia, Canada, France, Germany, Mexico and the United Kingdom. European markets constituted about 33% of international sales, followed by Canada at 26%.

Specialty Products accounted for $336 million — 6.5% of net sales. The segment's revenues were up 12% year over year. The unit produces nutritional supplements for dairy cows; cleaning and deodorizing products for industrial and commercial buildings such as hotels, restaurants and offices; and sodium bicarbonate for industrial applications.

Matthew T. Farrell, 66, was named CEO and president in January 2016. He added the title of chairman to his resume in May 2019. Farrell joined the company in September 2006. Immediately before his appointment as CEO he served as chief operating officer and chief financial officer. He previously served as a senior executive at Ingersoll–Rand (IR), privately held Alpharma and AlliedSignal, now Honeywell International (HON).

Competitors include Clorox (CLX), Procter & Gamble (PG) and Reckitt Benckiser Group (RBGLY), Morningstar reported.

Expanding Its Household Horizons

Throughout most of its history the company chiefly sold baking soda. That changed at the beginning of this century as management set out to diversify product lines through acquisitions. Since 2001 Church & Dwight has acquired 14 "power brands" — well-known consumer names holding the first- or second-ranked market share in their categories.

In December Church & Dwight acquired TheraBreath to complement its oral care portfolio. TheraBreath markets alcohol-free mouthwash and dental products such as a teeth-whitening rinse. The deal, valued at $580 million, was a largely debt-funded transaction. TheraBreath revenues were projected to total about $100 million in 2021.

In 2020 the company acquired Matrixx Initiatives, owner of Zicam, zinc-based cough and cold remedies. The transaction, valued at $530 million, was funded with cash and debt. Zicam was projected to generate net sales of about $90 million in 2021.

Recently he company launched more than half a dozen new products. They included: Zicam immune-boosting supplement gummies; Vitafusion bi-layer vitamin gummies; two new Trojan condom lines; a Batiste brand of leave-in hair mask; and an Arm & Hammer hypoallergenic detergent for babies.

Final Notes

BetterInvesting Magazine hasn't previously featured Church & Dwight. The stock didn't appear in the Top 100 Survey of investor holdings for

2021 (*see the April 2022 issue*). The company offers a dividend reinvestment and direct purchase plan.

Shares underwent 2-for-1 stock splits in 1999, 2011 and 2016. A 3-for-2 split occurred in 2004. The company's share count has declined in each of the past nine years. In May 2021 the board approved a new share repurchase program of up to $1 billion.

The company announced plans for up to $200 million in buybacks during 2022. Church & Dwight bought back 5.2 million of its shares in 2021. Through dividends and buybacks the company returned $747.5 million to shareholders that year.

As of 2021 the company had paid a dividend for 121 years; it has had 26 consecutive years of dividend increases. In January the quarterly dividend rose 4% to $0.26 from $0.25 for an annual yield of 1.1% as of July 26.

More background on Church & Dwight and its industry, including the Value Line analyst and Value Line industry reports, can be found in the magazine section of the website.

For information, contact Investor Relations, Church & Dwight Co., Inc., Princeton South Corporate Center, 500 Charles Ewing Boulevard, Ewing, NJ 08628-3448. B

— Reporting by contributing editor Kevin J. Lamiman

Next Month's Stock to Study and Undervalued Stock

The Editorial Advisory and Securities Review Committee met on Aug. 29. The Stock to Study and Undervalued Stock that its members selected were announced shortly afterward. The below link will take you to the announcement at the BetterInvesting Newsroom:

www.betterinvesting.org/about-us/news-releases

SSG Study Notes

During your analysis of Church & Dwight Co, Inc. you might consider the following comments and questions for further study:

- **Capitalization section:** About 45% of CHD's total capital is represented by debt. The proportion makes sense given the company's strategy of buying brands to expand its reach in consumer staples. Does this proportion seem appropriate compared to industry peers? What are the relative dangers and opportunities for aggressive use of debt to grow? Shares outstanding have remained fairly stable over the past decade, suggesting that management doesn't view its shares as undervalued; would this influence your own view of whether the stock has much room to increase in price over the next five years?

- **Section 1 (Visual Analysis of Sales, Earnings and Price):** Historical sales growth over the past decade averages 6.4%, an unspectacular albeit steady rate. Because the company sells products such as toothpaste and baking soda, which aren't prone to great fluctuations in price, would you be willing to accept a similar rate going forward? EPS growth over the same period has averaged 12%, also showing steady increases. To what extent would a consumer staples company's shares tend to benefit during a period of high interest rates and inflation, when consumers might be cutting back on discretionary expenditures while buying staples.

- **Section 2 (Evaluating Management):** Pretax profit on CHD sales has averaged 18.66% over the past five years, reflecting a continuous steady rate for several years, on a par with industry powerhouse (and producer of staples) Procter & Gamble. CHD's profitability outpaces the industry average. The five-year return on equity averages 26.15%, far surpassing that of the industry and several peers. On the other hand, return on equity has been declining for the past five years; is this attributable to management mistakes or external factors such as the pandemic? As noted by BetterInvesting SSGPlus, earnings growth seems lower recently compared to the company's long-term earnings growth. Check the company's latest report to determine if this looks reasonable. EPS Quarter Change: (12.6%); EPS 10 Yr Growth: 12.0%

- **Section 3 (Price-Earnings History):** CHD boasts a long and unbroken record of paying cash dividends and raising the payout. How important are dividends to you? Does the dividend policy and financial stability they reflect help to compensate for a judgment by some analysts that CHD shares may be fully priced at the moment and thus represent a mediocre chance for substantial gains in the next five years? Although the shares are in the current "Buy" zone, according to a study performed by a member of BetterInvesting's Securities Review Committee, they could yield a compound annual growth rate of 7.9% for the next five years, assuming average dividend yield, earnings growth and an average P/E ratio. Is that return sufficient for you to risk capital, compared with other opportunities?

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer or contributors in their personal portfolios.

NATIONAL ASSOCIATION OF INVESTORS
BETTERINVESTING™
Educating Investors Since 1951

Stock Selection Guide

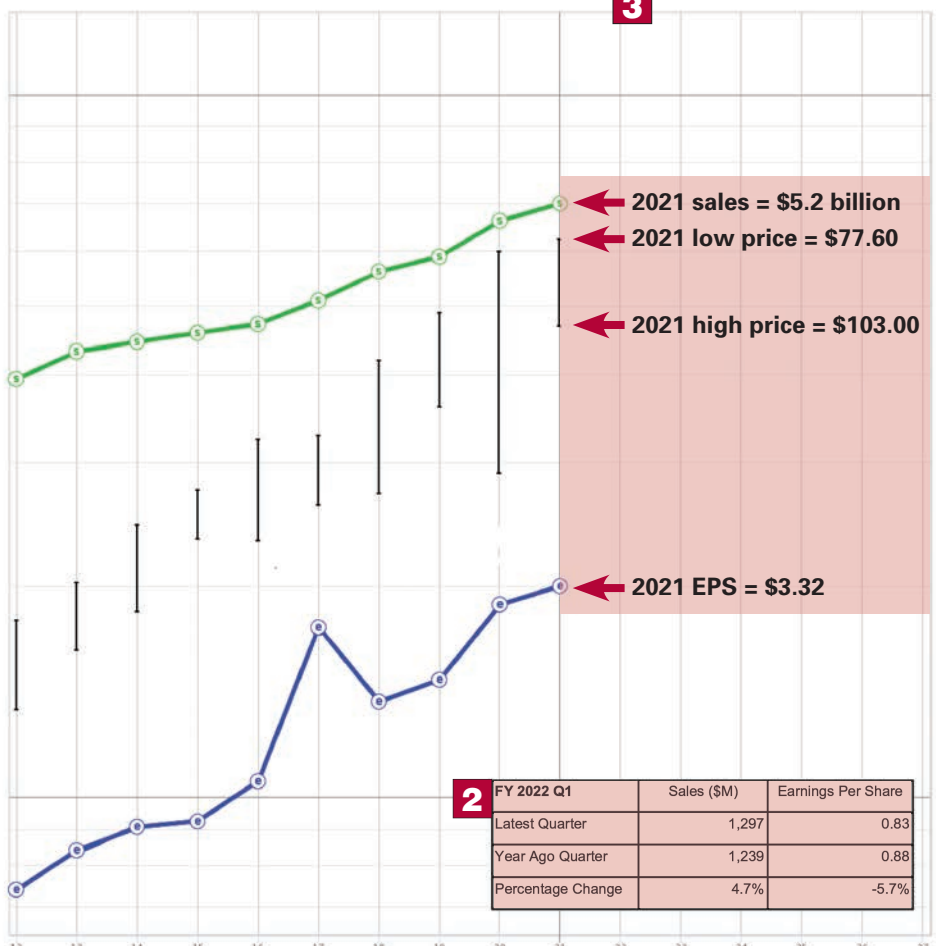
1

Company	Church & Dwight Co			Date	07/18/22
Prepared by				Data taken from	BI Stock Data
Where traded	NYS	Industry	Household & Personal Products		
Capitalization --- Outstanding Amounts				Reference	
Preferred ($M)			0.0	% Insiders	% Institution
Common (M Shares)			246.7	0.7	82.3
Debt ($M)	2,413.9	% to Tot Cap	41.5	% Pot Dil	1.7

Symbol: CHD

1 VISUAL ANALYSIS of Sales, Earnings, and Price

3



2

FY 2022 Q1	Sales ($M)	Earnings Per Share
Latest Quarter	1,297	0.83
Year Ago Quarter	1,239	0.88
Percentage Change	4.7%	-5.7%

4

(1) Historical Sales Growth 6.4%
(2) Estimated Future Sales Growth
(3) Historical Earnings Per Share Growth 12.0%
(4) Estimated Future Earnings Per Share Growth

Figure 1
Capitalization information. Besides background about the company, including the data source used for the study, this section provides information about the number of common and preferred shares and the percentages held by insiders and institutional investors. The company's total debt and the percentage of debt to total capital also are detailed.

Figure 2
Recent sales and earnings results. This section contains the company's most recent quarterly results along with a comparison of results from the same quarter a year ago.

Figure 3
Visual analysis of sales, earnings and price. The graph provides a quick view of the company's financial results. A long-term history of consistent sales and earnings growth at relatively high rates indicates the company is well-managed and worth the time to study further.

The company's historical sales growth is plotted on the green line and historical earnings growth is represented by the blue line. The black bars provide information about the stock price. For each year, the top of the bar is the annual high price, while the bottom is the low price.

Figure 4
Forecasting future sales and earnings growth rates. This is the section in which you provide the first two primary judgments. The core of the BetterInvesting methodology is this: Sales growth drives earnings growth, and earnings growth drives stock price. Using the Stock Selection Guide, you'll forecast growth rates and determine the stock's potential high and low prices over the next five years.

The first step is to forecast sales growth. The company's historical performance is useful information, but you'll need to research the company and decide whether its revenue growth will continue at the historical level, slow down or possibly speed up.

After estimating sales growth, the next step is to forecast growth in earnings per share. In many cases you can estimate EPS growth that's similar to the rate you used for sales. EPS growth can differ from sales because of rising or falling expenses, an increasing or decreasing number of outstanding common shares and changing tax rates.

Remember, however, that even though a company can grow earnings faster than sales by cutting costs or buying back shares, this can't last forever. EPS growth eventually will drop to the same rate as sales.

You'll use the estimated growth rate for earnings to forecast the earnings per share five years from now. On the second page of the SSG, you'll use the future EPS to determine the stock's potential high price.

A key question to ask yourself is whether the company is growing at a sufficient rate relative to its size. Look for higher growth rates for small companies compared with medium-size and large companies.

Editor's note: The Value Line and Morningstar company and industry reports are available at the website's homepage under the Learning Center tab, BetterInvesting Magazine *section, for your use in conducting stock studies. You'll need Adobe Acrobat software to read the Portable Document Format files.*

2 EVALUATING MANAGEMENT

Company Church & Dwight Co. (CHD)

		2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	LAST 5 YEAR AVG.	TREND UP	TREND DOWN
A	% Pre-tax Profit on Sales (Net Before Taxes ÷ Sales)	18.6	18.7	19.0	18.7	20.2	18.3	17.4	17.8	19.9	19.9			
B	% Earned on Equity (E/S ÷ Book Value)	16.5	17.4	19.2	19.5	21.0	36.8	23.8	23.4	23.9	22.9			

5

3 PRICE-EARNINGS HISTORY as an indicator of the future

This shows how stock prices have fluctuated with earnings and dividends. It is a building block for translating earnings into future stock prices.

PRESENT PRICE _____ HIGH THIS YEAR _____ LOW THIS YEAR _____

	Year	A PRICE HIGH	B PRICE LOW	C Earnings Per Share	D Price Earnings Ratio HIGH A ÷ C	E Price Earnings Ratio LOW B ÷ C	F Dividend Per Share	G % Payout F ÷ C X 100	H % High Yield F ÷ B X 100
1	2017	54.2	43.2	2.90	18.7	14.9	0.76	26.2	1.8
2	2018	69.5	44.9	2.27	30.6	19.8	0.87	38.3	1.9
3	2019	81.0	59.6	2.44	33.2	24.4	0.91	37.3	1.5
4	2020	99.0	48.0	3.12	31.7	15.4	0.96	30.8	2.0
5	2021	102.00	77.6	3.32	31.0	23.4	1.01	30.4	1.3
6	TOTAL								
7	AVERAGE								

6

8 AVERAGE PRICE EARNINGS RATIO 9 CURRENT PRICE EARNINGS RATIO

4 EVALUATING RISK and REWARD over the next 5 years

Assuming one recession and one business boom every 5 years, calculations are made of how high and how low the stock might sell. The upside-downside ratio is the key to evaluating risk and reward.

A HIGH PRICE — NEXT 5 YEARS

Avg. High P/E _____ (3D7 as adj.) X Estimate High Earnings/Share _____ = Forecast High Price $ _____ (4A1) 7

B LOW PRICE — NEXT 5 YEARS

(a) Avg. Low P/E _____ (3E7 as adj.) X Estimated Low Earnings/Share _____ = $ _____

(b) Avg. Low Price of Last 5 Years = _____ (3B7)

(c) Recent Severe Market Low Price = _____

(d) Price Dividend Will Support Present Divd. / High Yield (H) = _____ = _____

Selected Estimate Low Price _____ = $ _____ (4B1) 8

C ZONING

_____ (4A1) High Forecast Price Minus _____ (4B1) Low Forecast Price Equals _____ (C) Range. 1/3 of Range = _____ (4CD)

(4C2) Lower 25% = (4B1) _____ to _____ (Buy)

(4C3) Middle 50% = _____ to _____ (Maybe)

(4C4) Upper 25% = _____ to _____ (4A1) (Sell) 9

Present Market Price of _____ is in the _____ (4C5) Range

D UP-SIDE DOWN-SIDE RATIO (Potential Gain vs. Risk of Loss)

High Price (4A1) _____ Minus Present Price _____

Present Price _____ Minus Low Price (4B1) _____ = _____ = _____ (4D) To 1 10

E PRICE TARGET (Note: This shows the potential market price appreciation over the next five years in simple interest terms.)

High Price (4A1) _____ = (_____) X 100 = (_____) - 100 = _____ (4E) % Appreciation

Present Market Price _____

5 5-YEAR POTENTIAL

This combines price appreciation with dividend yield to get an estimate of total return. It provides a standard for comparing income and growth stocks.

Note: Results are expressed as a simple rate; use the table below to convert to a compound rate.

A Present Full Year's Dividend $ _____

Present Price of Stock $ _____ = _____ X 100 = _____ (5A) Present Yield or % Returned on Purchase Price

B AVERAGE YIELD OVER NEXT 5 YEARS

Avg. Earnings Per Share Next 5 Years _____ X Avg. % Payout (3G7) _____ = _____ = _____ (5B) %

Present Price $ _____

C ESTIMATED AVERAGE ANNUAL RETURN OVER NEXT FIVE YEARS 11

5 Year Appreciation Potential (4E) _____ / 5 _____ %

Average Yield (5B) _____ _____ %

Average Total Annual Return Over the Next 5 Years (5C) _____ %

Figure 5

Evaluating management. The key to successful investing is finding well-managed companies whose stocks are reasonably priced. The company's historical growth rates provide evidence of good management, as do the numbers in this section.

Pre-tax profit margins represent how much of each sales dollar a company keeps before taxes. We look at pre-tax margins because companies have limited control over their tax rates. Look for stable or growing margins.

Return on equity indicates how well the company manages the money share-holders have invested in the company. Again, look for stable or growing returns.

Figure 6

Price-earnings ratio history. Section 3 includes information you'll use in Sections 4 and 5. Columns D and E detail the high and low P/Es for each of the past five years. You can also see the average P/E for the last five years as well as the current P/E. Information about the dividend yield also is offered.

Figures 7 & 8

Forecasting the high and low prices. The stock's P/E history will inform your judgments about the potential high and low prices. Multiply your predicted high P/E by the high EPS you calculated on the first page to determine the potential high price. Multiplying the expected low P/E by the low EPS (for a growth company, this often is the most recent year's earnings) is one way to predict the future low price.

Figures 9 & 10

Buy-Hold-Sell zones and upside-downside ratio. After calculating the potential high and low prices, you can use the SSG to determine whether the stock is reasonably priced. The upside-downside ratio compares the potential price increase to the potential price drop. Look for stocks that are both in the Buy zone and have an upside-downside ratio of at least 3 to 1; beware of abnormally large or small ratios.

Figure 11

Estimated average annual return over the next five years. In this final section, you'll learn about the stock's potential return over the next five years. This figure includes both the expected return from increases in the stock's price and predicted dividends.

Stocks and mutual funds mentioned in BetterInvesting Magazine *articles are used as illustrations or suggestions for study and are presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC's BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer or contributor in their own personal portfolios or in those of their clients.*

Ramping Up With EVs

Ford Motor Company

Ford Motor Company (ticker: F) is bouncing back after experiencing a rough patch resulting from pandemic-driven supply chain constrains and related challenges. With Ford's improving circumstances and increasing emphasis on battery electric vehicles, the company's stock may be gaining some attractiveness.

The share price had been dropping since mid-January. Concerns included predictions of a looming recession; Ford is a cyclical, capital-intensive company, so the prospect of a recession likely contributed to investor skittishness.

Another uncertainty has been whether its new CEO can successfully guide Ford through an extensive restructuring. He also must steer Ford toward a future involving both increased EV production and continuing manufacture of internal combustion pickups and SUVs, which are more profitable than the passenger cars the company has largely abandoned.

New Edition. The 2023 Ford Maverick Tremor is an entry-level choice for drivers who want to go off-road while still having an easy ride in the city. Production starts this fall.

In October 2020, James D. Farley Jr., 60, became CEO and president, taking over the job from James P. Hackett. Farley joined Ford in November 2007 and previously served as a senior executive at Lexus, a unit of Toyota (TM).

The company has set ambitious targets for EV production, aiming to make them up to half its output by 2030. Corporate management has made a five-year, $50 billion commitment to EV investment, setting a production goal of up to 2 million units by 2026.

That would represent a significant ramp-up; Ford sold just 27,140 EVs in 2021. A member of the Editorial Advisory and Securities Review Committee said one burning question is whether the company has the timing right or has gotten too far ahead of consumer demand for EVs.

The stock's $12.54 close reported July 26 was 106.3% below the 52-week high of $25.87 recorded on Jan. 13. Its trailing 12-month price-earnings ratio was 4.4; the ratio for the S&P 500 was 19.8.

Since late July the share price has climbed in response to positive news. On Aug. 11, near press time, the stock closed at $15.50, up 23.6% from the July 26 share price.

Second quarter net income rose to $667 million, up about 19% year over year. Revenue increased to $40.2 billion, up 50%. Sales in North America alone stood at $29.1 billion, up 94% year over year.

(Editor's note: Second quarter results were released the day after the committee's July 26 meeting. Results displayed in the accompanying table were pegged to the committee meeting date.)

In July the monthly vehicle sales total leaped forward, climbing 37% from a year earlier. That largely related to a plunge in vehicle production a year earlier. A Japanese factory producing semiconductors for automakers suffered a fire that briefly disrupted supplies.

Demand has been particularly high for the F-150 Lightning, the electric version of Ford's popular pickup. Launched in May, the Lightning recently had approximately 200,000 orders booked. Ford plans to produce about 150,000 of the vehicles annually by 2023.

According to one estimate, Ford will have produced about 16 million vehicles by the end of 2022, seasonably adjusted. That would be up about 7% from 15 million the year before.

Inventory shortfalls have continued, however. Ongoing shortages of semiconductor chips and other parts are still limiting production; chip supply problems appear likely to continue well into 2023. Inflationary pressures still squeeze margins despite vehicle price hikes made possible by the limited inventories on dealer lots. Those increases and rising interest rates could crimp customer demand.

CSIMarket, a financial data service, reported a TTM P/E ratio average for the auto and truck manufacturers industry that wasn't meaningful. Based on figures Yahoo Finance reported, the ratio average for Ford and three competitors named by Morningstar was 7.5.

For P/E to projected growth, or PEG, Yahoo Finance reported a ratio of 0.3 for Ford based on an average five-year expected earnings growth rate. A range of no more than 1.0 to 1.5 is generally considered desirable.

Corporate Road Map

Ford is the nation's second-largest car and truck producer behind General Motors (GM). Leading product lines are Lincoln luxury autos and Ford cars, trucks, SUVs and electrified vehicles. Ford reportedly held 12.4% of the domestic vehicle market in 2021. In addition to manu-

Ford Motor Company

	2021 (ended 12/31/21)	2020 (ended 12/31/20)	% change	FY 2022 Q1	FY 2021 Q1	% change	FY 2022 year to date	FY 2020 year to date	% change
Net revenues	$136.3 billion	$127.1 billion	7.2%	$34.5 billion	$36.2 billion	(4.8%)	—	—	—
Net income*	$18.0 billion	($1.3) billion	—	($3.1) billion	$3.3 billion	—	—	—	—
Diluted EPS*	$4.45	($0.32)	—	($0.78)	$0.81	—	—	—	—
Dividends	$0.10	$0.15	(33.3%)	$0.10	—	—	—	—	—

Stock exchange	NYSE	Value Line long-term earnings growth estimate	33.5%
Ticker symbol	F	Consensus long-term earnings growth estimate (21 analysts)	74.2%
Price at time of selection	$12.84	FY ended December 2022 consensus EPS growth estimate	21.4%
Past year's price range	$10.61 – $25.87	FY ended December 2023 consensus EPS growth estimate	5.2%
Recent market price	$12.54	Recent price-earnings ratio**	4.4x
Market capitalization	$49.5 billion		

* Excluding nonrecurring and special items.

** The P/E ratio is based on diluted EPS of $2.86 for the four quarters ended March 31, 2022.

Sources: Morningstar, Yahoo Finance, Value Line and company reports

facturing vehicles and their replacement parts, the company offers automotive insurance and vehicle financing and leasing through its Ford Credit segment.

In fiscal 2021 (ended Dec. 31, 2021) revenues generated in North America stood at $99.6 billion — 73.1% of the total. The United States accounted for $87 billion — 63.8%.

Revenue results for other markets were as follows:

- **Germany**, $6.2 billion, 4.6%;
- **United Kingdom**, $7.6 billion, 5.6%;
- **All other**, $22.9 billion, 16.8%.

Automotive generated $148.3 billion in fiscal 2021. That was 92.5% of total revenues. Ford Credit produced $10.1 billion — 7.4%.

Mobility, the company's newest segment, develops autonomous vehicle and other new mobility technology. It accounted for revenues of $118 million — less than 0.1%.

The history of Ford Motor is one of the country's best-known business stories. Henry Ford launched the business in 1903 and built it into an industry powerhouse. The company went public in 1956.

Ford maintains a dual stock structure. Class A shares each carry one vote. Class B shares each grant 16 votes. With their holdings of class B stock, members of the Ford family control 40% of the voting power. They consequently exercise strong influence over the company's direction.

William Clay Ford Jr., 65, represents Ford family interests in the corporation. He became board chairman in January 1999. He has served as executive chairman since September 2006 and previously was CEO, starting in October 2001.

Competitors include Honda Motor (HMC), Nissan Motor (NSANY) and Renault (RNO), Morningstar reports.

Shifting of Gears

In March management announced it would split the company into two divisions: Model e for EVs and Ford Blue for vehicles with internal combustion engines.

To fund the shift to more EVs, management aims to reduce annual costs by about $3 billion. In late July press reports indicated Ford would order extensive job cuts in the Ford Blue unit.

Many of the eliminated white-collar jobs would be engineering and corporate positions in Dearborn, Michigan. Management declined to confirm estimates that at least 4,000 and perhaps up to 8,000 positions might be eliminated.

EVs require fewer parts than legacy vehicles. Some analysts therefore have projected that longer term, Ford might eliminate up to 35,000 union jobs.

One potential boost to EV demand was a proposed deal extending a federal income tax credit for buyers of the vehicles. In late July Sen. Joe Manchin, D-W. Va., and Senate Majority Leader Chuck Schumer, D-N.Y., agreed on a package of climate and health care spending measures. The proposal included a $7,500 federal income tax credit for some buyers of EVs.

In addition, automakers are lobbying Congress to lift a cap on the cumulative volume of EVs whose buyers would be fully eligible for the credit. Ford reportedly is nearing the cap — 200,000 units.

Final Notes

BetterInvesting Magazine featured Ford as the Undervalued Company for January 2002 and April 2019.

The company ranked No. 24 in the Top 100 survey of investment club holdings for 2021 (*see the April 2022 issue*). An estimated 278 clubs owned shares.

Ford ranked third on *BetterInvest-*

ing Magazine's Most Active List for the trailing eight weeks ended July 31; participating clubs reported 90 buys and 32 sells. The stock previously had shown up on either the Most Active List (eight appearances) or Most Active List: Bubbling Under (four appearances) in every issue of the magazine going back to June 2021.

Shares underwent 2-for-1 splits in 1994, 1988 and 1962; 3-for-2 in 1986 and 1983; and 5-for-4 in 1977.

Two splits stemming from a spin-off occurred in 2000: 1,748,175-for-1,000,000, and 10,000-for-9,607. A similar split occurred in 1998: 10,000-for-6,641. The company sponsors a dividend reinvestment and direct stock purchase plan.

Ford's share count has fluctuated since the turn of the century, trending upward. Value Line projected further increases in 2022 and 2023. The company has repurchased only modest amounts of stock in recent years.

Suspended in mid-2020, the quarterly dividend was reinstated in late 2021 at $0.10. That was down 33.3% from $0.15 in early 2020.

More background on Ford and its industry, including the Value Line analyst and Value Line industry reports, can be found in the magazine section of the website.

For more information contact Investor Relations, Ford Motor Company, 1 American Road, Dearborn, MI 48126–1899.

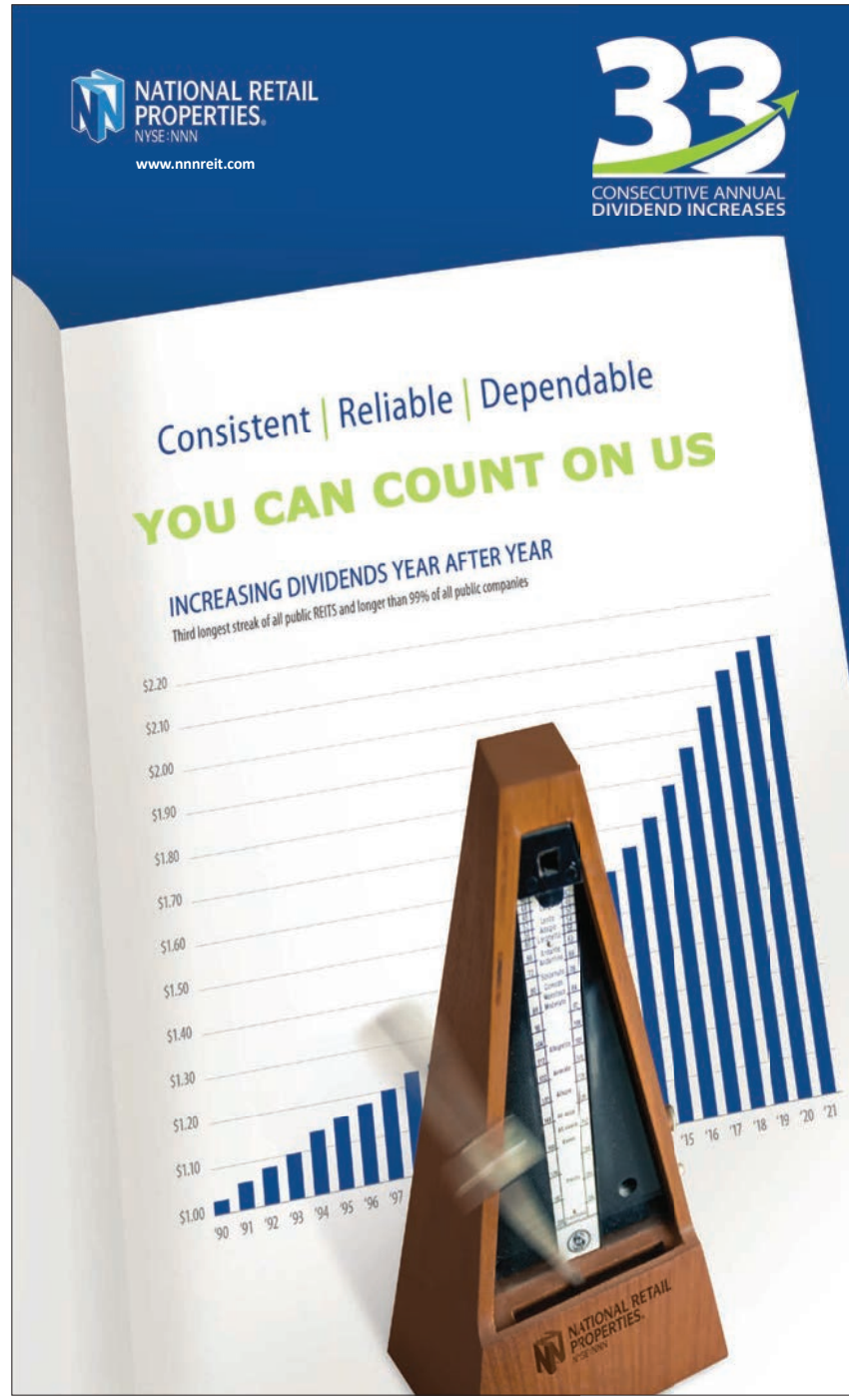
Websites of Interest

Ford Motor Company
www.ford.com

Alliance for Automotive Innovation
www.autosinnovate.org

WardsAuto
www.wardsauto.com

— Reporting by contributing editor Kevin J. Lamiman



"Ford has set ambitious targets for EV production, aiming to make them up to half of its output by 2020."

Securities mentioned in this article are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer or contributors in a personal portfolio or those of their clients.

A Buffett-Style Approach to Buy-and-Hold Investing

Volatility Is Your Friend

by Jordan Chussler

Market volatility is often misunderstood. Instead of getting caught up in panic-selling, investors are often better off holding positions in companies with sound fundamentals that are capable of weathering the storm. With the current bear market, this approach is as timely as ever.

Nobody likes unpredictability, but the last time I checked, investors don't have crystal balls and clairvoyants don't hold stockbrokers' Series 7 licenses. If they did, every shareholder from here to Tokyo would've avoided Netflix's nearly 70% decline in the first six months of 2022.

The reality? Markets fluctuate, sometimes swinging wildly and without warning. That volatility — unpredictable as it may be — is commonplace in the world of trading and investing. From 1928–2021, the stock market has seen corrections of 5% or more in 95% of those years. A correction of 20% or more has occurred in over a quarter of them.

So earlier in 2022 when the Nasdaq Composite shed more than 27% of its value in the first six months of the year, it wasn't the rarity many made it out to be. Regardless of whether it should've been expected, it resulted in a rampant scare that caused a massive selloff and a further decline for the tech sector, which ultimately spilled into the broader market.

Expecting the Unexpected

Investors don't need tarot cards or other means of divine insight to read the market. Corrections should be expected. In the aforementioned Nasdaq example, overvalued technology companies firmly situated in the growth camp were overdue for a correction. Similarly, long-ignored value stocks that outperform during late-cycle phases and periods of high inflation were ready for the limelight.

That's precisely why in the first six months of the year, the S&P 500's energy sector gained over 50% before sharply correcting in late June.

The story is the same for commodities and other safe-haven assets — like defensive and high-dividend stocks — which saw outsized gains as the rest of the market did its best impression of a dumpster fire.

But when a bear market arrives, it eventually catches up to every investment vehicle, be it stocks, real estate, bonds or pensions. That's why it's incumbent upon all retail investors to understand the risks — and opportunities — that accompany market volatility.

Volatility and Buying Opportunities

Few concepts in investing are as misunderstood as market volatility. Simply put, volatility accounts for the ranging price of a security over a given time frame. The connotation is often negative, but volatility can create opportunity where opportunity seldom exists.

Warren Buffett, for one, loves volatility. According to the Oracle of Omaha, "The true investor welcomes [it]. A wildly fluctuating market means that irrationally low prices will periodically be attached to solid businesses." More succinctly, Buffett stated he would "make a lot more money if volatility was higher, because it would create more mistakes in the market."

What are those mistakes he referenced? When corrections occur and volatility ensues, retail investors tend to panic and sell. But for those able to find companies with sound fundamentals, stellar management practices and varying degrees of industry dominance, it can present a fantastic buying opportunity.

> **"Panic-selling caused blue-chip stocks like Costco to be swept up in the alarm."**

Case in Point

This brings to mind the old adage, "bear markets return shares to their rightful owners." Last spring, the Federal Reserve enacted the fastest benchmark interest rate hikes in nearly 30 years and inflation continued its ascent to a 40-year high, stoking recession fears and spurring investors to sell off securities regardless of their pedigree.

Panic-selling is contagious and it caused blue-chip stocks — like Costco, for example — to be swept up in the alarm along with speculative penny stocks, shares of overvalued tech companies and cryptocurrencies alike.

Consequently, the market became oversold and warehouse giant Costco became the hottest seasonal sale

since Florida's annual tax holiday for hurricane supplies.

From the company's then year-to-date high of $608.05 on April 7, shares of Costco plummeted to $416.43 by May 20 for a loss of 31.5%, or $191.62 per share.

But fewer than two weeks later on June 2, the big box behemoth's stock price had recovered over 17%, while also spinning off a dividend that yields $0.90 per share each quarter.

Takeaway

Costco's stock has an average daily trading volume — or ADTV — of 2.9 million shares. But between April 7 and May 20, there were numerous volatility-induced outliers. On May 18, 9.5 million shares were traded, with sellers vastly outnumbering buyers. Between May 18 and June 2, during which the stock recovered over half the value it shed, ADTV was 4.8 million shares per day.

As shares tumbled, investors panicked and sold; as shares recovered, wiser, more seasoned — and perhaps institutional — investors scooped them up at a steep discount. This is a pattern that's evident in the major exchanges' data. According to a Reuters analysis of the New York Stock Exchange, the average investor now only holds shares for five and a half months. That figure is down drastically since the 1950s, when the average hold time was eight years.

So while the deluge of zero-commission online brokerages and smartphone apps have increased both the accessibility and convenience of trading and investing, they've also significantly contributed to a deviation from time-tested buy-and-hold strategies.

The result?

Self-proclaimed Robinhood day traders are left wishing they hadn't sold, while knowledgeable investors endure market volatility — or use it to buy discounted shares — and have portfolios that reflect the likes of Costco's five-year, +195% gain.

FINANCIAL PLANNER

Continued from Page 11

Who Selects the Investments in the 529 Plan?

Each state has an arrangement with an investment company to provide a menu of investment options within the plan. The account owner then chooses how to invest from the investment menu offered in the plan. Plan investments may only be changed two times per year.

Are There Estate-Planning Benefits for Contributing to a 529 Plan?

Once you've contributed to a Section 529 savings plan, the assets in that account are excluded from your taxable estate unless you've elected five-year forward gifting.

In that case, the gifts for future years are called back as estate assets until the donor outlives the five-year period. If the donor doesn't outlive the five-year period, there's a pro rata recapture back into the estate of the donor.

Conclusion

It's important to talk to your financial planner about how a 529 plan might fit with your situation, and to plan carefully around which plan you select, and who owns the account. When used properly, 529 plans can provide a tremendous boost to the ability to pay for every increasing education costs.

The fees, expenses, and features of 529 plans can vary from state to state. 529 plans involve investment risk, including the possible loss of funds. There is no guarantee that a college-funding goal will be met.

In order to be federally tax-free, earnings must be used to pay for qualified higher education expenses.

The earnings portion of a non-qualified withdrawal will be subject to ordinary income tax at the recipient's marginal rate and subject to a 10% penalty.

By investing in a plan outside your state of residence, you may lose any state tax benefits. 529 plans are subject to enrollment, maintenance, and administration/management fees and expenses.

Alexandra Armstrong is a CERTIFIED FINANCIAL PLANNER® professional and Chartered Retirement Planning Counselor® and founder and Chairman Emeritus of Armstrong, Fleming & Moore, Inc.

Christopher Rivers, a CERTIFIED FINANCIAL PLANNER® professional and Chartered Retirement Planning Counselor® and co-author of this article is a principal of Armstrong, Fleming & Moore, Inc., located at 1800 M St. NW, Suite 1010-S, Washington, D.C. 20036-5813, 202/887-8135.

This material has been provided for general informational purposes only and doesn't constitute either tax or legal advice. Investors should consult a tax or legal professional regarding their individual situation. Securities offered through Commonwealth Financial Network, member FINRA/SIPC. Advisory services offered through Armstrong, Fleming & Moore Inc., a Registered Investment Adviser, are separate and unrelated to Commonwealth Financial Network.

Securities and funds mentioned in the above articles are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company or fund of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writers in their personal portfolios or those of their clients.

Investors Love to Debate the Issue, but Is There Really a Solid Answer?

Active or Passive Investing? Take Your Pick

by Craig L. Israelsen, Ph.D.

Get some investors together and eventually the issue of "active versus passive" investing will come up. It can get heated! The terms "active" and "passive" are often used when describing how individual investment vehicles (such as mutual funds, exchange-traded funds, exchange-traded notes, etc.) are managed by the maker of the fund.

For example, Vanguard offers index-based funds (passive funds) and actively managed funds (active funds). In general, index funds are typically defined as "passive" investment vehicles while funds with more active intervention by a manager or team of managers are described as "actively" managed. Additionally, actively managed funds seldom have any sort of mandate to track any particular index.

Thus, it might be assumed that the issue of "active versus passive" is relevant only to investment products (mutual funds, ETFs, ETNs, unit investment trusts, etc.). But the issue of active versus passive can also apply to the manner in which a portfolio of investment vehicles is managed. In other words, how does the end-user of the actual funds (the investor) manage the funds that have been selected — passively or actively? The active/passive grid is on the next page at top.

For example, if someone utilizes only index-based ETFs and is a buy-and-hold investor the individual might be described as passive/passive. The investor is "passive" at the fund level and "passive" at their own portfolio management level. Alternatively, if the investor prefers to use actively managed funds, but is still committed to a buy-and-hold approach, the investor might be described as active/passive. (Buy-and-hold investors are still encouraged to rebalance periodically.)

Another option is an investor who utilizes index-based mutual funds in the portfolio AND actively manages those funds by trading in and out of the funds during the year. That investor could be described as passive/active. Finally, another investor may utilize actively managed funds in a portfolio and aggressively manage those funds by making multiple trades and fund switches each year. Clearly, the investor is active/active.

This article focuses on two of the four dimensions: passive/passive and active/passive. But first…a quick overview of the mutual fund and ETF fund universe. As of June 30, 2022, there were 28,539 funds (mutual funds and ETFs) in the Morningstar database. Of that total, there were 3,159 funds classified as "index funds" representing 11.1% of all funds. That means 88.9% of all funds are actively managed to one degree or another.

The total number of assets in all 28,539 funds was $29.96 trillion. Index-based funds held $10.75 trillion or 35.9% of all fund assets. Actively managed funds held $19.2 trillion, or 64.1% of all assets. So, one-third of the assets are in passive funds and two-thirds of all assets are in actively managed funds (*see the below chart at left*).

The average annual expense ratio for all 28,539 funds was 0.93% or 93 basis points (bps). But the average expense ratio for the largest 25 funds was 13.1 basis points (or 0.13%). Interestingly, the largest 25 funds hold over 17% of all fund assets. Nine funds among the largest 25 funds are actively managed — eight of those nine funds are money market funds.

Things get interesting when we examine individual fund families. Shown on the chart below right are the active/passive characteristics of the two largest fund families. Collectively they have 1,798 funds (mutual funds and ETFs) and hold over $10.5 trillion in assets as of June 30. These two fund families represent just 6.3% of all funds but hold 35% of all fund assets! With over $7.4 trillion in mutual fund and ETF assets, Vanguard pos-

Type of Fund	% of All Funds	% of All Assets
Index-Based Passive Funds	11.1%	35.9%
Actively Managed Funds	88.9%	64.1%

About the Fund Family	Family Assets in $ Trillions	Number of Funds in Family	Actively Managed Funds: **% of Funds in Family**	Actively Managed Funds: % of Assets in Family	Actively Managed Funds: % Aver. Expense Ratio	Passively Managed Funds: % of Funds in Family	Passively Managed Funds: % of Assets in Family	Passively Managed Funds: % Aver. Expense Ratio
Vanguard, Mix of Active and Passive	$7.4	386	40.2	30.3	0.23	59.8%	69.7	0.08
Fidelity, Vast Majority Active	$3.1	1,412	92.8	71.0	0.77	7.2	29.0	0.12

sesses almost 25% of all the assets in the entire universe of 28,539 funds — while their 386 funds represent just 1.3% of all funds. Perhaps surprising to some, 40.2% of Vanguards funds are actively managed and they account for 30% of Vanguard's total assets. The average expense ratio for Vanguard's actively managed funds is 23 bps. Nearly 60% of Vanguard funds are passively managed index-based mutual funds and ETFs that account for nearly 70% of Vanguard's total assets. As of June 30, the average expense ratio for Vanguard's index-based funds was 8 bps.

With a whopping 1,412 funds possessing $3.1 trillion Fidelity accounts for just under 5% of all mutual funds and ETFs and 10.3% of all assets. Just under 93% of Fidelity funds are actively managed, yet 29% of all Fidelity assets are in passively managed index-based funds. The average expense ratio for actively managed Fidelity funds is 77 bps, and 12 bps for index-based funds. It's clear that these two mammoth fund families see value in both active and passive approaches to investing.

And the winner is… Much has been written about active versus passive investing. Often the tone is confrontational: It's either a zealous commitment to passive investing or a defense of active investing. I'm not a fan of either approach. Vanguard doesn't approach it that way, neither does Fidelity. They provide both actively managed funds and passively managed funds and pass on the boxing match.

So, the obvious next question: which approach is better? That's a tricky question. To conduct a reasonable comparison, we would need to establish an investment model that both approaches (passive and active) could follow. Second, we would also need to test the models over a sufficiently long time period to give both approaches time to "show their stuff."

Active/Passive Grid	Passively Managed Index Funds Used	Actively Managed Funds Used
Passive Management of the Portfolio of Funds	Passive/Passive buy-and-rebalance using index funds. Portfolio allocations stay intact.	Active/Passive buy-and-rebalance using actively managed funds. Portfolio allocations stay intact.
Active Management of the Portfolio of Funds	Passive/Active tactical portfolio adjustments using index funds. Portfolio allocations can shift.	Active/Active tactical portfolio adjustments using actively managed funds. Portfolio allocations can shift.

Performance Over Various Time Periods	Active Portfolio Using 12 Actively Managed Vanguard Funds	Passive Portfolio Using 12 Index-Based Passively Managed Vanguard Funds
3-Year Aver. Return (2019-2021)	12.02%	11.28%
5-Year Aver. Return (2017-2021)	8.38	7.22
10-Year Aver. Return (2012-2021)	7.54	7.38
20-Year Aver. Return (2002-2021)	8.48	7.97
20-Year Standard Deviation (2002-2021)	13.38	12.25
Portfolio Expense Ratio in 2022 (%)	**0.30**	**0.09**

The investment model (*bottom chart*) in this performance comparison is a diversified approach that uses 12 mutual funds and/or ETFs representing a wide variety of asset classes (U.S. equity, non-U.S. equity, real estate, natural resources and four fixed income categories). Each of the funds has an 8.33% allocation that is maintained by annual rebalancing. Only Vanguard funds were used in this particular analysis: 12 actively managed Vanguard funds in the active portfolio and 12 passively managed Vanguard index funds or ETFs in the passive portfolio. The time period of the analysis was from 2002-2021. The same 12 asset classes were represented in each portfolio, just different tickers, either passive or active.

Both approaches provide reasonable performance. In some of the time periods, such as the five-year period from 2017-2021, the active approach produced better performance than the passive portfolio. Over the entire 20-year time period the active model provided roughly 50 basis points better performance, but with a higher level of volatility (as measured by 20-year standard deviation). The active portfolio is also more expensive — 30 bps versus 9 bps for the passive Vanguard 12-fund portfolio.

So, which approach is the winner? Hard to say. Depends on which measurement means more to you. I would suggest that either approach, or a mix of both, is perfectly acceptable. Rather than pitting active versus active, let's do what the two largest fund families do: Acknowledge that both have merits and shun the passive versus active arguments that zealots want to engage in. In the end, a well-diversified portfolio is so much more important than whether you're using passive or actively managed funds. At least, that's the picture over the past 20 years.

Craig L. Israelsen, Ph.D., teaches in the Financial Planning Program at Utah Valley University.

He is the developer of the 7Twelve® Portfolio.

He can be reached at:
craig@7TwelvePortfolio.com

Funds mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Funds discussed may be held by the writer in his personal portfolio or those of his clients.

What This Means for Investors

Why Passive ETFs Are Really Active

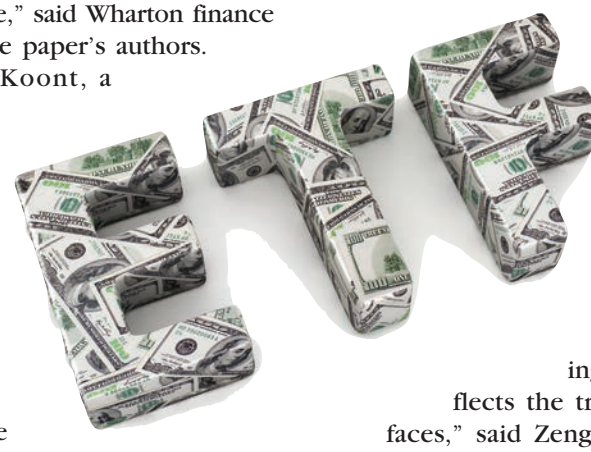
by Shankar Parameshwaran, Writer/Editor for Knowledge At Wharton

Courtesy of Knowledge At Wharton

Many exchange-traded funds (ETFs) that go by the moniker of "passive" are in fact active, and it is important that investors understand why and the implications, according to a new research paper titled "Steering a Ship in Illiquid Waters: Active Management of Passive Funds," by experts at The Wharton School of the University of Pennsylvania and elsewhere.

The so-called passive ETFs get active to increase the liquidity of their shares, especially those that track relatively illiquid markets such as small-cap stocks and corporate bonds, the paper stated.

"Our punchline is that to be passive, an ETF has to be active," said Wharton finance professor Yao Zeng, one of the paper's authors. Zeng's co-authors are Naz Koont, a finance doctoral student at Columbia University, Columbia University finance professor Yiming Ma, and University of Chicago finance professor Lubos Pastor.



The Basket Approach

Authorized participants (APs), or financial institutions, manage liquidity in an ETF by "creating" or "redeeming" its shares, which they do by buying or selling the underlying securities and grouping them in baskets to suit the ETF's structure.

These baskets are carefully designed by the ETFs to ensure that ETF shares are liquid. The authors found evidence to support their research model that ETFs dynamically adjust their baskets and portfolios to create liquidity and maintain a balance between tracking the index and keeping the ETF shares liquid.

With those adjustments, ETFs "deviate substantially" from their underlying index, and "despite their passive image, ETFs are remarkably active in their portfolio management," the researchers write.

The implication of that is when ETF investors weigh their returns, they will face "tracking errors," or differences between the returns of their ETF and those of the stated underlying indices.

A Focus on Corporate Bond ETFs

The study focused on corporate bond ETFs, covering data from 2017 to 2020. The researchers selected bond ETFs because they feature a large difference between the liquidity of ETF shares and the liquidity of the underlying securities.

"Fixed-income ETFs have been gaining popularity because through ETF shares, retail investors get the opportunity to invest in Treasuries and corporate bonds, which are typically less accessible to them than stocks," said Zeng. That market segment has also grown rapidly, tripling over the past six years to reach $342 billion by end-2021.

The study found that the passive ETFs in their sample achieved more liquidity by deviating from their stated structure with more cash and fewer bonds from their underlying index. "Both facts are costly to the ETF in terms of index tracking," the paper stated.

For example, the average bond ETF has a tracking error of 36 basis points annually relative to its underlying index, and the tracking errors are significantly larger for ETFs holding less liquid bonds. "This reflects the trade-offs that an ETF investor faces," said Zeng. "If investors get liquid ETF shares out of a less liquid index, they should know that the ETF is likely tracking the index less closely. In that sense, fixed-income ETFs are a great innovation, but they are no free lunch."

> "Despite their passive image, ETFs are remarkably active in their portfolio management."

Takeaways for Investors

The authors' objective is to make that market practice transparent to ETF investors. "We think that it would be important for ETF investors to understand that their

supposedly passive ETFs are actively designing creation/redemption baskets that are quite different from the underlying indices, which affect the ETF return they receive," said Zeng.

"They should be aware of that when they think about their returns."

The paper noted that since their arrival in 1993, ETFs have grown by end-2021 to command $7.2 trillion in assets under management, and they account for about half the total assets of U.S. equity mutual funds. Among them, an estimate of between 95% and 98% is labeled as "passive" in the sense that they are designed to track an index.

In addition to the "liquidity transformation" in bond ETFs, the authors said their study emphasized their "active basket management, including the dynamic management of their cash balances and individual bonds."

> "Passive ETFs that pursue liquidity could also cause distortion in bond prices."

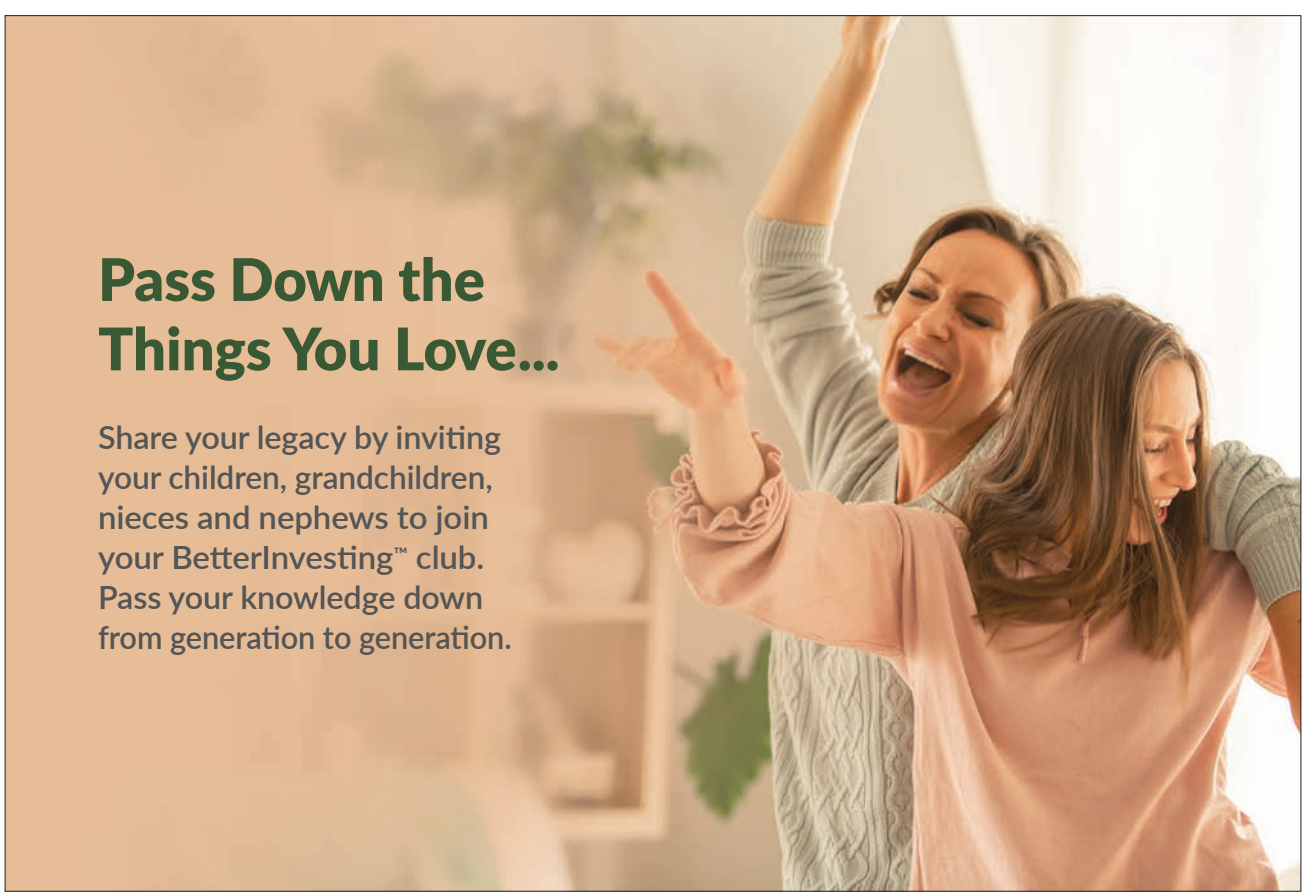
The Impact on Bonds

The study also found that a bond's inclusion in an ETF basket has a significant effect on the bond's liquidity. Bonds included in ETF baskets benefit from improved market liquidity in normal times. But they also face larger liquidity strains during bad times, such as during the COVID-19 crisis, when cash-strapped investors sold their ETF shares, causing bond redemptions to be "systematic and persistent."

Passive ETFs that pursue liquidity could also cause distortions in bond prices. The portfolio adjustments they make to improve the liquidity of ETF shares may have left them with fewer bonds to redeem during a surge in fund outflows, such as during a pandemic scare.

That imbalance in their portfolio could create "concentrated price pressure" for the bonds, Zeng explained. B

Exchange traded funds mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any EFT of interest using the Stock Selection Guide before making an investment decision. ETFs discussed may be held by the writers in their personal portfolio.



Investors Usually Love It When Companies Divide Expensive Equities

To Split or Not to Split: That Is the Question

by Craig Braemer, CFA®, CFP®

In 2022, some of the largest companies decided to split their stock after not splitting for many years. Why are they doing this now? In general, stock splits create no inherent fundamental value, but investors like them anyway. Many investors theorize that stock splits are a positive event and a foreshadowing of positive things to come. History has shown that companies that split their stock perform better over the following year.

Interestingly, in the past when we have seen an increase in companies splitting their stock, market corrections follow soon after. Thus, even though the math says there is no change in fundamental value, I still like getting stock splits and seeing my number of shares grow over time.

What Is a Stock Split?

A stock split is a corporate action or a decision by a company's board of directors to increase the number of its outstanding shares by issuing more shares to current shareholders. In short, a stock split is where a company increases the shares outstanding and the stock price declines by the same ratio. For example, if a stock is priced at $3,000 per share and the company splits it 20:1, the new shares are priced at $150 per share.

If the company had 10 shares outstanding prior to the split, the market value would be 10 shares times $3,000 or a market capitalization of $30,000. After the split, you have 200 shares (10 old shares x 20 split share ratio) at a price of $150/share or a market capitalization of $30,000. Thus, no change in market capitalization (shares outstanding times the market price).

The most common stock split ratios, according to Investopedia, are 2:1 and 3:1. Meaning you are going to have two shares for every share you have now (2:1) and three shares for every share you have now (3:1); again, the most common versions of stock splits.

Finally, there is another version of a split called a reverse stock split. This is typically used by companies with low share prices that would like to increase their prices. A company may do this if it's afraid their shares are going to be delisted. Many stock exchanges will delist stocks if they fall below a certain price per share. It could also be a way of gaining more respectability in the market.

For example, in a reverse one-for-five split, 10 million outstanding shares at $0.50 cents each would now become 2 million shares outstanding at $2.50 per share. In both cases, the company is still worth $5 million.

How Do Stock Splits Impact Investors?

In basic terms, the stock price declines by the split ratio. A stock split enables investors with smaller investible dollar budgets to buy whole shares. For example, if a stock is priced at $3,000 per share, you would need to have $3,000 to buy just one share. If the stock split 20:1, the new shares are priced at $150 per share and a person with $150 could buy one share. From a market capitalization perspective, there was no change.

Why do companies entertain splitting their stock? One reason is to improve trading liquidity. Another is that a lower stock price would make the stock more attractive to the average investor. These reasons don't hold as much weight as in the past since brokerage firms can trade fractional shares of individual stocks. Similarly, we are in the era of commission-free trading.

Why do investors like stock splits despite the fact there isn't a fundamental improvement? As mentioned earlier, the stock typically responds positively when a company announces a stock split. As we will discuss later, statistically, stock splits generate better market returns the year after the split. Why is this? It could be a couple of different reasons. One could be that investors feel more bullish about the prospects of the company since the company is willing to split their shares. The bigger reason could be investors just look at the lower stock price as an inherent bargain when they can buy the stock at $150 per share versus $3,000 per share.

What Is Happening in 2022

Stock splits are back in vogue and the market is quickly rewarding companies that divide their shares. For many years companies chose not to split and saw their stock prices rise to $1,000 per share or higher. Now we are seeing somewhat of a reversal with some of the largest companies — based upon market capitalization — splitting their stock for the first time ever or in decades. Two of the largest companies, Amazon and Alphabet, have split their stock 20:1 in 2022. Amazon hasn't split in decades whereas Alphabet has never split their stock.

Amazon announced that it was going to split 20:1 or into 19 new shares for every one share you had in May 2022. When Amazon announced the stock split, the stock rose by 3% the day after the news was announced. When Alphabet announced their 20:1 stock split, its stock rose by 9% the day of the announcement (*see Websites of Interest*).

Thus, investors seem to see a value in stock splits. But is this rational? Ultimately, we think the stock price

improvement has more to do with the stock's past success than a result of their split plans. Companies that do splits tend to do so because their stocks have already risen. Good things are happening at the company and fundamentals are improving. That is where the market is focused and, in some cases, companies have decided that a stock split is a good thing to do.

Another reason for stock splits to be happening now could be a desire by companies to potentially be included in certain famous indexes, such as the Dow Jones Industrial Average. Why are investors speculating on companies being added to the Dow Jones Average? Apple gained its admission to the Dow in 2015, just one year after it completed a 7-for-1 stock split. This lowered its high-priced stock and could have been a factor for inclusion into this index (*see Websites of Interest*).

In the past, many high-priced stocks have been avoided by the managers of the Dow Jones Industrial Average. In many cases, it was due to the price of their stock. This index is price-weighted; thus higher priced stocks have a bigger impact on the index performance. Similar to market capitalized indexes, the highest market capitalized stocks have the biggest weight in the index. Thus, this is the reason some high-priced stocks have not been added to the Dow Jones Industrial Average over time.

The History of Stock Splits

As already stated, it's common knowledge on Wall Street that companies that have stock splits have historically seen their stocks outperform the S&P 500 Index the year after the stock split. Despite having no fundamental benefit, investors wanted to buy the post-split stock. This is why we should be interested in these kind of company actions.

In recent years, we have seen splits from some of the mega-cap technology companies, as mentioned Apple (ticker: AAPL), but also Nvidia (NVDA) and Tesla (TSLA). On average there have been about 20 splits a year by U.S. issuers over the past decade, says Dow Jones Market Data, as reported in Barron's.

> **"A stock split is used primarily by companies that have seen their share prices increase substantially."**

The real heyday for stock splits was during the late 1990s tech bubble. From 1997 to 2000, an average of 65 U.S. companies divided their shares each year as markets soared. One year in particular, 1999, was very active with over 100 stock splits. Split frequency picked up again in the years before the global financial crisis. This was at the tail end of another long market rally.

Thus, you should be somewhat cautious if you are seeing too many stock splits — we might have just seen the end of the recent stock market rally. We saw an increase in splits in 2021 versus recent years and the stock market went into bear market territory (or down over 20%) during the first half of 2022. In general, splits are still less today than in the 1990s, by a wide margin, but they have picked up in the last year.

The Between the Lines Summary

A stock split is used primarily by companies that have seen their share prices increase substantially. This group of companies that have split their stock have outperformed the market the year after the stock split — thus this could be a good investment even after a company announces their intention of a review, although the number of outstanding shares increases and the price per share decreases, the market capitalization (and the value of the company) does not change.

As a result, stock splits help make shares more affordable to smaller investors, attract a wider range of buyers, and provide greater liquidity in the market.

Market corrections seem to have followed every decent increase in stock splits in the past. The 2022 bear market seemed to follow historical trends. I see stock splits as a positive event and foreshadowing of positive things to come for the company that is doing the stock split. Thus, I like stock splits and seeing the number of shares on my statement increase. B

Craig Braemer, CFA®, CFP®, is a contributor to this magazine and is a portfolio manager at Blossom Wealth Management LLC, a Registered Investment Advisor in Alamo, California. Craig has been investing for many decades and worked in the financial services industry for almost 40 years. He has also been an active teacher in BetterInvesting both at the national and local level for many years.

Websites of Interest

"Amazon stock split may draw retail traders in tough market," Saqib Iqbal Ahmed and Lewis Krauskopf, Reuters; June 6, 2022
www.reuters.com/markets/europe/amazon-stock-split-may-draw-retail-traders-tough-market-2022-06-06/

"Google parent Alphabet announces 20-for-1 stock split," Jordan Novet, CNBC; Feb. 1, 2022
www.cnbc.com/2022/02/01/google-parent-alphabet-announces-20-for-1-stock-split.htm

"Losers! These 9 Stocks Missed the Bull Market," Paul R. La Monica, Money, CNN; March 6, 2015
https://money.cnn.com/2015/03/06/investing/worst-stocks-bull-market/index.html

"Stock Splits Actually Work — Just Not for the Reason Everyone Thinks, Nicholas Jasinski; Barron's; April 8, 2022
www.barrons.com/articles/stock-splits-2022-51649455281

Globalization Appears to Be Unraveling, Partly Due to Pandemic and War

6 Reasons Why Inflation Is So High Right Now

by Vitaliy N. Katsenelson, CFA®, CIO of Investment Management Associates

This article from Vitaliy Katsenelson includes discussion of assets mentioned only for educational purposes; no investment recommendations are intended. For more articles, go to Vitaliy's Contrarian Edge website (www.contrarianedge.com). You can sign up at the site to receive articles by email.

Inflation is everywhere. The war in Ukraine will likely pour more gasoline on the already raging inflationary fire, threatening to send the global economy into stagflation. Stagflation is a slowdown of economic activity caused by inflation. Before we go into the messy entrails of stagflation, let's review what is going in the U.S. and global economies. Let's focus on the new culprits.

Oil

First, higher commodity prices. Even before the pandemic, the supply of oil and gas was getting constrained by a decline in investment caused by low oil and natural gas prices and petrocarbons falling out of favor with the ESG cult. The pandemic caused a further falloff of investment in the sector. Russia's invasion of Ukraine forced the world to excommunicate the third largest producer of petrochemicals from modernity.

The oil market has slightly different dynamics from the natural gas market. Oil is a fungible commodity and is easily transported by tankers, and thus it can be (relatively) easily redirected from one customer to another. For instance, if China used to buy oil from Saudi Arabia and now buys oil from Russia, the oil that China stopped buying from Saudi Arabia can now be bought by Germany. That said, Russia produces heavy crude and the Saudis light crude, so refineries need to be reconfigured, and that takes months.

Sanctions on oil will only have an impact on the Russian economy if everyone stops buying Russian oil. If all countries embrace sanctions, then about 8 million barrels of daily oil exports will be removed from the market. That is a lot of oil, considering that the world consumes about 88 million barrels a day.

It is unclear if China and India, the largest and third largest importers of oil, will go on buying significant amounts of oil from Russia, as doing so risks damaging their relationships with the West. Neither country wants to be told what to do by the West. They have their own economic interests to consider, but their trade with the U.S. and Europe is significantly greater than it is with Russia.

It seems that both countries have been slowly distancing themselves from Russia. For example, the Chinese credit card network UnionPay has quietly cut off its relationship with Russia. Though Russia has an internal credit card network called Mir, since Russia was cut off from the Visa and Mastercard networks and now from UnionPay, Russians have no easy way to spend money when they travel outside of Russia.

This war was a horrible infomercial for Russian weapons, and there is a good chance India may decide to switch to Western weapons, which would bring it closer to the West.

In the short term, the supply of oil from Russia to the world market will likely shrink; it is just hard to tell by how much. The demand for Russian oil has clearly declined, as the (Urals) price is down 30% while global oil prices are making new highs.

Long-term, the oil-supply picture from Russia looks even worse. There was a good reason why Western companies participated in Russian oil projects. A great love for the West was not the motivator that drove Russia to share oil revenues with BP and Exxon. Western companies brought much-needed technical expertise to very challenging Russian oil and natural gas fields. With the West leaving Russia, long-term production of oil and gas is likely to decline, even if China and India continue buying Russian oil and gas.

Gas

Let's turn to the natural gas market. Call me Mr. Obvious, but I will say it anyway: natural gas is a gas and oil is a liquid. Shipping gases is much trickier than shipping liquids. Natural gas can be transported two ways: by pipelines (the cheapest and most efficient way, but they take years to build) and by LNG ships. LNG stands for liquefied natural gas — the gas is cooled to -260F and turned into a liquid. Western Europe, especially Germany, is heavily reliant on Russian gas, which today is transported to Europe through pipelines.

Side note: In the future, when you put your livelihood in the hands of well-meaning politicians (especially if you are a resident of California), just remind yourself that German politicians, in their fervor to go green, abandoned nuclear power, which produces zero CO2, switched to intermittent "green" wind and solar (and fell back on dirty coal) and tied their future to a shirtless Russian dictator.

Some smaller European countries are already abandoning Russian gas. Germany and Italy, the largest consumers

of Russian gas, promise that they can delink themselves from Russia's gas in less than two years. This trend will continue; it just won't happen overnight (or in two years). Call me a skeptic, but I think it will take a long time for Europe to completely abandon Russian natural gas, as building LNG terminals takes years, and so does increasing natural gas production.

Oil and natural gas prices will likely stay at elevated levels or even go higher over the next few years, and the U.S. production of natural gas and oil will likely have to go up substantially.

Food

The second new source of inflation is food. It's a significant concern for us. Russia and Ukraine produce about 15% of the world's wheat supply. They account for about one-third of global wheat exports (or about 7% of global wheat consumption).

Russia has slapped a (temporary) ban on wheat exports. Ukraine's planting season was likely disrupted by the war. The global wheat supply may decline by as much as 7%. This sounds like a large number, but it is not outside the historical volatility caused by droughts and other natural disasters, which have historically driven up wheat prices by a few percent.

This is not what worries us. We are concerned about the skyrocketing prices of nitrogen and potassium fertilizers since the beginning of the war. Russia and Belarus are the second and third largest exporters of potash used to make potassium fertilizer (Canada is the largest producer). Nitrogen fertilizer is made from natural gas. Natural gas prices are up a lot. High fertilizer prices will lead to significant increase in prices of all calories, from corn to avocados to meat.

Food inflation impacts poor countries and the poor in wealthy countries disproportionately. U.S. consumers spend 8.6% of their disposable income on food (down from 17% in the 1960s). In poor countries this number is significantly higher. For instance, the average Ukrainian spends 38% of disposable income on food. Food prices have been going up, but we are afraid that we ain't seen nuthin' yet.

(*Editor's note: As of press-time, a United Nations brokered deal enabled ships to leave Ukrainian Black Sea ports carrying grain and fertilizer.*)

Interest Rates

The third new source of inflation is higher interest rates, which make all financed goods more expensive, from washers and dryers to cars to houses. Over the last decade we got used to cheap, abundant credit. If inflation continues to stay at elevated levels, cheap credit will become a relic of the past.

Mortgage rates have almost doubled from the lows of 2021 — 30-year mortgages are pushing 5.1% as of this writing. The median home price is $428,000 (up from about $330,000 before the pandemic). The interest increase from 2.7% to 5.1% will cost the average consumer $7,000 a year, or 12% of the total median income of $61,000. About a third of the country doesn't own a home but rents. Rents increased 11.3% in 2021 and continue to rise in 2022.

Now, if you add the increase in energy prices (gasoline and heating), food inflation and the higher cost of anything that has to be financed, you'll see how the consumer is being squeezed from every direction. Government-massaged inflation numbers show a 9% increase in prices. We think these numbers are low, despite their having set multi-decade records. A more realistic number is much higher, as is suggested by import and export inflation numbers, which are not adjusted by the government and are running 12%–18%.

Supply Chain Problems

Another culprit responsible for higher inflation is supply chain issues. China is going through another partial shutdown of its economy. Putin made us forget about the coronavirus, but the coronavirus did not forget about us. China, the initial source of COVID-19, has suffered among the lowest per capita numbers of infections and deaths from COVID. The downside of this is that China has very low herd immunity. And though China has locally made vaccines, they are not very effective, and China refuses to import Western vaccines.

Chairman Xi banked his reputation on a "zero COVID" policy. Today this policy is being sorely tested. China is shutting down cities that are the size of a largish European countries to keep the virus from spreading. Since China makes a lot of the stuff we consume, they'll make less of it. "Transitory" supply issues from China will persist and add to inflation.

Deglobalization

Finally, the war in Ukraine has accelerated deglobalization. Globalization was a great deflationary tsunami. The pandemic exposed the fragility of our vaunted just-in-time inventory and global supply system. The war in Ukraine reminded the West that the global trade system is built on the assumption that we don't go to war with our trading partners. The war in Ukraine broke that assumption and accelerated the pace of selective deglobalization, which will lead to higher prices of everything in the long run.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer in his personal portfolio or those of his clients.

Is the Wool Pulled Over Your Eyes?

Be Wary of These Investor Biases

by Jeffrey Steele

Are you a biased investor? If you are like thousands of other North American investors, you could be. And when it comes to growing the value of your investment portfolio, that's not a good thing. If the best investors are dispassionate and objective, it follows those biased toward one approach or another lack that all-important detachment.

Among the most common investment biases is home country bias, in which investors favor stocks of firms based in their own cities, states, regions or countries. Another is recency bias, where victims fall prey to the conviction the most recent market moves are certain to continue. One more is confirmation bias, which predisposes investors to favor strategies that agree with their own beliefs. A number of other biases exist as well, all demonstrating the ability to pull the wool over the eyes of otherwise smart investors.

All humans are vulnerable to cognitive and functional biases preventing rational decision making in at least some situations.

So said Robert Johnson, CFA, professor of finance at Heider College of Business, Creighton University, Omaha, Nebraska, and CEO and chair of Economic Index Associates, a New York City firm creating investable indexes. Biases aren't always a bad thing, he said. They are sometimes termed "heuristics," meaning mental shortcuts that permit people to make decisions more efficiently and arrive at repeated, complex decisions more quickly. "Such shortcuts have helped us evolve as a species," Johnson continued. "Unfortunately, the very same heuristics that have served us as a species can in an evolutionary sense create barriers to successful investing."

Home Country Bias

Many investors overweight their portfolios with stocks of companies close to home. These may include stocks of their employer, of companies in the industry in which they're employed or organizations based in their cities, states or regions. Often those who succumb

to home country bias justify their actions by arguing they know more about these companies than other companies. Therefore, they possess an informational advantage that can spell superior returns. "Even Peter Lynch, the famed manager of Fidelity's mammoth Magellan Fund from 1977 to 1990, advocated investors should invest in what they know," Johnson said. Sadly, the evidence points to the contrary.

Investors don't seem to possess informational advantages about their employers, the industries in which they work or local companies, according to Johnson.

As well, investing in your own employer's stock or in your employer's industry might prevent you from the kind of diversification that can insulate you from shocks to your company or industry, potentially resulting in both the loss of your job and losses in your portfolio.

Availability Bias

Beware data you have, but also data you don't have, said Cindy Huang, CFA, and portfolio manager with Leith Wheeler Investment Counsel, Ltd., in Vancouver, British Columbia.

Amid the plethora of information available to investors today, little is useful, and worse, some can point investors to the wrong conclusion, she said, citing an example from World War II. British engineers assembled a gunfire pattern of bullet holes in World War II fighter planes returning from the front. Based on the patterns, most assumed that additional scarce armor plating was needed where the gunfire was clustered.

"But they would be wrong," she said, adding the gunfire patterns were on planes that returned. "It was the planes that didn't return that probably had the best data on them… Don't let the availability of data fool you into thinking it provides you insight… To combat availability bias, we have to stay vigilant in not letting structural norms like quarterly reporting patterns affect our judgment of a company's value, a stock's attractiveness or a manager's skills. And we need to be vigilant of ourselves. Focus attention on what matters, which is adding value over the long term," Huang added.

Herd Mentality Bias

Investors hamstrung by herd mentality bias believe a course of action is correct because everyone else is engaging in that action, Huang said. One way to fight this bias is to appoint a devil's advocate to deliver an outside perspective.

In 2019, Huang and colleagues informed clients Amazon would have to increase sales by 50% every year to justify its stock valuation. The most common 10-year compounded annual growth rate for corporate sales in the U.S. over the previous 70 years was between negative 10% and positive 5%. One or two companies earned an average 10% to 15% annually and no company earned more, she said.

"By actively seeking nonconfirming or opposing views, it can help you 'disconfirm' your own views," Huang said, adding Amazon's stock price rose 1,762% over the 10 years ending Dec. 31, 2021. As of June 30, 2022, the stock this year had lost more than a third of its value. It was down 36%.

Hindsight Bias

This phenomenon, sometimes nicknamed the "I knew it all along bias," was initially studied 50 years ago by researchers probing reasons for errors in decision-making. Over confidence in one's predictions can lead to costly miscues when investing. Many claim to have foreseen the financial crisis that ushered in the Great Recession in 2008. Except that they didn't, Johnson said, adding most people — from everyday market participants to experts — were caught unaware by the downward slalom. Hindsight bias causes people to view past events as having been predictable.

"After the fact, people see their own predictive abilities in a much more favorable light than they warrant," he said.

Recency Bias

When investors reach decisions based on events fresh in their minds, counting on those trends to continue, they fall into the trap of recency bias. This can precipitate such rash decisions as acquiring "hot" stocks performing well recently, Huang said. One example was the rush by retail investors into 2021's Reddit meme stocks, based on speculation and fear of missing out (FOMO). This decision, she said, "produced disastrous results for those who bought into names like AMC Entertainment." Investors may also reduce their exposure to asset classes that have recently underperformed. Periodic portfolio rebalancing is a way to surmount the hurdle of recency bias. It forces investors to trim winners and add to losers, helping manage the overall risk of the portfolio, Huang said.

Confirmation Bias

As defined, confirmation bias is the tendency of some to seek out, interpret, favor and remember information confirming or reinforcing beliefs the people already possess. This bias is related to several others, including the phenomenon called anchoring, which occurs when we are hesitant to alter our predictions as new information appears.

"Related to confirmation bias is a tendency to focus on and highlight new information that confirms our initial prediction and to dismiss information that contradicts it," Johnson said. "In fact, we seek information that confirms our position."

A prime example of confirmation bias is the deeply held conviction by many investors that Elon Musk is a genius unable to do anything wrong. When the belief is contradicted by actions such as Musk's Twitter transaction, those with confirmation bias reject the evidence of his fallibility because the notion flies in the face of their beliefs, he said.

Disposition Bias

Have you ever known investors who sell high flyers too soon, but hold

on to losers too long? Such people are afflicted with disposition or "loss aversion" bias, said Herman Brodie, founder and owners at Prospecta Limited in Birmingham, the United Kingdom. This means that the ancient market adage, "Nobody ever went broke taking a profit," is incorrect. You can go broke taking profits, if you quickly pocket profits on your winning investments, but allow your losers to fester unattended in your portfolio, Brodie remarked.

Added Johnson: "The interesting aspect concerning loss aversion bias is it flies directly in the face of rationality with respect to the U.S. tax code. Investors must pay capital gains taxes on investments sold at a profit, whereas realized investment losses can be used to offset investment gains in computing personal income taxes.

"All things equal, a rational investor should realize losses and let gains ride." He adds that when this bias is taken to the extreme, an investor following this strategy is holding a portfolio of losers.

Overreaction Bias

Anyone who has followed the financial markets for even a modest length of time has witnessed multiple instances of this circumstance. Investors tend to overreact to positive or negative market news, becoming excessively optimistic about well-performing equities and overly gloomy regarding poorly performing stocks.

The focus of research conducted by Werner DeBondt, and Nobel Prize laureate Richard Thaler, overreaction theory holds that investors ultimately realize the error of their ways, adjust their prices and stock prices revert to their rightful valuations.

DeBondt is a professor emeritus at the Driehaus College of Business at DePaul University. Thaler teaches at the University of Chicago Booth School of Business.

Said Johnson: "Overreaction to a firm's unusually good or bad financial situation ultimately leads to a reversal of stock prices in the long run."

> "Outline your long-term objectives through an Investment Policy Statement."

Loss Aversion Bias

Investors prefer avoiding losses to acquiring equivalent gains, says Philip Weiss, financial adviser and founder at Apprise Wealth Management in Phoenix, Maryland. In short, losses are much more powerful psychologically than gains.

Selling stocks at a loss means investors have to admit having made a mistake. That's why they avoid it. "One of my favorite lines on loss aversion comes from Philip Fisher, who wrote 'Common Stocks and Uncommon Profits,'" Weiss said. "He wrote, 'More money has probably been lost by investors holding a stock they really did not want until they could "at least come out even" than from any other single reason.'"

Instead of following this fruitless path, investors should remind themselves that money tied up in losing stocks could be redeployed into a potentially better investment, Weiss said. "In addition, if the losing investment is in a taxable account, selling it can also reduce your tax bill," he added. "This . . . can make recognizing a loss more palatable."

Overcoming Biases

In addition to the tips offered above, are there any overarching strategies investors can pursue to help them sidestep the landmines of investment bias? Yes, experts believe.

The central error underlying the great majority of investing biases is many investors' tendency to focus entirely on the short term. This miscalculation, which is encouraged by the abundance of unhelpful, short-term data available, can afflict companies, asset managers and investors, Huang said.

"Retail investors have a bad habit of attempting to time the market, and/or change managers or strategies at the exact wrong time, which has been proven to result in lagged returns over the long term," she added.

Blocking out the noise, maintaining a long-term perspective and adhering to a road map or outline of your long-term objectives through an Investment Policy Statement (ISP) are all ways to avoid short-termism and its attendant biases, she said.

Johnson also recommends establishing an IPS and adhering to that written document. In clear terms, the IPS sets out an investor's return objectives and risk tolerance over his or her investment time horizon. It also includes applicable constraints, chief among them liquidity needs and tax circumstances. At its core, an IPS sets out the ground rules of the investment process and is the document guiding the investment plan.

The IPS should include a target asset allocation and a glide path for target asset allocation changes over time as the investor gets closer to retirement or investment goals. "All investors should have an IPS, and it's best to develop one in a calmer market," Johnson said.

"Developing an IPS in a volatile market or during major stories is problematic. The whole point of an IPS is to guide you through changing market conditions. It shouldn't be changed as a result of market fluctuations, [only] when your individual circumstances change, perhaps [through] a divorce or other unanticipated life change."

Another strategy to avoid biases is to keep an investment diary, Johnson said, adding doing so is particularly effective in combating hindsight bias. For each buy or sell investment decision, the diary should chronicle three aspects: the investment action, the investment thesis and possible risks.

The diary should be reviewed by the investor who is considering an investment change. "The diary removes our hindsight bias for things that have gone wrong, and our attribution bias for things that have gone right," Johnson concludes.

In Challenging Times, Investors Need 'Prudence, Discretion and Intelligence'

Inflation Investing — 12 Lessons

by George A. Nicholson, Jr., CFA®

Following is a reprint of a 1975 pamphlet written by the late George A. Nicholson, Jr., CFA®, one of NAIC/BetterInvesting's founders. When the material was first written, Nicholson was the chairman of the Investment Education Institute.

Normal investment processes slow when inflation is severe. Industry suffers from a lack of common stock equity capital. However, large amounts of such capital are needed in adjusting to the financial requirements of inflated prices.

Corporations have good reasons to be fully aware of this investment slowdown process and to institute programs for overcoming it. Company presidents, vice presidents, middle management, salesmen, foremen and workers all have a stake in restoring investment flows. Jobs, pensions and progress for all are bettered when businesses can finance needs in an economical and timely fashion.

Inflation Investing — 12 Lessons has been written to help individual and institutional investors as well as all who work for corporations to understand better and meet the challenges of inflation. These 12 short lessons should help speed up the process of restoring healthy investment flows to industry and creating jobs by so doing.

Lesson No. 1

Investors in the United States are generally less familiar with how to invest during a period of inflation than their European friends.

The German inflation of 1924 and the French inflation of 1926, together with World War II inflation, provided them with a decisive margin of experience. That is one reason why foreign purchases of common stocks were so heavy in 1975, while American investors were selling.

What should Americans know about inflation investing? The starting point is to realize that inflation is as complex as a battle in war. How then do you win battles?

General Douglas MacArthur's answer was: "You fight like the dickens until the battle is won." This is good advice for investors.

Lesson No. 1 is: Keep on investing (fighting), mostly in common stocks, and don't withdraw from the investing battle; don't let depreciating cash stay idle when it could be invested regularly, dividends compounded and growth of capital eventually obtained from ownership of successful businesses.

Lesson No. 2

There are different types of inflation and each has different causes. Among the types of inflation are printing press inflations, cost-push inflations and government generated inflations. The 1924 German inflation was of the "printing press" type. It was fast. From January to August, a little girl's 10 pfenning magazine rose in price to 200,000 marks. Soon the magazine was printing money for the government.

Money became worthless.

The inflation in France that came when [President Charles] de Gaulle settled a political crisis in 1968 with a 10% wage boost for everybody and the one created when OPEC quadrupled the price of oil were of the "cost-push" type.

Continuous efforts by the government to control the economy with deficit spending and stimulation of the money supply have been persistent producers of current inflation.

A company with tangible and salable assets may have an advantage in a "printing press" inflation. That is, a scrap metal dealer would price his assets upward as inflation intensified. In other types of inflation, businesses with versatile and able management skills should produce better results.

Lesson No. 2 is: Select companies for investment with proper regard for the type of inflation prevailing; don't be fooled and fail to make appropriate changes when inflation changes its character as it always must.

Lesson No. 3

One key to inflation investing is survival of the investment. Gold is attractive as an inflation hedge for that reason.

However, gold stocks may have drawbacks. What happens if the company is in a country that falls to a Communist power? Political stability is a part of survival.

Accordingly, American stocks were much in demand in 1975 by foreigners as inflation investments. Net purchases of American stocks by people abroad in 1975 were $4.4 billion, double the net purchases by mutual funds in the boom year of 1969.

American stocks also have good inflation characteristics for survival, especially when fortified by strong technol-

ogy, finances and management. Look at Eastman. In 1946 it earned $0.30 a share and paid $0.18. In 1976 earnings should reach $4.50 a share and dividends $2.15.

The stock has sold 25 times higher than it did in 1946 and more than offset the intervening inflation.

Earnings and dividends should increase with higher prices as they did after World War II. But note, also, that financial strains of inflation may cause weak companies to fail and their stocks to become worthless.

Lesson No. 3 is: Rate the probability of survival "tops" until inflation is under control; don't invest in companies with weak finances and marginal businesses.

Lesson No. 4

During inflation, there is a premium on investing in companies having chief executive officers with virtually future-sensory perception. They must not only be good managers under ordinary business conditions, but must have the skills and imagination to bring corporations through the extreme turbulence of inflation.

To illustrate, a German lamp manufacturer received his biggest order in 1923. He made delivery some six months later in the midst of the 1924 inflation. When it came to replacing inventories and tools, he found he had lost half his capital. Thereafter he took orders only in American money, watched the quality of receivables carefully, maintained inventories and priced his products realistically. His business survived.

The management skills needed to survive inflation are tight control of inventories and receivables, avoidance of loans that may come due when cash is short, pricing to cover costs and ability to avoid dilution of the stockholder's equity by having to sell more stock, or a division of the business, to survive. Expansion is virtually a "no-no" during extreme inflations.

Lesson No. 4 is: Buy stocks only in companies that have inflation-minded management who are perceptive of trends and who have an instinct for self-preservation; don't buy stocks in companies whose management are borrowing dangerously or operating under business-as-usual practices.

Lesson No. 5

After selecting an adequately managed company, successful inflation investors should remember that a coin has two sides. Keep this in mind when the subject of inflation accounting is considered.

One side of the coin is well-known to financial analysts and investors. Depreciation, based on book costs, is obviously not adequate to cover replacements at inflated prices. On this side of the coin also is the fallacy of inventory profits which inflation creates. Companies can go broke paying taxes and dividends out of false profits.

But it is equally important to turn the coin over and see what is really there. For companies that stay in business, many assets have years more of productive usefulness. These old machines will earn increased profits if products are raised in price to match the inflation. Moreover, when new equipment with greater productive efficiency replaces old, profits per unit of output may offset any deficiency of depreciation.

Stockholders may even gain as old and new equipment is melded together to produce goods for sale at inflated price levels. After several prosperous years following inflation, the "quality of earnings" argument, so commonly heard after World War I and recently, tends to disappear.

Inflation accounting statements now appearing should enable investors to weigh and better balance the overstatements of earnings in inflation against the understatement of asset values. The latter should be the more important for investors in stocks of surviving companies, long term.

Lesson No. 5 is: Match overstatement of earnings against understatement of assets in valuing common stocks; don't fail to estimate stock values in the next prosperous period after inflation adjustments have taken place and new profit levels attained.

Lesson No. 6

Inflations like the yearlong German debacle of 1924 end quickly because total inflation begets total unemployment. Bank deposits and paper money became valueless, although pennies retained their former value in the new money system because of the cost of replacement. The common good required that people accept restraints to get business going again.

Some corporations survived by reason of tangible assets, or ownership of foreign assets, or valuable trademarks, or above all "know-how" in manufacturing and distribution.

An American chemical company sent an officer to Europe before World War I to study how corporations survived inflation. One lesson was to have a strategy for raising money as prices soared and new financing was needed.

Inflation and expansion are much alike. Both need plenty of money to avoid insolvency. The problem is how to survive without diluting the stockholders' equity. One solution was to have assets, or divisions of the business, that could be sold to avoid bankruptcy. The financially and competitively strong corporations — whether big or small — survived best.

What about corporations that survive inflation?

As inflation rages and abates, surviving companies inherit business from companies that fail. Some may double or triple their business in inflationary periods from the inheritance factor. New or used equipment, often bought at bankruptcy sales, sometimes is required for this expansion. Such bargains help offset depreciation deficiencies. They also raise the quality of future earnings.

Lesson No. 6 is: Take advantage of the "inheritance" factor in inflation investing; don't invest in companies that lack survival characteristics or which dilute stockholders' equity substantially.

Lesson No. 7

Inflation fighting by government is like slowing down an automobile on icy pavements. Put on the brakes.

Take off the brakes before skidding badly. Repeat and repeat until inflation is slowed and stopped.

The French government applied this technique in 1926 after seeing the disastrous German inflation of 1924. The braking period can be maintained for about one year, while taking off the brakes may last for two years or more. The technique of "stopping" the economy and getting it "going" again is known as "stop-go" inflation fighting.

This type of inflation fighting is what the big industrial nations used in 1974. Credit crunches were initiated in Europe, Japan and America. The year of 1974 was the "stop" phase of "stop-go." The "go" phase began in 1975 after credit restriction had caused inventory liquidation and ended inflationary expectations.

Investors meanwhile were told that stocks were a poor inflation hedge because stocks were lowest in price when inflation was highest. Was this good reasoning? Don't stocks always go down in business depressions whether man-made or natural?

Investors should have been told instead that inflation fighting is a "stop-go" operation; that any "stop" operation hurts the price of stocks at least temporarily; that a controlled "stop-go" operation is generally a safer type of depression than one which results from a collapsing boom; that, instead of selling, stock holdings should be increased when the "go" phase begins.

As in any depression, weak companies fail and strong enterprises grow from the inheritance principle.

Lesson No. 7 is: Recognize the "stop" phase of "stop-go" as a time for bargain hunting among the stocks of large and small corporations with good potential for survival; don't accept the propaganda gimmick that stocks are a poor inflation hedge and sell out just before the "go" phase begins.

Lesson No. 8

Utility stocks have advantages in inflation investing. Electricity is essential. Earning power is of high quality. Utilities also have disadvantages. These stocks suffer because of a phenomenon known in financial circles as "regulatory lag." Public service commissions are slow in adjusting utility rates to higher costs. This is particularly true of big city utilities.

However, political self-interest of the regulators eventually corrects this situation. For example, French utility stocks in the 1926 inflation gained over 100%, registering one of the best performances on the Bourse. This was no miracle.

Many French municipalities owned stock in their utility companies. They opted for higher dividends to balance budgets rather than low rates for electric users. Being owners, they knew their costs and the need for recovering them quickly.

In America, the standard of intellectual honesty solves the regulatory problem in time. Long range self-interest dictates political fairness because states that treat utilities unfairly lose credit standing and their ability to attract new industry.

"Regulatory lag" in raising rates varies from state to state. The fairer, prompter acting states are the first to attract investors.

The laggards have to follow or accept the consequences of reduced employment opportunities, possible brown-outs and curtailed services.

Investing to take advantage of "regulatory lag" has advantages in high quality and income, and good probabilities of appreciation. Utilities are an attractive total return investment in the "go" phase of "stop-go" inflation fighting.

They are a fine medium for dollar-cost averaging.

Lesson No. 8 is: Utility stocks of companies located in states regulated by public service commissions with established reputations for sound judgment and intellectual honesty are attractive investments in the latter stages of inflation; don't be fooled into thinking "regulatory lag" is permanent.

Lesson No. 9

"Regulatory lag" in utilities, which is well known, has a companion — namely, "inflation lag" in stock prices — that relatively few investors know about. Yet this phenomenon is one of the more important aspects of inflation investing.

Inflation lag is deeply rooted in behavior patterns of investors. Whereas utility regulators are prodded by necessity to make inflation adjustments, most investors lack training in inflation investing, are scared and confused, and are hesitant to act to take advantage of "inflation lag" in stock prices.

When opportunities are greatest, investors are in doubt about depreciating money, investments, and even jobs, they hear that the "system" no longer works, stocks are no inflation hedge at all, etc. The investor thus is influenced by bits of trivia and not by the big picture.

But with the "go" phase of "stop-go" inflation fighting under way, more investors see the picture each year. As adjustment to inflation progresses, normal profit margins produce higher earnings per share. Investors become "believers, businesses that survive inflation become growth companies, and speculation eventually develops increased price-earnings multiples and wipes out "inflation lag."

An example of "inflation lag" is 1920 to 1929 — from credit crunch in 1920 to stem World War I inflation to the growth of hectic speculation in 1927-1929.

Lesson No. 9 is: Become familiar with and use "inflation lag" in your inflation investing; don't miss the catch-up phases in stock prices that may lag by several years during the passing of the greatest danger period of inflation.

Lesson No. 10

Investors are confused by interest rates during periods of "inflation fighting" by the government.

Probably the most common mistake is rushing into 8% to 10% bonds "to meet the cost of living" and selling stocks "because they are down." Years hence you may be saying "that's

how I made my big mistake. I opted for more income instead of more principal."

Money managers too make mistakes on interest rates. They try to outguess the Federal Reserve Bank by speculating on short-term shifts from bonds to stocks and back again. Few can beat the house.

A common-sense approach to understanding interest rates during inflation is:

- **1) "stop-go" tactics** will be used to fight inflation;
- **2) "stop" and "go"** are separate phases of the inflation battle;
- **3) rising interest rates tend** to be bearish during "stop" and "bullish" during "go" phases.

The purpose of small interest rate changes during "go" is to bring inflation under control and such maneuvers should not be confused with credit-crunch interest rate actions to prevent a raging inflation from accelerating.

Owning stocks capable of performing like Eastman over the years is likely to beat 8% to 10% interest on bonds and preferred stocks. Playing interest-rate roulette with the Federal Reserve is seldom profitable.

Lesson No. 10 is: Protection of principal against inflation should be primary and income secondary; don't goof by snapping at the bait of high or fluctuating interest rates.

Lesson No. 11

Comparison is a major technique of financial analysis. Industries, companies, stocks and bonds are compared to find the "best" values.

Rates of sales and earnings growth, pretax profit margins, and earnings on invested capital are compared in selecting lists of growth stocks.

However, if the head of research asked for the best inflation stocks, his analysts might come up with a different list. For example, spending more on research and development would likely reduce profit margins and earnings on invested capital. Therefore, a stock might be rejected on a "growth" list, but qualify for an "inflation" list because of increasing assets, product lines, and awareness of the importance of financial position. Other inflation comparisons and judgments of value are:

- **1) favor the low dividend** pay-out companies;
- **2) compare companies** for ability to expand internally;
- **3) judge managements for skill** in making successful acquisitions;
- **4) avoid companies with short-term debts** and high risks;
- **5) compare cost of sales to sales ratios** for management's sensitivity to pricing.

There are other comparisons of course. But the objective is to select companies that can survive financial strains, have a management capable of inheriting business successfully from those that fail and stocks that should attract investors when inflation lag catches up. It is better to emphasize companies and de-emphasize industries in inflation investing. Also, medium-sized and smaller companies may be the better inflation investments.

Lesson No. 11 is: Make relevant comparisons designed to keep your investments abreast of inflation along with the usual comparisons; don't use rigid comparative analysis when resourcefulness is the quality required.

> "Well-managed, growing enterprises have served the American investor well in the inflations of the past century."

Lesson No. 12

Inflation is tricky. There is no absolute answer to inflation investing. The Prudent Man Rule decision of 1830 for investment of trust funds has been tested by time and survived many inflations.

In his decision, Justice Samuel Putnam of Massachusetts observed: "Do what you will, the capital is at hazard." The gist of his guidance was "to observe how men of prudence, discretion and intelligence manage their own affairs, not in regard to speculation, but in regard to the permanent disposition of their funds, considering the possible income as well as the probable safety of the capital to be invested."

Note the words "permanent" — "income" — "safety." Look ahead to future purchasing power. Short-term speculation is obviously to be avoided.

Inflation investing is much like trustee practice. Using both bonds and stocks is wise. Bonds provide stability and stocks are for growth of principal. A few bonds give peace of mind during the "stop" phase of inflation fighting. But never abandon stocks. About 30% bonds and 70% stocks is a workable posture. Most shifts from bonds to stocks are less than 10% of total assets.

Stock selection may lean toward tangible assets (such as oil or metal) in printing-press inflations, but well-managed, growing enterprises have served the American investor well in the inflations of the past century.

Lesson No. 12 is: Heed the "permanent disposition" guidance in the Prudent Man Rule; don't fail to use "prudence, discretion and intelligence" during inflation with the longer term in mind. B

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision.

BetterInvesting's Corporate Partners

Corporate Partners of BetterInvesting consist of publicly traded companies. Some are just getting started with BetterInvesting, while others have supported the association and its mission for many years.

The companies have one thing in common, however, and that is the desire to attract the interest of long-term retail investors.

Corporate Partners support the organization by paying membership dues, participating in events and providing investors with the information needed to make well-informed investment decisions.

As a service to both the corporations and our readers, the editors are pleased to present the listing and information that follows, including company name, website address, stock exchange, ticker symbol and the date the company joined BetterInvesting.

Companies are presented in three groups, separated according to annual revenues.

The first, large companies, includes companies whose total annual sales were $10 billion or more.

Medium companies include those with annual sales between $1 billion and $10 billion and small companies include those with revenues of less than $1 billion.

A company's market capitalization often differs significantly from its revenues; as a result, the company's sales figures might place it in one category while its market capitalization would place it in another grouping.

LARGE COMPANIES (more than $10 billion in revenues)				
Company	Join Date	Web Address	Exchange	Ticker
Aflac	5/1/21	investors.aflac.com	NYSE	AFL
Deutsche Bank AG	5/22/01	www.adr.db.com	NYSE	DB
Duke Energy Corporation	3/15/93	www.dukeenergy.com	NYSE	DUK
Kellogg's	12/7/21	www.kelloggcompany.com	NYSE	K
Verizon	1/17/95	www.verizon.com/investor	NYSE	VZ
MEDIUM COMPANIES ($1 billion to $10 billion in revenues)				
AllianceBernstein	7/1/20	www.alliancebernstein.com	NYSE	AB
MGE Energy, Inc.	5/24/01	www.mge.com	NASDAQ	MGEE
RPM International, Inc.	5/1/88	www.rpminc.com	NYSE	RPM
SMALL COMPANIES (less than $1 billion in revenues)				
Middlesex Water Company	9/1/12	www.middlesexwater.com	NASDAQ-GS	MSEX
National Retail Properties	5/16/02	www.nnnreit.com	NYSE	NNN
Safehold, Inc.	1/23/18	www.safeholdinc.com	NYSE	SAFE
Unitil Corporation	6/24/94	www.unitil.com	NYSE	UTL
York Water Company, The	2/1/01	www.yorkwater.com	NASDAQ	YORW

Get the Facts

For information on BetterInvesting's Corporate Partners including links to their websites, visit us at **www.betterinvesting.org**.

PROVIDENT
INVESTMENT MANAGEMENT
Sound Research. Proven Results.

Scott Horsburgh, CFA Dan Boyle, CFA
The "Repair Shop" Guys

Committed to building wealth and managing risk for our clients by carefully following *BetterInvesting* methods since 1981.

Research based.
Performance focused.
Results driven.

Contact Dan Krstevski
800-449-6970
www.investprovident.com

Keeping Score? The Club Has 23 Members and a $4 Million Portfolio

Master Investors in a League of Their Own in Ohio

As told to Angele McQuade by Robert Deimling and the members of Master Investors, of Mentor on the Lake, Lake County, Ohio, Northeast Ohio Chapter.

How and when we started: In October of 1969, with eight friends who bowled together, plus the father of two of the bowlers and the bowling alley bartender (10 men total). We readily agreed that investors should be in the club's name. After tossing around possibilities, someone said if we were going to invest, we ought to be good and so we became Master Investors.

A little bit about our portfolio: We currently hold 20 stocks valued at $4,220,155 as of Dec. 31, 2021. We hit our first $100,000 in October 1988, our first million in October 1996, our second in July 2015, our third in August 2020 and our fourth in April 2021.

How we meet: We have always met the third Monday of the month (previously in person, but currently via Zoom due to the COVID-19 pandemic). Over the years, we've met in a funeral home (near the bowling alley and owned by the father of two members), libraries, homes, restaurants and at offices. While we're open to new members, because of our size we don't do much recruiting of new members.

Master Investors. Standing left to right: Larry Dindia, Bob Deimling, Carl Jernejcic, Karen Dlugosz, Don Dlugosz and Sean Vogley. Pictures above left to right: Bill Donahue, Anthony Conti, Lori Adler, Rich Roscoe, Randy Deimling, Grant Zalba, Beth Newbauer, and Jim Kozlowski. Not pictured: Shirley Baker, Gloria Bennardo, Jeff Deimling, Debbie Fellenstein, Tom Hebebrand, Pete Reilly, Theresa Svigel, Vicki Vine and John Yasenosky.

The very first stock we purchased: Wendy's (ticker: WEN). We each put in $100 and bought it at our first meeting. After it doubled in about three years, we sold and thought how good we were, which soon proved to be sort of stupid as it kept growing. Our longest held stock is Intel (INTC), which we first purchased in 1996. The second longest is Alphabet (GOOGL/GOOG), which we bought in 2010.

Our all-time favorite investment: Progressive Insurance (PGR). We first bought it for $30 per share, then a year later for $20, with a total cost of $10,500. Twenty years later, we sold for $300,000 (a 23% annualized gain). It's what can happen if you hold onto a good stock.

An investment we'd rather forget: probably Spirit Airlines (SAVE).

What we wished we'd known when we started: More about investing, more about how to find prospects other than by using a dart board, and more about what long term meant (see answer about Wendy's above…).

Advice we'd give to newer clubs: Never invest in a stock because a member says, "I got a tip from this guy."

How members have used their investment gains: The usual like retirement, inheritances, college tuition and purchases of new homes and cars, but also to repair farm buildings, as well as go on special vacations.

What makes us unique: We were profiled in the August 1992 issue of "Money Magazine." At that time, we had 40 members and thought it was fun to have more money even without some members' participation. After the article was published, we grew to 80, with 20 more on the waiting list. Then I spoke with someone from NAIC (now BI) and we started evicting members. Today are comfortably at 23 (seven women, 16 men), who all participate.

One last thing about us: Making money and doing it with people who have become friends is the best. B

Angele McQuade is the author of three books, including "Investment Clubs for Dummies" and BetterInvesting's upcoming new youth investing handbook. If you'd like to be featured in a profile, contact Angele at: www.angelemcquade.com.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recommended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the contributors in their portfolios.

The Elk City Investment Club of Elk City, Oklahoma. Back row: The late Loreta James (inserted photo), Mary Fern Carpenter, Pat Sprowls, Carla Garrison, Deannie Rule, Lisa Frost, Donna Carr and June Lovelace. Front row: Rose Trotter, June Conrad, Gladys Simmons, DeAnne Bell and Christy Manhart. The club was launched in 1995 by local English teacher.

Club Cherished a Series of Long-Standing Traditions, Including Christmas Cookies

'Coke Money' Paid Off for Oklahoma Women

by the members of the Elk City Investment Club

In 1995 a goal-setting junior high English teacher in Elk City, Oklahoma, read the Beardstown Ladies book about investment clubs and was inspired. Using her circle of influence (mostly other teachers), Loreta James spent the first year of monthly meetings creating bylaws, recruiting 23 charter members and teaching them to use BetterInvesting tools and principles. On April 4, 1996, they were officially registered at the Beckham County, Oklahoma, courthouse as the Elk City Investment Club.

In a letter she wrote to the charter members, she summarized what they had accomplished in their first year, along with Loreta's humorous goal of "Let's make enough money to pay for our own funerals!"

Early turnover caused us to expand our recruiting field. The result was a less homogeneous group, adding diversity of age, background, occupations and experience. Meetings were lively and held in restaurant backrooms, homes, the city library and eventually at a church that had good Wi-Fi setup for our tech-savvy leader to display and research our monthly reports on a big screen.

We progressed from needing a full-service brokerage to totally self-directed online investing. We developed traditions that were blessings in the form of mottoes. Like Rose's reminder, "It's only Coke money!," anytime we made the same mistakes again. Bad investments became running jokes. Traditions became part of our fabric, like Deannie's aunt's antique leather zipper bank bag always on the table for our monthly $25 checks . . . our Coke money.

And Rose had a devotional each month that was worth coming for. We tucked in hostess extraordinaire Gladys's "I never pass up a blessing," when offered leftover cookies after the annual Christmas party at her home, another club tradition.

We generated our own taxes and Schedule K-1s, never paid for bookkeeping and were never audited. We chartered at about the same time BetterInvesting came out with bookkeeping and investing software and have only praise for investment clubs who did their bookkeeping before software.

Loreta's humorous goal came to fruition. We attended her funeral in October 2010 when she was only 64 years old. Two charter members gave her an eloquent eulogy. Twenty-three years, five funerals and 44 members later, we voted to disband in July 2019, disbursing in September. Ours was not an earth-shattering performance, but it is the most lucrative club any of us ever joined.

We raised children, comforted and rejoiced, bid farewell to people we would otherwise never have known. As women investors, we learned there is courage in numbers and that our Coke money grew by staying invested, and reinvesting dividends. For longevity you should recruit new members who are willing to pick up the reins when current leadership wanes. That was our mistake. B

Using This Section

In this section readers seeking to network with other long-term investors will find resources for information about programs in their communities. Meetings provide investment education for interested individuals of all ages and experience levels.

We've listed each BetterInvesting chapter along with the chapter's website, contact information and whether the chapter offers:

NEW – new meetings listed at the chapter website

MC – model club meetings for learning about club operations and stock selection

CV – club visits during which a chapter volunteer can answer questions about operations and portfolio management

SSG – upcoming classes on the Stock Selection Guide and related stock study forms

SOFT – upcoming seminars on using computers and BetterInvesting-related software

TREAS – upcoming classes for club treasurers and those interested in club accounting

CG – Computer Group

Upcoming Investors Fairs, Educational Fairs, annual meetings and other major events are listed at the end of this section. For current details on any meeting, go to the relevant chapter's website.

We urge investors to contact the chapter for full details about any event and to learn of any changes in time or location.

The regional programs described in this section are the heart of BetterInvesting's educational effort. Some request a modest fee to defray costs, while others are free.

BetterInvesting's objective is to help people learn about long-term investing in an atmosphere in which they are free from pressure to buy anything.

CHAPTER CONTACTS

Contact your local chapter for details such as changes in time or location. You may also go to the BetterInvesting website at **www.betterinvesting.org** and visit **My Chapter**.

ALABAMA

Alabama/Emerald Coast — Northeast Alabama
Barb Gierloff
256/582-7718
barb.gierloff@yahoo.com
www.betterinvesting.org/alabama
CG • CV • NEW • SOFT • TREAS

So. Alabama/Emerald Coast
Dr. Frank Sansone
850/474-3581
drfrank1611@gmail.com
www.betterinvesting.org/alabama
CG • CV • MC

NW Alabama
John Ingwersen
256/757-5325
jlingwersen@gmail.com
www.betterinvesting.org/alabama
CG • CV • SSG

Central Alabama
Martha Rudd
205/913-2660
www.betterinvesting.org/alabama
CG • CV

ALASKA

Alaska
Tim Janneck
907/346-2792
www.betterinvesting.org/alaska
CG• CV • SSG

ARIZONA

Arizona
Madeline Carragher
602/358-8009
contact@arizona.betterinvesting.net
www.betterinvesting.org/arizona
NEW • CV• MC

CALIFORNIA

Channel Islands
Chapter contact:
contact@channelislands.betterinvesting.net
www.betterinvesting.org/channel
MC • NEW • CV

Golden West (includes Nevada)
Anita Widmayer
657/223-1853
contact@goldenwest.betterinvesting.net
www.betterinvesting.org/goldenwest
NEW • MC •SOFT

Sacramento Area
Dan O'Donahue
916/967-9631
djosacbi@gmail.com
Model Investment Club
Carol Costa
916/771-7222
www.betterinvesting.org/sac
MC • CV

San Francisco Bay Area
Vivian Thomas
viviannee@yahoo.com
www.betterinvesting.org/sanfran
NEW • MC

Silicon Valley
Lee Milde
408/268-4070
contact@silicon.betterinvesting.net
www.betterinvesting.org/silicon
NEW • MC • CV

COLORADO

Rocky Mountain, includes Northern New Mexico, Utah and Wyoming
Jane Nelson, 303/579-1016
j.nelson@rmchapter.org
www.betterinvesting.org/rockymountain
NEW • CV • SSG • SOFT

DISTRICT OF COLUMBIA

D.C. Regional
Kathleen Emmons
kathy@emmonsgroup.com
703/915-2299
www.betterinvesting.org/dcregional
NEW • CV • SSG • MC

FLORIDA

So. Alabama/Emerald Coast
Dr. Frank Sansone
850/474-3581
drfrank1611@gmail.com
www.betterinvesting.org/alabama
CG • CV • MC

South Florida – Broward/ Charlotte/ Collier/Lee/ Martin/Miami-Dade/Monroe/ Palm Beach/St. Lucie
Danica Myrie
secretary@southflorida.betterinvesting.net
Ionnie McNeill, president
561/352-4967
www.betterinvesting.org/southflorida
NEW • CV • SSG • SOFT • MC

North Florida
Brent Campbell, Chapter President
850/894-2345
President@spacecoast.betterinvesting.net
Phil Crocker
908/472-0374
www.betterinvesting.org/space

FLORIDA, CONT'D.

Sunshine
Dave Yearwood
904/708-2529, call or text
yearwood@aug.com
Barbara Drake, Model Club liason
904/504-4953
bjdrake45@hotmail.com
www.betterinvesting.org/sunshine
NEW • MC

GEORGIA

Georgia
Larry Reno, president and
ACME Model Club contact
770/856-2542
tlreno@aol.com
Central GA Model Club
Jim Vandersall
478/714-8167
jvandersall@gmail.com
Facebook CGMIC
www.betterinvesting.org/georgia
MC • CV

ILLINOIS

(also see Indiana)
Chicagoland
Information Voice Mail
208/606-0630
www.betterinvesting.org/chicagoland
NEW • MC

Heart of Illinois
Bobbie Kincaid
309/267-0471
Betty Sinnock, a Beardstown Lady
309/543-4950
contact@heartofillinois.
betterinvesting.net
Model Club: Prairie Investment
Partnership (PIP)
www.betterinvesting.org/hoic
NEW • CV • MC

INDIANA

Central Indiana
Diane Byron, 317/696-0227
dkrbyron@gmail.com
Charles Barker, 317/844-7022
ckbarker@prodigy.net
www.betterinvesting.org/indiana
NEW • MC • CG • CV

OKI Tri-State
Southeastern Indiana
Marty Eckerle
bmeckerle@comcast.net
812/537-0291
www.betterinvesting.org/okitri
NEW • MC • CV

IOWA

Heartland
Nancy Allen
nallen@heartland.betterinvesting.net
Charlotte Hurley
515/276-9019
www.betterinvesting.org/heartland
NEW • MC • CV

KANSAS/MISSOURI

Kansas City Area
Connie Rehm
816/324-4939
www.betterinvesting.org/kansas
NEW • CV •MC • SOFT • TREAS

KENTUCKY

OKI Tri-State
Northern Kentucky
Linda Miller
sciclim@gmail.com
859/360-3311
www.betterinvesting.org/okitri
NEW • MC • CV

Tennessee/Kentucky
Cindy Hansen
tenn797@gmail.com
www.betterinvesting.org/tenken
CV

LOUISIANA/MISSISSIPPI

LA/MS
Greater New Orleans Area
Kaye Clingan, 601/853-4689
president@lams.betterinvesting.net
www.betterinvesting.org/lams

Greater Baton Rouge Area
Eric Resweber, 225/788-2528
secretary@lams.betterinvesting.net
www.betterinvesting.org/lams

Greater Lafayette Area
Dennis Malcolm, 337/298-1896
contact@lams.betterinvesting.net
www.betterinvesting.org/lams

North Mississippi Area
Joe Farrell, 601/331-8896
contact@lams.betterinvesting.net
www.betterinvesting.org/lams

Mississippi Gulf Coast Area
David Arnold, 601/268-3549
contact@lams.betterinvesting.net
www.betterinvesting.org/lams

MARYLAND

(also see D.C. Chapter)
Maryland
contact@maryland.betterinvesting.net
www.betterinvesting.org/md
NEW • MC • CV • TREAS

MICHIGAN

Mid-Michigan
Ken Kavula
810/640-2231
kkavula1@comcast.net
www.betterinvesting.org/midmich
NEW • MC • CV

Southeastern Michigan
Jane Bellaver
248/685-8246
www.betterinvesting.org/semich
NEW • MC • CV

MINNESOTA

Northern Lights
Pam Eilertson, 608/797-1008
www.betterinvesting.org/
northernlights
NEW • MC • CV • SSG • SOFT

MISSOURI

(also see Kansas City)
St. Louis
Fred Tonnies, President
573/864-0707
President@StLouis.
BetterInvesting.net
www.betterinvesting.org/stlouis
NEW • MC • CV

NEBRASKA

Heartland
Nancy Allen
nallen@heartland.betterinvesting.net
Charlotte Hurley
515/276-9019
www.betterinvesting.org/heartland
NEW • MC • CV

NEVADA

See Golden West, California

NEW JERSEY

(also see Pennsylvania)
New Jersey
Pam Deisher, pdeish@gmail.com
Carla Krasnick, 856/235-0813
www.betterinvesting.org/newjersey
NEW • MC • SSG • CV

NEW MEXICO

Northern, see Colorado,
Rocky Mountain

NORTH CAROLINA

North Carolina,
includes S.W. Virginia
Terry Gilbert
president@northcarolina.
betterinvesting.net
contact@northcarolina.
betterinvesting.net
www.betterinvesting.org/ncarolina
NEW • MC •CV

OHIO

Northeast Ohio – Cleveland
Aire Roche
216/291-2207
www.betterinvesting.org/neohio
NEW • MC • CV

Northeast Ohio – Akron
Louise Gregory
330/666-8513
NEW • MC • CV

Northwest Buckeye
Marilyn Adams
contact@nwbuckeye.
betterinvesting.net
www.betterinvesting.org/nwohio
NEW • MC • CV

OKI Tri-State
Cincinnati
Mary Thomas
mcthomasp@fuse.net
www.betterinvesting.org/okitri

OHIO, CONT'D.

Columbus
Dan Kuhl
dbecool@att.net

Dayton
Gene Senter
937/256-7858
emiddle42@aol.com

Northern Kentucky
Linda Miller
scicllm@gmail.com
859/360-3311

Southeastern Indiana
Marty Eckerle
bmeckerle@comcast.net
812/537-0291
www.betterinvesting.org/okitri
NEW • MC • CV

OKLAHOMA

Oklahoma
Carol Clemens
405/348-8681
carcleme4@aol.com
Joe Whitaker
405/478-7990
www.betterinvesting.org/oklahoma
NEW • CV • SSG

OREGON

(also see Washington)
Portland
John Radford
503/490-7296
contact@portland.betterinvesting.net
www.betterinvesting.org/portland
NEW • MC • CV

OREGON

(also see Washington)
Portland
John Radford
503/490-7296
contact@portland.betterinvesting.net
www.betterinvesting.org/portland
NEW • MC • CV

PENNSYLVANIA

Central Pennsylvania
Bruce Kennedy
president@centpenn.
betterinvesting.net
www.betterinvesting.org/centpenn
MC • SOFT • TREAS • CV • NEW • SSG

Philadelphia Area
Gloria Mankonen
215/796-1214
contact@philly.betterinvesting.net
www.betterinvesting.org/philly
NEW • MC • CV • SSG

Pittsburgh
Larry Robinson
412/461-7120
lc_robinson@comcast.net
www.betterinvesting.org/pgh
MC • CV • CG

State College Area
John and Donna Diercks
814/234-8775
dmhdiercks@aol.com
MC • CV

SOUTH CAROLINA

South Carolina
Denise Kimberlin
812/204-6274
contact@southcarolina.
betterinvesting.net
www.betterinvesting.org/sc

SOUTH DAKOTA

Heartland (Sioux Empire)
Nancy Allen
nallen@heartland.betterinvesting.net
Charlotte Hurley
515/276-9019
www.betterinvesting.org/heartland
NEW • MC • CV

TENNESSEE

Tennessee/Kentucky
Cindy Hansen
tenn797@gmail.com
www.betterinvesting.org/tenken
CV

TEXAS

North Texas
Patricia S. Baillif
214/660-8385
contact@northtexas.
betterinvesting.net
www.betterinvesting.org/northtexas
NEW • MC • CV • SOFT

Houston
Jerry Pillans
281/984-7306
gpillans@comcast.net
www.betterinvesting.org/houston
MC • CV

West Texas – Lubbock
Richard Mills
806/786-3875
richardmills@suddenlink.net
www.betterinvesting.org/westtex
NEW • MC • CV

UTAH

See Colorado, Rocky Mountain

VIRGINIA

S.W. Virginia
see North Carolina
www.betterinvesting.org/ncarolina
CV

D.C. Chapter
www.betterinvesting.org/dcregional
NEW • MC

WASHINGTON

Inland Empire
Paula Riccelli
contact@inlandempire.
betterinvesting.net
Megan McKinlay
509/327-1848
president@inlandempire.
betterinvesting.net
www.betterinvesting.org/
inlandempire
NEW • MC • CV

Puget Sound
Class Hotline, 206/935-0861
contact@puget.betterinvesting.net
www.betterinvesting.org/puget
NEW • MC • CV • SSG

WISCONSIN

Wisconsin
Michele Rinka
414/616-1086
michele.rinka@gmail.com
contact@
wisconsin.betterinvesting.net
www.betterinvesting.org/wisconsin
NEW • CV • SOFT

WYOMING

See Colorado, Rocky Mountain

The **BetterInvesting™ Online Chapter** offers support both to individual members and clubs without a local chapter and to the public. The chapter's leadership provides a variety of high-quality programming and support.

The leadership of the **Online Chapter** is Bob Houle, president, president@online.betterinvesting.net; Susanne Koster, OLC Satellite Coordinator, satellite_coordinator@online.betterinvesting.net; Howard Johnson, Club Support/ Visit Coordinator, club_support@online.betterinvesting.net; Chris McCarron, Education Programs, education@online.betterinvesting.net.

Visit the **Online Chapter** at **www.betterinvesting.org/online**
NEW • MC • CV • SSG • SOFT

ANNUAL MEETINGS

OREGON

Portland
9 a.m. – 11:30 a.m., Sept. 17, online
Investor Education Event and Annual Business Meeting. Don't miss Bakul Lalla's presentation on using his Financial Ratio's Checklist for BetterInvestingInvestors. Bakul uses the SSG Plus in conjunction with the Morningstar website to gain additional financial quality insights before adding a company to his portfolio. Bakul's complete checklist consists of 10 financial ratios (which includes Bakul's three favorites) that are found on just four Morningstar screens. The education segment will be followed by a short chapter business meeting. Beginners and those with experience using the BetterInvesting Stock Selection Guide (SSG) are welcome.
Cost: free and open to the public.
Register: https://bit.ly/PDX_BI_Annual
Contact: John Radford, email contact@portland.betterinvesting.net or see our website below (local events) for details.
www.betterinvesting.org/portland

INVESTOR EVENTS

CALIFORNIA

Channel Islands
3:30 p.m. – 6 p.m., Sept. 22, online and in-person, if possible
Camarillo Public Library, Main Meeting Room, 4101 Las Posas Road, Camarillo
Focus on Value Line, SSG Online. Learn what the library offers in state-of-the-art services, resources and the Russell Fisher Grant; plus two-part workshop you asked for. Better- Investing volunteers will present "Value Line How-To's" followed by "Using the Online BI tools," a result of your questionnaire from the Apr. 21 program. This program will explore BetterInvesting's proprietary tools. This public event will include a short chapter annual meeting as well. Cost: free. To register: with the library: https://camarillolibrary.libcal.com/event/9406208 or email to: contact@channelislends.betterinvesting.net.
www.betterinvesting.org/channel

COLORADO

Rocky Mountain
9 a.m. – 12:30 p.m., Oct. 8, online
Investor Education Day. Two presentations by Craig Braemer, followed by reviews of club portfolios of Rocky Mountain Chapter clubs. **Invest in Stocks with Growing Dividends**: A focus on valuation metrics and how to use the SSG to evaluate growing dividend stocks. **Trim a Stock or Is It Time to Sell?** Explores the logic of trimming long-term holdings versus selling out of a high-quality company. Cost: donation. Registration: www.eventbrite.com/e/investor-education-day-2022-tickets-386140264927. Contact: contact@rockymtn.betterinvesting.net.
www.betterinvesting.org/rockymountain

DISTRICT OF COLUMBIA

D.C. Regional
9:30 a.m. – 3:30 p.m., Sept. 24, Oct. 1, online,
Fall 2022 Stock Selection Guide Classes.
Saturday, Sept. 24: Basic concepts of long-term investing and creating a successful portfolio.
Saturday, Oct. 1: Find objective research, make reasonable judgments and complete SSGs.
Cost: $20 per day or $30 for both days.
Register at the website below.
www.betterinvesting.org/dcregional

DISTRICT OF COLUMBIA AND MARYLAND

D.C. Regional and Maryland
7 p.m., Oct. 3, online
Monthly Digging Into *BI Magazine*: The Case for Growing Dividends. Stock Presentations: Church & Dwight, Ford, Agnico Eagle Mines Ltd. and Evercore. MidAtlantic members present the stocks and review the latest issue of *BI Magazine*. Cost: free. Replays on our YouTube Channel: https://www.youtube.com/channel/UC0xDAD19ZsZmF51gmUV_0Zg. Register at the website below.

D.C. Regional and Maryland
7 p.m., Oct. 17, online
Inaugural Online Education Series with the Maryland Chapter: The Case for Growing Dividends. Speaker: Craig Braemer, San Francisco Chapter president. Cost: $10. Register at the website below.
www.betterinvesting.org/dcregional

FLORIDA

South Florida
6 p.m. – 7 p.m., Sept. 22, online and in-person
Alvin Sherman Library
3100 Ray Ferrero Junior Blvd., Davie
You Got This! Why Dividend Stocks Matter. Social Security alone will not be enough to support you during retirement. Add another source of income to your portfolio instead of relying solely on stock appreciation. Learn how to identify high quality dividend-paying growth stocks. Presenter: Nick Nikiforos, South Florida Chapter director and instructor. Cost: free, includes refreshments, open to all. Presented by the BetterInvesting South Florida Chapter with Nova Southeastern University Alvin Sherman Library and sponsored by the Truist Foundation to inspire and educate participants to become personally and professionally successful.
Registration and information:
www.betterinvesting.org/chapters/south-florida/local-events.
www.betterinvesting.org/southflorida

South Florida
10 a.m. – 11 a.m., first Saturdays, from Oct. 1 through Feb. 4, online
Deep Dive 5-Part Series: Discounted Cash Flow Components. This interactive series examines in-depth each of the discounted cash flow components in the Preferred Procedure calculation of the SSG. Participants will learn how to refine revenue projections, expense projections, tax projections, as well as revenue, expense and tax projection in the capital structure, and how to compare the five-year free cash flow projections with the projected earnings. Presenter: Sofia Bitela, chapter volunteer and finance professional. Cost: free and open to all.
Registration and information:
www.betterinvesting.org/chapters/south-florida/local-events.
www.betterinvesting.org/southflorida

PENNSYLVANIA

Philadelphia
7:30 p.m. – 8:30 p.m., online
Fall Webinars:
Sept. 21: Kathleen Richards — "How to Build Wealth"
Oct. 27: Bill Wagner — "Cryptocurrencies: the Good, the Bad and the Ugly"
Nov. 16: Gary Ball — "Investment Strategies Before and After Retirement"
Register at website below. Cost: free.
Contact: contact@philly.betterinvesting.net
www.betterinvesting.org/philly

Philadelphia
9 a.m. – 3 p.m., Nov. 19
Giant Food Store, 315 York Road
Willow Grove
Introduction to BetterInvesting's Stock Analysis: by Gloria Mankonen. Cost: $15.
For information and registration, contact: Gloria Mankonen, 215/796-1214 or contact@philly.betterinvesting.net.
See website below for additional information.
www.betterinvesting.org/philly

Reviewing Stock to Study, Undervalued Selections

Costco Wholesale Corporation; Akamai Technologies, Inc.

by Kevin Lamiman, Contributing Editor

STOCK TO STUDY

Costco Wholesale Corporation
Ticker: COST

Company description: Leading warehouse club Costco had 815 stores worldwide at the end of fiscal 2021, with most sales in the United States (72%) and Canada (14%). Paid memberships allow customers to shop in its warehouses featuring low prices on limited product assortments. Costco mainly caters to individual shoppers. Food and sundries accounted for 40% of 2021 sales; non-food merchandise, 29%.
Price at time of selection: $157.91
High price during past five years: $612.27
Closing price 5 years later: $511.93
Total return at 5-year price (including dividends): 252.1%
S&P 500 5-year total return: 58.3%
Value Line long-term earnings growth estimate when featured: 9.0%.
Consensus long-term earnings growth estimate when featured: 10.5%
Five-year sales growth rate: 10.5%
Five-year EPS growth rate: 15.9%
Five-year pretax profit on sales: 3.2%
Five-year return on equity: 26.2%
Comment: Costco dipped on news that retailing juggernaut Amazon would acquire Whole Foods Market. Belief this was a market overreaction contributed to Costco's selection. The five-year total return of 252.1% exceeded the Stock to Study goal of doubling over that time span. The five-year high of $612.27 on April 7, 2022, further surpassed it with a total return of 321.1%.

UNDERVALUED

Akamai Technologies, Inc.
Ticker: AKAM

Company description: Akamai operates a content delivery network, or CDN, that entails locating servers at the edges of networks so that customers storing content on Akamai servers can reach their own customers faster, more securely and with better quality. Its customers generally include media companies, which stream video content or make video games available for download, and other enterprises running interactive or high-traffic websites, such as e-commerce firms and financial institutions. Akamai also has a significant security business.
Price at time of selection: $111.60
High price during past 18 months: $124.91
Closing price 18 months later: $92.15
Total return at 18-month price (including dividends): (17.8%)
S&P 500 18-month total return: 1.3%
Value Line long-term earnings growth estimate when featured: 15.0%.
Consensus long-term earnings growth estimate when featured: 9.7%
Most recent quarter sales growth: 7.2%
Most recent quarter EPS growth: (22.3%)
Comment: Cybersecurity growth, rising internet traffic and strong international results contributed to Akamai's selection as the Undervalued Company. The total return of (17.8%) fell short of the goal for an Undervalued Company — a 20% increase over 18 to 24 months. At the 18-month high of $124.91 on Jan. 27, 2021, the total return would have been 11.4%.

Securities mentioned are illustrations or for study and presented for educational purposes only. They are not to be considered as endorsed or recomended for purchase by NAIC/BetterInvesting. Investors should conduct their own review and analysis of any company of interest using the Stock Selection Guide before making an investment decision. Securities discussed may be held by the writer or contributors in a personal portfolio or those of his clients.

Contacting BetterInvesting

For faster service, please have your BetterInvesting Membership Number (on your *BetterInvesting Magazine* mailing label).

When calling, reach a specific department by dialing the extension below:

DIAL #	DIAL 0	DIAL 1	DIAL 2	DIAL 4	DIAL 5
For an employee extension	For the Employee Directory	For Membership and Subscriptions	For Investment Products	For Club Accounting Products	For Chapter Services

Phone: (248) 583-6242 • **Fax:** (248) 583-4880 • **Email:** service@betterinvesting.org • **Website:** www.betterinvesting.org
Mail: BetterInvesting, P.O. Box 220, Royal Oak, MI 48068

Secure Your myICLUB.com Account with Two-Factor Authentication

Two-factor authentication (2FA) boosts online security, requiring more than just a user name and password when logging on to a website. **myICLUB.com** is the first (and only) investment club website to support 2FA, and now supports **Google Authenticator**.

To enable or adjust 2FA in **myICLUB.com**, log in, then navigate to the **People** tab and click on the gear icon next to your own name. Click "**Change authentication settings**," then select **Email** or **Google Authenticator** and follow the instructions. Once enabled, myICLUB.com requires a unique 6-digit code generated in real-time by the separate Google Authenticator app (available for iPhone and Android devices) whenever logging in.

Using the popular Google Authenticator is a convenient way to improve security practices. ICLUBcentral recommends that all club treasurers and administrators use 2FA.

It's time your investment club switched to myICLUB.com. Try our free 45-day trial today and get our free e-books filled with myICLUB.com User Tips, Quick Start Guides for Members and Treasurers, and more! Switch or join today at www.myICLUB.com.

myICLUB

Are You Utilizing Everything Included With Your Membership?

- Attending live events such as TickerTalk and StockUp?
- Receiving assistance from a local chapter volunteer?
- Reading the BetterInvesting Weekly e-newsletter when it's delivered to your inbox?
- Visiting the in-depth and growing learning center with resources for both beginning and experienced investors?
- Accessing the online stock selection tools featuring the extremely effective Stock Selection Guide® (SSG®)?

Explore More Features at www.BetterInvesting.org/Features

Would you use a screwdriver when you need a hammer? Get the right tools for the job!

Investor Advisory Service

Award-winning stock investment newsletter. Three stock recommendations each month. #1 newsletter for total return for 2021.

SmallCap Informer

Market-beating stock newsletter featuring small-company stocks with excellent potential for long-term growth.

StockCentral

One-stop investing portal full of data, discussion, and analysis. Just launched — new Dividend Center!

MyStockProspector

The most powerful and comprehensive tool for long-term-based fundamental stock screening.

myICLUB

Full suite of tools for investment club accounting, operations, communications, file storage, and much more.

EquityResearchService

Institutional-quality stock research tool with deep insights, technicals, key indicator ratings, industry comparisons, and more.

Subscribe to any of these great tools individually OR gain extra savings by creating your own Ultra Bundle at www.ICLUB.com/store.

Note: myICLUB is not available as part of Ultra Bundle.
Switch your club today or sign up for a free trial to myICLUB at www.myiclub.com.